Akums Drugs & Pharmaceuticals (AKUMS)

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To,
The Listing Department
National Stock Exchange of India Ltd
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex,
Bandra (E),Mumbai – 400 051

Symbol: AKUMS

To,
The Listing Department
BSE Limited
Rotunda Building, Phiroze
Jeejeebhoy Towers, Dalal
Street, Fort, Mumbai – 400 001

Scrip Code: 544222

Sub: Transcript of Earnings/Analysts Conference Call held for limited reviewed un-audited financial results of Q1 FY25.
Respected Sir/Madam,
Pursuant to the Regulation 30 read with Part A of Schedule III of the SEBI (Listing obligation and Disclosure Requirements) 2015, please find enclosed herewith the transcript of earnings/analysts conference call held on Friday, August 30, 2024 at 4:00 PM (IST) on limited reviewed un-audited financial results of Q1 FY25.
The said transcript be also available on the Company's website www.akums.in.
This is for your kind information and record.
Thanking You
For Akums Drugs and Pharmaceuticals Limited

Dharamvir Malik
Company Secretary & Compliance Officer

"Akums Drugs and Pharmaceuticals Limited 1QFY25 Earnings Conference Call"

August 30, 2024

MANAGEMENT : MR. SANJEEV JAIN – MANAGING DIRECTOR, AKUMS DRUGS AND PHARMACEUTICALS LIMITED
MR. SANDEEP JAIN – MANAGING DIRECTOR, AKUMS DRUGS AND PHARMACEUTICALS LIMITED
MR. SUMEET SOOD – CHIEF FINANCIAL OFFICER, AKUMS DRUGS AND PHARMACEUTICALS LIMITED
MR. SAHIL MAHESHWARI – GENERAL MANAGER, STRATEGY , AKUMS DRUGS AND PHARMACEUTICALS LIMITED
MODERATOR : MR. PRASHANT NAIR – AMBIT CAPITAL

Akums Drugs and Pharmaceuticals Limited August 30, 2024

Moderator: Ladies and gentlemen, good day and welcome to Akums Drugs and Pharmaceuticals Limited

1QFY25 Earnings Conference Call hosted by Ambit Capital.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Prashant Nair from Ambit Capital. Thank you and over to you sir.
Prashant Nair: Thank you. Hello! Everyone. On behalf of Ambit Capital, I welcome you to the 1Q FY25 Earnings Call of Akums Drugs and Pharmaceuticals Limited.
We have the Akums management team with us, represented by Mr. Sanjeev Jain, Managing Director, Mr. Sandeep Jain, Managing Director, Mr. Sumeet Sood, CFO and Mr. Sahil Maheshwari, General Manager, Strategy.
I now hand over the call to "Management for Opening Remarks," following which we can get into a "Q&A Session." Over to the management.
Sahil Maheshwari: Thank you, Prashant for the introduction. Good evening, everyone, and welcome to our Q1 earnings call. I'm Sahil, General Manager for Strategy.
Let me draw your attention to the fact that on this call, our discussion might include certain forward-looking statements which are predictions, projections or other estimates about future events. These estimates reflect management's current expectation of the future performance of the company. Please note that these estimates involve several risks and uncertainties that could cause our actual results to differ materially from what is expressed or implied. Akums does not undertake any obligation to publicly update any forward-looking statements, whether as a result of new confirmation, future events or otherwise.
I hope you have gone through the "Investor Presentation" and the "Results" that were posted.
I would like to request Sandeep Jain, Managing Director of the company to please take it forward.
Sandeep Jain: Thank you, Sahil Ji. Namaskar everyone and thanks for joining us on this call.
Since it's our First Conference Call post listing, I will take a few minutes to deep dive on how the business is structured and also articulate on growth levers of our business. Akums is the largest India-

focused pharmaceutical CDMO with over 30% market share. This is the main business vertical of the group, contributing to over three-fourth of the total revenues. Our company caters to 1,500 plus clients annually with longstanding relationship with top pharmaceutical companies in India. We cater to both Indian and MNC pharma companies with 26 out of top 30 in India pharma market being our partners.
As the CDMO, we produce an extensive range of dosage forms including tablets, capsules, liquid orals, vials, ampules, topical preparations, eye drops, dry powder injections, nasal sprays, amongst other. Since our inception in 2004, we have commercialized over 4,000 formulations across our 60-plus dosage forms.
We have 11 units operational for formulation CDMO business with capacity of over 49 billion units annually. Some of our manufacturing units have been accredited by various global regulatory agencies, including European GMP, WHO-GMP, USF, NSF, etc.,
We also operate four R&D centers with over 400 scientists working over there with around 2.6% of our revenues being invested in R&D. We are continuously building and R&D capabilities in pipeline. In Q1 itself, we spent over 30 crores of INR in R&D. We are leading players in India holding 940 plus DCGI, including 20 DCGI added in Q1 itself and 920 + FSSAI approvals showcasing our extensive strength in formulation development.
We are passionately working towards strengthenin

g our leadership position in CDMO space in India
by expanding capacities to cater to growing CDMO market, extending capabilities to newer dosage forms and developing robust portfolio of innovative formulations.
In India, with our strategy, we recently started our new injectable facility with an annual capacity of around 36 crores units. The unit is currently undergoing customer audits and is expected to ramp up in the next 24 months. Also, we plan to expand in Jammu to augment our capacities. Our plan is to set up two units over there; one is a multi-dosage facility and the another is a nutraceutical facility.
We have recently ventured into new process forms, including nasal sprays, gummies, and soon we will start commercialization of lyophilized injections as well.
In addition to our core CDMO business, we actively engage in marketing our own branded formulations in India and across global markets.
Through Akumentis, we focus on therapy areas such as gynecology, cardiology, orthopedics and pediatrics in India with around 70% sales in chronic and subspace.

Sahil Maheshwari: So, as Sandeep sir was mentioning, we have almost 70%-plus sales in chronic and sub-chronic therapies, leveraging our strong field force of over 1,500 employees, we market over 140 brands.
Further, through Unosource, we focus on global markets and present in 65 countries across multiple therapies including CNS, anti-infectives, analgesics, gynecology, etc. We currently hold 700-plus

dossiers globally and in Q1 itself, I'm happy to share that we received 75 additional approvals for the dossiers, and we are actively expanding our team in various markets to capture global demand for quality generic products. We also engage in the marketing of trade generic products through distributors across India.

Apart from these two business verticals, we are also present in API business which contributes to over 5% of our revenues. We have an installed API manufacturing capacity of 737 MT and currently almost 85% of the sale comes from Cephalosporin API. We also manufacture APIs in respiratory gas source, CNS and anti-diabetic therapies. The business was recently started and is currently under rampup phase. We are strengthening our capabilities in R&D, manufacturing and customer reach to scale up this business.

Finally, at Akums, we are glad to introduce Mr. Amruth Medhekar, who has recently joined as CEO for CDMO operations. Mr. Medhekar brings with him almost 25-years of experience in pharma space. Now, let me hand it over to Mr. Sumeet Sood, who is the Chief Financial Officer for the group.

Sumeet Sood: Thank you, Sahil. I will take you through the Group and the Segment Financials.

If you see our results, the consolidated revenue for the group had increased from Rs.970 crores to Rs.1,019 crores during this quarter, the growth of almost 5.1%. Consolidated adjusted EBITDA grew from Rs.108 crores to Rs.131 crores, a movement from 11% to 12.7%. Consolidated adjusted PAT margins improved from Rs.38 crores to Rs.57 crores; there was a movement of 3.9% to 5.6% in the PAT. Consolidated gross margins also saw an improvement from Rs.376 crores to Rs.423 crores; it moved from 38.8% to 41.5%.

If we now look at the segment, so if I take the CDMO first, the CDMO grew from Rs.740 crores to Rs.782 crores, a growth of 5.6% largely driven by volume growth of 14% compared to Q1 '24.

It's pertinent to mention that the pharma industry had a flattish volume growth during this period.

The moderation of the revenue growth compared to the volumes was due to softening of the API prices. Our business is based on cost plus margin. API prices impact our realization from our clients.

If we look at the CDMO EBITDA it improved from Rs.107 crores to Rs.121 crores, there's a movement of 14.4% to 15.5%. The branded generic revenue reduced from Rs.191 crores to Rs.167

crores; this is a 12.5% reduction. Efforts to consolidate the trade generic business and continued performance of the branded and generic formulation business has led to the improvement of EBITDA from Rs.7 crores to Rs.17 crores. So, the EBITDA moved from 3.9% to 10.2%.

API revenue improved from Rs.38 crores to Rs.70 crores, a growth of almost 82%. Exports in the API division have increased from Rs.3 crores to Rs.9 crores in Q1'25. The API prices though had an impact on the margin of API business wherein percentage increased due to fall in revenue realization.

The EBITDA moved from Rs.(-9) crores to Rs.(-)12 crores; the EBITDA margin sort of improved from (-)23 to (-)17.4%. The company was able to reduce the debt by Rs.205 crores from Rs.418 crores to Rs.213 crores for Q1'25.

Cash flows from operations, we were at Rs.52 crores positive and the free cash flows were Rs.31 crores positive. The working capital improved from Rs.1,084 crores to Rs.881 crores in the first quarter for the group. We sort of released a total of 203 crores in the working capital. So, these are the financial results from our side. Thank you.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Ashish Thakkar from JM Mutual Fund. Please go ahead.

Ashish Thakkar: Sir, on the branded and generic formulation business, you did mention that you're trying to cut the losses and therefore revenues are slower. How should we look at this business going forward -- is the loss cutting activity over or is there still some time to go?

Sahil Maheshwari: So, let me address, Ashish. So, essentially the branded and generic formulations are segmented further into three categories; one is the domestic branded segment, the second is the exports, and the third is the trade generic. As you said, we are curtailing losses, it is only through the trade generic segment, while both the prescription branded domestic as well as the exports, both are positive. So, in a way the movement was earlier also positive. So, overall, in Q1, as Sumeet ji earlier mentioned was from 3.9%, we moved to 10.2%, right. And to your point, yes, we are in a process to further curtail down these losses into the trade generic segment.

Ashish Thakkar: But then how should we look at this business growth, is there a trade-off between improving margins and the revenues, how should we look at it?

Sahil Maheshwari: So, as I said, both the branded businesses which are of key businesses and they both have EBITDA margins above the corporate margins, right, so both of them are growing at a healthy pace and we continue to stay active on these two fronts. Regarding trade generics, we had the opportunity to consolidate this business. So, that is where we are consolidating the revenue, and the trade-off is

largely over. From now on what we feel is the worst is in a way behind us and we should see some further improvements in the overall margins for the branded and generic formulation.

Ashish Thakkar: My second question is on this Parabolic Drugs that the losses were there last year. So, how should we look at the losses coming down? Whatever restructuring that we were trying to do at their facilities, are all those activities over and when can we see some contribution coming from Parabolic?

Sahil Maheshwari: So, the Parabolic which today sits in our subsidiary, Pure and Cure which we acquired. Rightly so, so, if you really look at the trajectory of Parabolic in FY'23, we had almost a 50% EBITDA loss, then last year, we almost had 40 crores plus EBITDA loss over a sale of roughly 10-odd crores. So, largely the EBITDA is improving. Now, if we really look at Q1-to-Q1 last year we had almost (-)23% of EBITDA loss which now has improved to (-)17%. Like while the progress in improvement is a bit slow in this quarter, essentially which is dr

iven by the prices soften for the Cephalosporin. So, as I mentioned earlier as well, Cephalosporin was almost 85% of the business. So, while the realizations fall, the COGS percent moved up, but in a way the other aspects of the business stay intact, the growth is positive. I'm happy to share even in the first quarter, we also exported to Spain from our Dera Bassi facility, right. So, we continue to add more countries, more accounts, more customer base and see how can we expand this business going forward. So, those levers are intact, while if you really look at it, the percent profitability also improved Q1-to-Q1.

Ashish Thakkar: As far as the potential in the Parabolic Drugs is concerned, can we go to 1,000 crores revenue mark so which it used to do in earlier days, is that kind of a potential still there in the Parabolic asset?

Sahil Maheshwari: So, I think you have read the financials of Parabolic which was also a listed entity. So, assets are largely the same, right? So, it is Dera Bassi, Lalru, Asil. These assets are fine. It used to do approximately a decade back that kind of revenues. But a pertinent point I wish to make over there is also it was approved by global authorities, right. So, that endeavor is there that in coming years export to more countries, but as far as your question is concerned, obviously, that facility is currently having significant space for revenue expansion.

Ashish Thakkar: When do you see this facility becoming EBITDA-neutral, are there any timelines?

Sahil Maheshwari: So, as in this point I cannot put down a quarter wherein we would, but the results are encouraging. As I was mentioning earlier if you look even quarter-on-quarter, the percent decline is coming down, the revenues are increasing, the customer base is increasing, we have an active product pipeline commercial which is there. So, the efforts are into the right direction, and I feel that we should be able to do a good business.

Moderator: Next question is from the line of Rahul Salvi from Franklin Templeton. Please go ahead.

Rahul Salvi: So, I had a question on the CDMO business. So, the thesis here was basically that this business can grow faster than the Indian pharmaceutical market basically by volume share gains as well as gains in private labels or trade generic, etc., so that will also drive volume, but this quarter I think the volume growth was just 5.6%. So, if you could speak how we should expect this growth over the full year period? And whether that trajectory of a low double digit to mid teen kind of a growth in this business is intact?

Sahil Maheshwari: So, just a correction on to your question first. So, as I mentioned, almost 14% we grew into volume terms, the revenue growth was 5.6%. So, volume, yes, we grew faster. If you really look at the market, the volume and the new introductions, these were largely flattish in low single digits if you really look at the MAT, but we grew double digits, which was almost at 14%. So, the underlying thesis is correct that we are growing much faster than the market. As was mentioned earlier as well by Sumeet that essentially the business model is a cost-plus model, right? So, the API prices have an impact on the transfer prices or the revenues we realize from our clients. But as I mentioned, the volume is intact, and as you said across the therapies, the zones, the clientele we serve, we continue to see a good traction to our business.

Rahul Salvi: So, if the volume growth was 13%, 14% and the revenue is 6%, so that means the product mix was inferior towards low price product, is that how we should read it?

Sahil Maheshwari: The product mix remains the same. As I mentioned, the API prices this quarter fell almost by 7% to 12% depending on the API therapy, right. So, once your API prices fall down, the revenue realizations fall down since it's a cost-plus model. Every purcha

se order, it's a complete pass through to the customers whether it's a inflated price or a subdued price of the API.

Rahul Salvi: And what has led to the improvement in gross margins of around 430 basis points in this quarter YoY?

Sahil Maheshwari: So, as we were mentioning earlier, so we received multiple new innovative approvals… the new DCGI approvals, right? So, we also had good operationalization of our facilities, right, if you really observe, the utilization levels also improved, right? So, it helps us improve the overall gross margins.

Rahul Salvi: And on the full year basis, how should we expect the revenue growth trajectory? Since the API prices are stable and say at those lower level, so will the full year growth will also be slower on the CDMO side in terms of reported growth even though the volume growth might be higher?

Sahil Maheshwari: So, honestly sitting today, we cannot predict the API prices, right, while still some of the API prices have bottomed out, there is still a good chunk of API prices, which still continue to see a downward trajectory. Having said that, the key business growth driver for us is profitability and the volumes, right, those two remain strong. If you really look at it, the EBITDA margins also improved and the percent margins also improved as well as the volume growth was strong, right. So, as and when the API prices correct, it's right, we will see an uptick in revenue, but sitting today it's difficult to comment what would be the revenue growth.

Rahul Salvi: On the branded and generic formulations business, so, if you could split out between the three segments, Akumentis, trade generics and the third segment as to what is the revenue split as well as margin split for us to get a better clarity in terms of trajectory? So, if you could put that in the presentation itself, is that a possibility in the near future?

Sumeet Sood: The issue we have is that we don't give that split in the financials, right. While we have grossly told you that there is an overall very healthy growth in the EBITDA margins from 7 crores to 17 crores, we would be under compulsion not to probably disclose something which is not in the public domain. We apologize for not giving an answer to your question.

Rahul Salvi: Because the challenge we face is that these three are completely different businesses, having different business models and drivers, so it becomes easier for us to track the performance over a long period of time. That was my submission.

Moderator: Next question is from the line of Christy Or from HSBC Asset Management. Please go ahead.

Christy Or: So, I just have one question on the cost of model on the CDMO side, because you're also aware that the API pricing downward trend has been happening since the end of 2022 and despite that throughout 2023, I think our performance in CDMO actually did quite well, close to 20% growth if I remember correctly. So, has anything changed ever since because if the API pricing trend hasn't really changed and it's actually been improving yet our performance is actually probably up slightly lower compared to last year, is that due to potential outsourcing rates going down or is there something else that might be driving that pricing gap?

Sahil Maheshwari: As I said, I'll bring all the points together. First is the volume growth was intact, almost over 14%, right? The margins improved, right? So, what fell down to realization is the factor that the API prices went down. So, there was a consistent supply from both the Indian as well as the global player. Then there was stabilization in the prices of the solvents, in the KSM prices, right. Due to weakened demand in the overall pharma industry, while degrew in the volume terms, the overall pharma industry was largely flattish. So, all of these factors led to release of inventory from the API players,

right, and hence the API prices fell down. While '22 as you were mentioning was a period of high, but since then several API cycles of plus and minus were there. So, that's there, right?

Christy Or: I understand the inventory release part, but would you mind clarifying again what might be the difference compared to last year?

Sahil Maheshwari: Sorry, what might be -?

Christy Or: Normally, the difference in terms of the price acceleration compared to last year, because I suppose the destocking that happened last year when China was dumping a lot of API excess capacity to us in India, that has led to a very steep API downward pricing trend. And as we stabilize right now, if anything, it should not be worth the last year. But despite the downward pricing from last year, we delivered 20% growth. So, I'm just wondering what else might be causing the price discrepancy between this year and last year?

Sahil Maheshwari: As I mentioned, so the calming down of the solvent, the KSM prices as I mentioned earlier there was almost a reduction from 7% to 12% in the API prices. A few of the APIs for example cephalosporins, paracetamol, they continue to see a downward trajectory. So, there is still softening of a few of the APIs.

Moderator: Next follow up question is from the line of Ashish Thakkar from JM Mutual Fund. Please go ahead.

Ashish Thakkar: This is the first call after your listing, on an overall basis, would you like to guide the investors for FY'25, how should we look at the next three quarters panning out because the first quarter was of just a 5% revenue growth while there was margin improvement, would you like to give some color or some assistance from your side?

Sahil Maheshwari: So, Ashish, essentially so as I'm mentioning there have been a good traction to the business, the volume is growing, the margins remain strong, we have been performing well. So, the endeavor is how can we perform well. As of today, we cannot give any guidance for the year, but all the levers for example, the loss in the trade generic, they continue to curtail the API, there's a good amount of effort which is done to minimize the losses and as and when the Cephalosporin prices, they average out from the current bottom, we might see an uptick in the revenues, right, the export business is going strong, we have good product mix today which has led to improvement of our gross margins, right. So, all of these factors, we believe the business should grow and do well. But as of today, we do not wish to give out any specific guidance.

Ashish Thakkar: Is there a seasonality in your business in terms of the quarters?

Sahil Maheshwari: Limited seasonality, but you might win some good orders at times. So, some quarters you might win, and then there are opportunities which lie with for example, if I get a regulatory approval in Q3, Q4 that might pan out well if it's a good product in demand, and then there might be some new customers which we add which bring in revenues which get shifted from other CDMOs, new companies launching new divisions that might give us a boost. So, while the pharma, if you really observe Q2, Q3 are strong quarters, then driven by monsoon season and then the winter season, but for us largely it is good, but we have in the past really seen that some of the quarters might perform well driven by what our business wins are.

Ashish Thakkar: Anything on the recent Injectable facility which you commercialized, would that contribution start from Q2 onwards or Q3 onwards?

Sahil Maheshwari: So, the new injectable facility which we commercialized starting 22nd this month, so how this happens is you need some time to get the required client audits, the WHO-GMP and so on. So, it takes almost 6-8 months before we can onboard good clients with good capacities of the business to start with. So, how do we currently see this business is from FY'25-26 onwards, we should be able to ramp this up. We have ampoules and vials; we are also introducing new dosage form which is lyophilized vial in that facility and we are hopeful that this facility will make a meaningful contribution to our business.

Ashish Thakkar: Lastly, this quarter the taxes were a bit higher than what we might have anticipated. How should we look at the full year number?

Sumeet Sood: You look at the taxes in two ways, right? One would be that if you look at the March '24 number, there was a deferred tax asset which was created, right, this was due to a merger that happened, right. What is happening is that in the period that asset is being utilized, so that is showing in the financials. While the cash payout will be much lower, when you look at the financials, you'll see a higher deferred tax charge that is the reference, otherwise we should be on a payment basis 19% to 20% tax for the company.

Moderator: Next question is from the line of Rohan Vora from Envision Capital. Please go ahead.

Rohan Vora: Sir, recently there were some news articles referring to extension in timeline for Schedule M. So, I just wanted your view on the same.

Sanjeev Jain : The Government has not confirmed anything. The government is thinking about this. SMEs have represented this, but I don't think this is going to happen. If it happens there will be a very minor impact because we don't have that business. But whatever we have planned for our future growth

there could be minor impact not more than that. So, the people would not be able to sustain the prices then their business will be shifted to us then we would have more growth which we projected.

Rohan Vora: Nothing is firmed on this this. It is still just a representation?

Sanjeev Jain: Yes.

Moderator: Next question is from the line of Chintan Shah from JM Financial Family Office. Please go ahead.

Chintan Shah: So, my first question is on business revenue potential. So, if I remember correctly, our capacity utilization was at 40% per se FY'24 and when we add this new injectable facility plus there were certain facilities which were also underutilized and now we announced another two facilities. So, my question is, what should be the revenue potential when you put all this together and how much the capacity utilization can increase to, and also if you can help us understand how should we see the ramp up to reach the revenue potential?

Sahil Maheshwari: Sure. So, as you rightly said, the capacity utilization was roughly 40%-odd, which was approximately 2% more than 38%, which we did in the last. So, having said that, injectable, we operate at a good capacity. So, let's also further understand when we say 40%-odd max we can achieve given we have multiple SKUs we do almost 18,000 SKUs annually over 4,000 formulations, which involves a significant changeover as well. The max capacity utilization ranges from 50% to 60%-odd depending on the line of the product, right? So, what we have essentially done is injectable facility we kick started, we had significantly good visibility and we're also operating at good utilizations for our injectable facility and hence this project got initiated a few years back which this month got commercialized, right? So, that is there. As you rightly said, in Baddi also, we have oral solids and liquids which again operates at good capacity. Liquids in a way can be seasonal when you have cough and cold and oral liquids can be seasonal and hence to cater to the spike in demand which can happen that is also there. Then at times what we have also seen in the past is brands get transferred to us from other CDMOs or from in-house manufacturing to us and hence we keep a buffer of spare capacity to excel into the service to our customers. As far as Jammu is concerned, what we are essentially doing is as we recently expanded into newer dosage form, some will be newer dosage forms and some would be addition of capacities which we feel. So, if we today have thought-through it you would appreciate that it would take a few years from when we can commercialize the facility. So, for dosage forms which we today operate at decent capacities wherein in the next two to three years we might face capacity crunches and hence we thought of putting down the facility into Jammu.

Chintan Shah: So, question basically was if we put this altogether, say 3-4 years now, how should we see the revenue potential?

Sahil Maheshwari: If we see the historic numbers, we usually do 2.5 to 3 times of our gross block. So, that is how we see it. While the margin profile from one dosage form might vary to another, but if we really stick to what has happened historically over the last two decades of the operations of the company, this is usually what we do when the capacity fully gets ramped up over the next 3-4 years and operates at a decent utilization. On the utilization, as I was mentioning, so this is a continual cycle and that's a sign of a positive business growth. So, for example, if we today stand at 40% for any of our lines, right, and it's moves up to 50%-odd, then we start to think of adding an additional capacity till the time it reaches 55%, 60%-odd which I mentioned earlier is peaking out of our capacity. We add another capacity, it falls back to let's say 20%, 30%, then it starts moving up, right. So, it's a cycle of growth of the company and that's how we plan our capacities.

Chintan Shah: So, injectables, how much CAPEX have we put in here?

Sumeet Sood: We have put in 152 crores in the injectable plant.

Chintan Shah: And this Jammu plant we're putting in approx. 265 crores?

Sumeet Sood: Yes, you're right.

Chintan Shah: And when is that expected to be commissioned?

Sahil Maheshwari: So, over the next 24 to 36 months.

Chintan Shah: The second question was on the balance sheet side. So, right now, if I see the cash flow that we are generating and we have a few balance sheet and apart from this CAPEX, I believe there is no other capacity addition on the card. So, how do we intend to utilize the cash that we have now?

Sumeet Sood: While we are generating free cash flow and we have proceeds from our IPO, there are specific purposes for which these funds are to be used, right. So, of the total proceeds, 387 crores goes around repaying our debts, right, the working capital and the long-term. Some of it will be for additional working capital, some of the funds that we will have, we have set aside for inorganic opportunities where we see some synergies for our business, largely keeping them as a corporate war chest for the need that arises. So, I think that's largely how we are going to use our cash, which will be on our books.

Chintan Shah: And one question was on the CDMO margin. So, we are somewhere around 15%-odd and considering the capacity utilization that we have, I mean just wanted to understand is this the optimum margins that we should expect we can do or is there a scope for improvement?

Sahil Maheshwari: So, largely that's it. This is the stable business vertical. I think these are stable margins for us.

Chintan Shah: The margin improvement basically that we should expect is from the other two segments?

Sahil Maheshwari: Absolutely.

Chintan Shah: Just continuation to what earlier participant asked, if we need to understand the FY24 revenue especially on the CDMO part, so is it fair to say that there was no elemental of decline in API prices that was involved or was it a case that the volume growth again in that particular year was much higher, so if you can just spread it up, I think that would be helpful?

Sahil Maheshwari: In FY'24 as well, there were some decl

ine in API prices, right? So, we will also see that. So, we deal with the multiple APIs, right? So, as I said over 4,000 formulations, multiple APIs, right? Some goes up, some go down. As a business, what we mentioned in Q1, most of the APIs had a fall in the prices and hence we specifically call out that the volume was higher than the revenue, while the margins are intact, which gives us confidence that the product mix was good, right. In previous year as well, the volume growth was still intact, but this is what is a specific nature for this quarter.

Chintan Shah: So, we have done a 20% revenue growth in the CDMO segment last year. So, now assuming there is some price decline, the volume growth will be much higher. And if I remember correctly for the industry, the volume outperformance was pretty high. So, if you can explain what happened here and in context to that, then this quarter is to be a very sharp declinable if we consider from a volume perspective, so is that on a high base or what's the reason for that?

Sahil Maheshwari: So, can you paraphrase this again? Sorry. There were multiple points. I could not catch it.

Chintan Shah: So, last year basically the volume growth was somewhere if we assume 5%, 7% decline in API prices, volume growth was in high 20s and now this quarter if you see somewhere in the range of 13%, 14%-odd. So, I mean that is what I'm trying to get why is there such a sharp strengthening in one quarter in terms of volume?

Sahil Maheshwari: So, 20%-odd as a volume growth, I don't think we did it last year. This is a good quarter where we did volume growth and similar growth we do over the business cycle. So, that is it. So, volume, as you're mentioning, it's not really declined, but the volume growth has been positive for this quarter.

Moderator: Next question is from the line of Ashish Thakkar from JM Mutual Fund. Please go ahead.

Ashish Thakkar: What is the kind of API inventory that we maintain in our CDMO business?

Sumeet Sood: So, we sort of have two months inventory in our CDMO business.

Ashish Thakkar: And since we are in the midst of a Q2, you still feel that the price pressure from the API is still there, that's still relevant, right?

Sahil Maheshwari: Yes. So, it would have an impact in Q2 as well.

Moderator: Next question is from the line of Prashant Nair from Ambit Capital. Please go ahead.

Prashant Nair: So, I have two questions. The first one is on the API business. Can you elaborate on your plans for this business? It's a new one for you. So, are you trying to build something similar to what you have on the formulation side, CDMO kind of business, domestic focus or international, how do you see this business evolving over time?

Sahil Maheshwari: There's one major difference. So, in CDMO, we work across multiple formulations, right, and hence it gets a domestic focus. APIs are different. You have a selective basket of APIs, right? And while the endeavor is to go global, the first step is how can we do ride for Indian markets, move slowly, move from the semi-regulated and finally to more regulated markets. So, that is there. The idea as you initially mentioned, the idea is clear that we have to turn this into a profitable venture soon. The key costs, obviously, since the business is small, there is high costs currently. Then as we gain scale, this business will have improved efficiencies as well as margins, which over the last three years you could read the numbers is consistent, This is nothing but this quarter over the last multiple quarters and years, we have been continuously improving our margins. This is a new business which has extensive R&D orientation, extensive orientation towards seeding the APIs to the formulation player so that they continuously use in their formulation. So, it has some gestation period, but we are hopeful this will be a good vertical and obviously that's the reason why we separated out from the CDMO business because we feel it's a meaningful business to be reported independently.

Prashant Nair: So, on your international formulations business, again, similarly, can you elaborate on which are the key market that you're focused on, what would your front-end strategy be in these markets?

Sahil Maheshwari: So, Prashant, we today export to almost 65-odd countries, right? It has a good fair mix of both chronic as well as acute segments. So, the idea is to build out brands which have a prescription and a brand recall. So, we have country managers in a few of the countries which are of priority countries. As of today, we are there in Southeast Asia, South Asia, Africa, covering both East and West, right. We are slowly penetrating into other markets, for example, the Middle East, LATAM, then CIS as well. So, all of these markets are interesting markets for us. A couple of years back, we also received European approval for two of the most important dosage forms; one is the injectable and the oral

solids which is tablet and capsules, right. So, we also plan to move to the European markets gradually. We are in a process of filing dossiers. We have already filed two dossiers which are there in the public domain. Some are there in the pipeline as well. So, the idea is selective markets across continents wherein we can build brand recall and generate good business for the group.

Moderator: Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to the management for the closing comments.

Sahil Maheshwari: So, thanks a lot everyone who has joined in. We really appreciate your time. Looking forward to our next interaction soon. Thank you.

Moderator: On behalf of Ambit Capital, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Nov 2024

Ref: Akums/Exchange/2024-25/39 November 15, 2024
To,
The Listing Department
National Stock Exchange of India Ltd
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E),Mumbai – 400 051

Symbol: AKUMS To,
The Listing Department
BSE Limited
Rotunda Building, Phiroze Jeejeebhoy
Towers, Dalal Street, Fort, Mumbai –
400 001

Scrip Code: 544222

Sub: Transcript of Earnings/Analysts Conference Call held for limited reviewed un-audited financial results of Q2 FY25.

Respected Sir/Madam,
Pursuant to the Regulation 30 read with Part A of Schedule III of the SEBI (Listing obligation and Disclosure Requirements) 2015, please find enclosed herewith the transcript of earnings/analysts conference call held on Monday, November 11, 2024 at 12:00 PM (IST) on limited reviewed un-audited financial results of Q2 FY25.
The said transcript be also available on the Company's website
https://www.akums.in/investors_new/announcement/
This is for your kind information and record.
Thanking You
For Akums Drugs and Pharmaceuticals Limited

Dharamvir Malik
Company Secretary & Compliance Officer

"Akums Drugs and Pharmaceuticals Limited 2QFY25
Earnings Conference Call"

November 11, 2024

MANAGEMENT : MR. SANJEEV JAIN – MANAGING DIRECTOR
MR. SANDEEP JAIN – MANAGING DIRECTOR
MR. AMRUT MEDHEKAR – CHIEF EXECUTIVE
OFFICER; CDMO
MR. SUMEET SOOD – CHIEF FINANCIAL OFFICER
MR. SAHIL MAHESHWARI – GENERAL MANAGER;
STRATEGY

MODERATOR : MR. PRASHANT NAIR – AMBIT CAPITAL

Management: Ladies and gentlemen, good day and welcome to 2QFY25 Earnings Conference Call of Akums Drugs and Pharmaceuticals Limited hosted by Ambit Capital.
As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Prashant Nair from Ambit Capital. Thank you and over to you, sir.
Prashant Nair: Good afternoon everyone. On behalf of Ambit Capital, I welcome you to the 2QFY25 Earnings Call of Akums Drugs and Pharmaceuticals Limited.
We have the following members of the Management Team on the conference with us today Mr. Sanjeev Jain – Managing Director, Mr. Sandeep Jain – Managing Director, Mr. Amrut Medhekar – Chief Executive Officer; CDMO, Mr. Sumeet Sood – Chief Financial Officer and Mr. Sahil Maheshwari – General Manager; Strategy.
I would now like to hand over the call to Management for "Opening Remarks" for which we can move to Q&A. Thank you and over to you, sir.
Sahil Maheshwari: Thanks a lot Prashant for the introduction. Hello everyone and welcome to our Q2 Earnings call, I am Sahil.
Let me draw your attention to the fact that on this call our discussion might include certain forward-looking statements which are predictions or projections of the future events. Our business faces several risks and uncertainties that could cause our actual results to defer materially from what is expressed or implied in such statements. Akums does not undertake any obligation to publicly update any forward-looking statements, whether as a result of new confirmation, future events or otherwise.
I hope everyone has gone through the investor presentation and the results which we share on our websites. I would now like to hand it over to Sandeep sir to take over.
Sandeep Jain: Namaskar to everybody, thank you Sahil ji. Happy Diwali to everybody.
We take pleasure in declaring the Q2 Results of the company and thank all the stakeholders and shareholders for their continued support to the company.

We are the largest India-focused Pharmaceutical CDMO with over 30% market share. Our company caters to over 1,500 clients both Indian and MNC Pharma companies with whom we have long-standing relations. Today 26 out of top 30 Pharma companies in India are our partners.
Our total consolidated revenue in Q2 was Rs. 1,047 crore which is 2% higher on Q-on-Q basis however, 12% lower on Y-o-Y basis which is due to a combination of 3 factors.
■ Muted demand resulting in lower volume growth.
■ Prices of several key API's including Amoxicillin, Cephalosporins, Paracetamol, Telmisartan etc., continues to fall. As you are aware, our CDMO business is a cost-plus model, so when input costs fall, we experience revenue deflation as well.
■ Falling API prices have another secondary impact. It affects order frequency because customer wait for API prices to bottom up before building up inventory.
■ The continued fall in API prices of Cephalosporins has also impacted our revenues and profitability of API business.
■ Thirdly, we had some significantly higher revenues from an outsourced product development engaged in Q2 of the prior year.
All these impacted our adjusted EBITDA margin which is down to 12.9% versus 15.8% in the prior year. Our adjusted PAT margin expanded to 6.4% versus 5.2% in the prior year.
Despite this ongoing volatility, we continue to see strong long-term demand for outsourced drug development and manufacturing. We will continue to invest in building world-class capabilities to help our clients launch new formulations a

nd therapies and support them in their enhanced growth and transformation. We continue to make robust investment in R&D to drive new product development.
Our R&D spend was Rs. 64 crore for the half year reflecting a robust pipeline of new Pharmaceutical, Nutraceutical and Cosmeceutical formulations that will drive our growth in the future. We received 10 DCGI and 86 FSSAI approvals in H1 of the current fiscal.
We are happy to announce that during the quarter we received a patent for our formulation room-stable Hydroxyurea oral suspension. This is a break-through formulation aimed at managing Sickle Cell disease which has a high disease burden especially in geographies like India and Africa.
Akums has been granted an exclusive right for further development manufacture and market the products innovated by Triple Hair Inc. Canada for the India market. Akums will undertake development, obtain regulatory approvals and commercialize this product in India. The product

is a topical solution targeting alopecia and hair loss.

We are also actively investing in API R&D to develop robust global pipeline of API with cost-efficient processes. We have over 80 scientists in API R&D and have invested Rs. 7 crore in H1 25. In API R&D, Rs. 30 crore has been invested till date. Similarly, we continue to invest in building production capability to support our future growth. In H1 we spent around Rs. 150 crore in CAPEX.

In Q2 we started commercial production at our new injectable facility in Haridwar. The facility has operational ampoule and SVP FFS line and we plan to start and vial and lyophilized vials in Q3. Further in Q4, LVP FFS will also be operational. Akums was one of the early entrants in CDMO injectable markets in India and the new facility will further boost our ability to tap growth in the injectable market in India.

We have completed the land acquisition for our Jammu plants and civil works is expected to begin shortly. Commercial production from these facilities will begin in ‘26-27.

Our focus on export markets continues. Let me share some of the development on that front as well:

- Till date we have filed 2 dossiers in Europe to leverage our European GMP plants. We are building a pipeline with products which have high unmet needs and with limited competition targeting European markets.
- Akums has entered into MoU with Ministry of Heath, Government of Zambia to setup a joint venture to manufacture pharmaceuticals in Zambia. The pharma market in Zambia is worth over Rs. 2,500 crore, with more than half being managed through Government purchase only. Akums and Zambian Government will jointly invest in setting up manufacturing facility in Zambia to cater to local Zambian pharmaceutical needs.
- We are also focusing actively on formulation exports as one of our key growth driver in the future. We have fairly diverse formulations across multiple regions and therapeutic categories. We today export to over 60 countries including South East Asia, South Asia, Eastern and Western Africa, CIS and have recently started in Middle Eastern market as well. Our export portfolio ranges from Oral Solid to style formulation across acute and chronic therapies with total dossiers files at 367.
- In our API business also, we are taking progressive steps in increasing export to drive better product realization. In H1 25, around 9% of our API sale was from exports, primarily to Asian countries. We also plan to file CEPs in European market soon. We expect to file at least 2 CEPs in H2 and also undergo European EDQM order this fiscal.

Looking ahead we expect demand trends in the second half to be largely similar to the first half. There could be some upside potential if we see some improvement in API prices and uptake in industry volumes, but that remains to be seen.

With that let me hand over to Mr. Sumeet Sood, our CFO, for the Financials.

Sumeet Sood: Sandeepji thank you very much. I come to the financials. As Sandeep ji mentioned, the performance for the second half and first half looks similar. I think the quarterly result also if you look at the quarterly result, they also look similar.

If you look at the total consolidated income, we were at a Rs. 1,047 crore. This was 2% higher than the last quarter, but it was 12% lower than year-on-year basis.

Our consolidated EBITDA was Rs. 135 crore this is 3% higher than Q1, but 28% lower year-on-year basis. Sandeepji did mention one large product development income which came in which was for the last year and not this period, so that is one reason and if we exclude that income, we would have seen a 15% EBITDA growth on a year-on-year basis.

Consolidated EBITDA margin was at 12.9% in Q2, similar to Q1 which was 12.7%. However, the Q2 last year saw almost 15.8% EBITDA margins.

Gross margins on consolidated basis in Q2 were at 42.3% similar to Q1, but higher than Q2 last year which was 40.6%. The consolidated PAT saw an improvement to Rs. 67 crore from Rs. 57 crore in Q1.

If we were to break the segment-wise revenue, CDMO remains our driving force with almost 79% of the revenue share in Q2, followed by branded and generic with a 16% and API business adding to 5% of the revenue.

Our CDMO business margins are at 15.4%. The branded and the generic EBITDA margins are similar at 10.3% in both the quarters Q1 and Q2, which is higher from the Q2 last year which

was around 4.5%. The continued profitability is due to our efforts to reshape our formulation portfolio in favor of branded products which are driving high profitability.
The API revenue showed a marginal improvement of Rs. 4 crore and for 6 months increased by Rs. 36 crore. The continued softening of API prices had an impact on the margins of API business wherein the margins for the quarter were Rs. (-) 14 crore and Rs. (-) 26 crore for 6 months.
The cash flows for the company, the net cash flow if we look at there is a cash surplus of Rs. 341 crore the IPO proceeds have also come in. Large part of the IPO proceeds till November has been drawn on. Cash flow from operations for H1 September 24 was Rs. 71 crore positive and the free cash flow post investment activities was Rs. (-) 65 crore. The company's long-term rating sort of improved, we got AA Stable from ICRA on long-term basis and the short-term rating continues to be A1+ as in that is from our side.

We are happy to take questions on the company and the performance.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Abdulkader Puranwala from ICICI Securities. Please go ahead.
Abdulkader Puranwala: Sir could you please quantify on the one-off income what you had in the last year same quarter? And what is the part of the CDMO revenue?
Sumeet Sood: Last half yearly we had a significantly higher income of Rs. 82 crore in the CDMO business, from a product we had to develop for a particular customer, which we did. Now if you look at the 6 months numbers, Abdul, so you will see our EBITDA is Rs 265 crore while it was Rs 295 crore for 6 months last year. While that was a huge income which came in which was not here in this particular period, but we have still maintained the company's EBITDA pretty well.
Abdulkader Puranwala: Sir could you share some highlights about the export orders both for formulations and API, how do we see the traction getting built in that particular space?
Sahil Maheshwari: On the export side, as we said we continue to gain traction. We are expanding our portfolio from OSD to injectable. We have also filed couple of dossiers in Europe. We have multiple others in pipeline. We have few o

f our plants as well which will soon taking the European approvals, so the idea is to go stronger and deeper in markets that we currently are in, which is South-East Asia, Africa and South Asia and build a robust pipeline and presence in Middle East markets as well as the European markets, so that is there. As we said we are expanding not just to distributors we are also recruiting people so that we build a brand recall in these markets of prominence, so that is there.
Abdulkader Puranwala: Sir, for the European formulation business would that be a backward-integrated project that is your current API sites would utilized for the API for this formulation product ?
Sahil Maheshwari: No, Abdul. API as we said largely we have Cephlosporin . Lalru has limited general API as of now. So this is forward integrated in a way you can say that the European operations is largely we supply formulation from our CDMO business, so that is forward integrated. I would not really call it as a backward with an API.
Abdulkader Puranwala: Next on the new injectable site at Haridwar, so I understand you would be commissioning that in phases till the end of this fiscal, but any color you would like to provide us to what are the products you are getting in manufacturing here? And in terms of your existing site what is the overlap with your previous manufacturing units as on?
Sandeep Jain: Under this we have 4 dossiers forms, 2 out of which we have already started one is ampoule and one is FFS ampoule, and we are going to start Lyophilization and Vial and later on we will start

LVP. Apart from Lyophilization, we already have rest of the other facilities in our other plants, as it was running around its capacity, so from expansions point of view we have announced the glass ampoules capacity, announced the FFS ampoules capacity, Lyophilization is a new addition which is going to happen soon and we already have 2 LVP lines and we are installing one more line whose capacity is fully occupied.
Abdulkader Puranwala: Final question, the Sickle Cell product, so congratulations on this patent. When do we see the commercial revenue building up from this product? And will this be your own product or this is a contract manufacturing opportunity?
Sahil Maheshwari: We have both of the opportunities. First this is a business for government because there are many patients within India and worldwide and the present therapy for the same item, which is not room-temperature stable, its cost is too high. Our cost is around 1% to 2% of the total cost. Under Indian government approval system, we have already gotten approvals as per regulatory system, but because it is a new item category, the government has not included in its main program, so

that is moving on that process. As soon as it is included in the government's program, then from that we will get governments business.
In domestic business, domestic players will take some quantity from us which is under process which I think will also start coming soon as soon as our governments price is approved.
Export business also has a future and there is more scope in African countries and in most of the Asian countries. There, the process of product registration of any item is very long, but the government has started some processes to shorten it and a few of them have already started buying some minimal quantity for testing purpose from us, so we hope in future that business will be created for us.
Moderator: Thank you. The next question is from the lines of Ashish Shreeram Thavkar from JM Financials. Please go ahead.
Ashish Shreeram Thavkar: Sir I had this question on our export business like you spoke about Zambia, the Europe and dossiers that you guys have filed in. When do you see the real commercial benefits flowing in from whatever investments we are making into export markets?
Sahil Mahe

shwari: European business, we likely see within couple of fiscals. We have already filed and these take approximately 2 years to finally get the approval. These are prescription-oriented products, so these will slowly and steadily build volumes as well. In Zambia, we have recently entered into the MoU. Once finalized we will start setting up the facility which will take anywhere between 18 months to 24 months. This will have a quick ramp up compared to the European because it is essentially a government procurement which will enable us to supply the essential medicines in Zambia, so that is there.

Apart from this, we continue to file dossiers in the South-East Asia and the African markets, the Middle East markets as well. Our current business is largely propelled by these geographies. We still have almost 350 dossiers in the pipeline. We gained significant approvals in the first half as well, 80 plus approvals. So that is, Ashish, the focus area.
Ashish Shreeram Thavkar: Since you said the second half would be largely similar to first half, not expecting any positive surprises. But then, with whatever initiatives you have and your current engagements with your clients, how do you see FY26 panning out? Obviously, investors are looking at this business as a proxy to the IPM, so if you could make any comments on how do you see FY26 spanning out and can we return to mid double digit or mid teen kind of EBITDA margins in next fiscal?
Sahil Maheshwari: So, Ashish, couple of points. Sandeep sir also mentioned which looks a drag on the financials currently one is as it is a cost-plus model, the API prices have an impact. An update on to it is while we saw the API prices softening in Q3, most of the intermediates of the KSM have started showing some solidification. So, either in Q3 or Q4, I expect the API prices will at least average or normalize. So, this will have a positive impact on our revenue cycle.
And as for industry volumes, while the Q1 was strong on volumes, as I said, the continued fall in the API prices and the stocking which happened in the Q1 resulted in H1 volumes being largely flattish, which is similar to the industry. So, if the industry volumes and the new launches pick up, I feel that FY26 should be moving on those lines essentially.
Ashish Shreeram Thavkar: So, by any chance, are you guys losing market share on the volume side?
Sahil Maheshwari: Ashish, we have not done an updated calculation on that front, but that is not the case, I think. If you really compare to the industry, we are performing just like the industry, so that should not be a case of loss in the market share. Additionally, as I said we have couple of plants which recently got commissioned, the injectable facility as well as the Baddi facility and happy to announce also the Penem facility has successful client audit as well, so with these utilizations in the capacity we should have an increase in volume going forward in FY26.
Ashish Shreeram Thavkar: Sir lastly on this API EBITDA loss, internally are we still on track of making this business EBITDA breakeven by quarter 4 of FY25 or you feel those timelines could get shifted ahead?
Sumeet Sood: Ashish this is Sumeet. I think the API prices softening has not helped the cost, so to answer you very directly I don't think that in the Q4 this will turn around, or it would not be EBITDA positive. I think we will have to give it 6 months from here and we will revisit our business plans starting April. In the short term, over the next 3 months to 6 months, honestly speaking we don't see that this is going to turn EBITDA positive.

Ashish Shreeram Thavkar: Sir at least on whatever corrective or because you were trying to setup your own SOP at Parabolic drugs, so all those activities are over or they

are still going on?
Sandeep Jain: Those activities are complete now. There is nothing from Parabolic, now it is an entity of Akums Pure and Cure and we have complete control over it.
Moderator: Thank you. The next question is from the line of Prashant Nair from Ambit Capital. Please go ahead.
Prashant Nair: First question is on the CDMO business. If I remember, in the first quarter you had good volume growth I think double digit growth. Your prices dropped but volumes were growing. Can you share what was the volume growth in Q2 and would you have had volume growth in the second quarter if you adjust for the one-time contract you had in the previous year, or have volumes dropped even after adjusting for that?
Sahil Maheshwari: Yes, we did not experience the volume growth. We had a volume decline of roughly 11% this quarter.
Prashant Nair: This is on the full base or is after adjusting for the one-time contract we just called out last year?
Sahil Maheshwari: This is volume. That was R&D, so that had no commercial supplies.
Prashant Nair: Sir what is driving this drop in your view? While IPM growth has been sluggish, there should be some growth in volume. So, is this timing or is there any other factors which you can call out led to lower volume?
Sahil Maheshwari: So, Prashant if you really observe Q1 saw limited volume growth, but we had it, so CDMOs are 1 months or 2 months advance of the industry. While Q2 saw a positive volume growth we had that in Q1. While we are still better of limited to the industry, so that is the cycle it is there, so I don’t see it is a challenge of us not be able to grab volumes, it is an industry cycle. Based on what we see as we said H1 was positive on the volume front, so when we say H2 will be similar to H1 we still see that the overall volume will be up compared to H1 just compared to the previous Q2 we had dip in volumes.
Prashant Nair: Secondly on API pricing issue which impacts your value sales in CDMO when did it start? Sometime towards the end of last financial year, or is it a kind of a first quarter onwards issue? I am just trying to figure out when the base will normalize?
Sanjeev Jain: If you see the API prices are falling continuously, but because of the global scenario in that the main cases like we talked regarding Amoxicillin under which Pen G API or Cephalosporin and China has the fear that in India Pen-G is going to be made, first thing and besides this number

of chemical based API besides formulation Indian manufacturers have improved their efficiency like prices of Telmisartan was less than half percent than of the last years prices, so due to the number of API prices falling our sale volume will be the same, but its sales appears to be less than its value and I think that some numbers are already in the bottom line that it is difficult to go under this, so gradually it will become little stable or become little high. Regarding our volume growth point I don’t think that in any circumstances we are going to lose our market share. We are built for and ready to grab as much volume as possible and we are working in that direction and we are very much confident that our volume share will increase and will increase as we want.
Prashant Nair: One last question from my side. On the market sale side in your formulation business trade generic how much more adjustment is needed or how much more time would it take to normalize that business get it to a stage where you want to predict?
Sahil Maheshwari: So, Prashant, as we have also discussed last time we significantly scaled down this business because it was operating at a very low margins and hence to better utilize that cash we invested into exports for example in filing of dossiers. So, it is on track for now. I think H2 we should be able to bring it at a monthly positive level that H1 had limited

loss I think the bleed is largely because as we are scaling that down we have to get rid of some of the prior inventory, so largely this is the story for this fiscal only.
Moderator: Thank you. The next question is from the line of Gautam Gosar from Monarch AIF. Please go ahead.
Gautam Gosar: Sir my first question is on the trade-generic business as the last participant mentioned, sir if you could quantify how much was the trade generic volume during the quarter? And how much was the loss on that?
Sumeet Sood: The way we have presented our financial this is based on the segment reporting, but the segments are put together, so we don’t disclose that separately. But as Sahil mentioned, there is a very nominal impact. It would be on a monthly basis less than Rs. 1 crore on an EBITDA basis which these businesses would be doing.
So, while we are constrained to give you numbers only based on the segments that we have, we can assure you, as Sahil said, that the numbers for the trade-generic businesses are looking good now.
Gautam Gosar: Secondly on the CDMO business since you have seen a volume decline was 11% and if we see the industry the players were showing a positive volume growth on their side as well as in the

CDMO business, so sir if you could quantify like what is the reason for the decline versus other players and are we losing market share in this?

Amrut Medhekar: This is Amrut Medhekar. As Sahil said earlier, we CDMOs operate at least 2 months to 3 months ahead of the market, so typically the difference between the 2 quarters behavior comparing directly with IPM may not be prudent. It will be easier for us to look at what is happening now will possibly be seen or recorded in the IPM history in the coming times. Number 2, there is also mix of products which we sell vis-à-vis the other CDMOs, so to say that what is the product mix impact, we will have to analyze in terms of how other CDMO are placed in terms of their basket vis-à-vis us.

Moderator: Thank you. The next question is from the lines of Ashish Shreeram Thavkar from JM Financial Mutual Fund. Please go ahead.

Ashish Shreeram Thavkar: Sir just had one question on this government's notification on MSMEs although wherein they have to up their compliance levels, up their quality standards. Is there an opportunity there? And by what timeline do you see some discussions can get into commercial discussions there?

Sandeep Jain: See in the Indian scenario although the date is till 8th January, but the government has not confirmed yet how it will behave, so our wish is each and every company of our country should follow the system which is under Indian law and grow. Right now, there is no view from government side that it will take any action on governments date or not. In India there are approximately 10,000 MSME companies which are suffering if government sticks to their stance. On commercial impact, we don't want any company in the country to be closed for violating the law. Whichever company is compliant, then their business will increase.

Ashish Thavkar: There was an article in media that government has given time till December, that is why I asked this question?

Sandeep Jain: Absolutely correct. I think government has given time till 8th January because they have given a time of 12 months from 8th January and there is not a big difference from December, but they have not yet followed this system with the expectation that the government may extend the time.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management.

Sahil Maheshwari: As a company we are the largest contract manufacturing company of the country and as said earlier we are continuously trying to go globally in dossier and we are upgrading our plants, more plants in Europe and we have collaboration w

ith different type of government also and partners also.

We are very much sure that our volume growth and pipeline of our products that we have that will not only maintain our level but is also helping to take us to the next level and we are working on it.

Just as we are at the number one position in India, globally also in many countries we will be in number one position also. Apart from that, the work which we are doing in new therapies will also help us.

Our next generation is also fully aligned on how to improve our processes and system to take the business to the next level, so it can contribute towards the future. We have over 16,000 employees and 400 scientists who are deployed in R&D. We are making full efforts to add new products to our pipeline and to grow our business.

Setting aside quarter-on-quarter numbers, if we look at the growth of the organization then we can see that the company is moving towards a better future, and all our stakeholders including investors will benefit from this. Thank you.

Moderator: Thank you on behalf of Ambit Capital. That concludes this conference. Thank you for joining us and you may now disconnect your lines.

Note: This does not purport to be a verbatim account of the earnings call. It has been edited for readability and statements made in Hindi have been translated to English.

Call: Feb 2025

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To,
The Listing Department
National Stock Exchange of India Ltd
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E),Mumbai – 400 051

Symbol: AKUMS To,
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Sub: Transcript of Earnings/Analysts Conference Call held for limited reviewed un-audited financial results of Q3 FY25.

Respected Sir/Madam,
Pursuant to the Regulation 30 read with Part A of Schedule III of the SEBI (Listing obligation and Disclosure Requirements) 2015, please find enclosed herewith the transcript of earnings/analyst conference call held on Friday, February 07, 2025 at 04:00 PM (IST) on limited reviewed un-audited financial results of Q3 FY25.
The said transcript be also available on the Company's website
https://www.akums.in/investors_new/announcement/
This is for your kind information and record.
Thanking You
For Akums Drugs and Pharmaceuticals Limited

Dharamvir Malik
Company Secretary & Compliance Officer

"Akums Drugs & Pharmaceuticals Limited
Q3 FY '25 Earnings Conference Call"
February 07, 2025

MANAGEMENT : MR. SANJEEV JAIN -- MANAGING DIRECTOR – AKUMS DRUGS & PHARMACEUTICALS LIMITED
M R. SUMEET SOOD – CHIEF FINANCIAL OFFICER – AKUMS DRUGS & PHARMACEUTICALS LIMITED
M R. SAHIL MAHESHWARI – GENERAL MANAGER STRATEGY – AKUMS DRUGS & PHARMACEUTICALS LIMITED
M R. ANKIT JAIN – DEPUTY GENERAL MANAGER FINANCE – AKUMS DRUGS & PHARMACEUTICALS LIMITED

MODERATOR : MR. ABDULKADER PURANWALA – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to the Akums Drugs & Pharmaceuticals Q3 FY '25 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions

after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Abdulkader Puranwala from ICICI Securities. Thank you, and over to you, sir.
Abdulkader Puranwala: Thank you, operator. Good afternoon, everyone. And on behalf of ICICI Securities, I welcome you all to the Q3 FY '25 earnings conference call of Akums Drugs and Pharmaceutical Limited.
Today on this call we have with us the following members from the management team, Mr. Sanjeev Jain, Managing Director; Mr. Sumeet Sood, Chief Financial Officer; Mr. Sahil Maheshwari, General Manager Strategy; and Mr. Ankit Jain.
I will now hand over the call to the management for their opening remarks, followed by which we'll open the line for Q&A. Thank you and over to you, sir.
Sahil Maheshwari: Thank you, Abdul, for the introduction. Good evening everyone, and welcome to Akums Q3 earnings call. I'm Sahil.
Let me draw your attention to the fact that on this call, our discussion might include certain forward-looking statements, which are predictions or projections of the future events. Our business faces several risks and uncertainties that could cause our actual results to differ materially from what is expressed or implied in such statements. Akums does not undertake any obligation to publicly update any forward-looking statements, whether as a result of new confirmation, future events or otherwise.
Now let's begin, I hope you have gone through the investor presentation that we posted on our website and on the stock exchanges yesterday. I would like to now commence with our performance for the quarter.
We take pleasure in declaring the Q3 results of the company, and thank all the shareholders and the stakeholders of the company for their continued support to the company.
Q3 was an exciting quarter for the company with our focus on establishing Akums' global CDMO footprint, we took a significant step by securing and signing a EUR 200 million contract. The contract involves manufacture and supply of products to be sold in the European markets. We believe this is the first of many such contracts and partnerships we will undertake to serve the European markets in the years ahead.
On the domestic front, we continue to invest in our R&D. Total R&D investment for the 9 months of this fiscal is INR 94 crores. We received DCGI approvals for 7 products in Q3, taking our total tally for this fiscal to 17 DCGI approvals. Among this was the DCGI approval for empagliflozin combination, a major antidiabetic product sold globally.

On the API front, we received DSIR accreditation for our Barwala R&D facility for APIs, reaffirming our strong R&D ethos. We continue to invest in APIs with significant market potential and process optimization of our existing basket. Our commitment to R&D would similarly stay in the future as well.
Along with this in-house R&D, we also in-licensed key novel products from the global markets for the Indian markets. These included our partnership with Triple Hair from Canada and Caregen from South Korea, which were in the dermatology and the metabolic segments.
To further bolster our R&D capabilities, we will incur a capex of INR 32 crores over the next 2 quarters to improve and upgrade our R&D capabilities. This is largely for product de

velopment
for regulated markets and product development for niche dosage forms.
We continue to expand and increase our manufacturing capabilities and capacities as well. We have also expanded recently capabilities for nasal sprays, eye drops, bi-layered tablets, ampoules and FFS small volume parenterals. Further, we plan to expand into large volume parenterals, dry powder injectable and lyophilized vials soon.
In the 9 months of FY '25 we have incurred a capex of INR 191 crores, which is largely in the CDMO vertical. And over the next 2 years, we will likely incur capex to commission new plants and production lines between INR 175 crores to INR200 crores annually.
On the API front, we are rationalizing our portfolio to focus on high margin products, as well as reducing dependency on cheaper products and focusing on general APIs. We continue to do well in the branded exports and domestic formulation business.
Moving now to the key developments and strategic initiatives we have taken during this quarter, the first one, obviously, which we talked about, about the European contract. As we mentioned, we entered into a long-term CDMO contract with the leading pharma company globally for the manufacture and supply of selected pharmaceutical formulations in the European market.
This includes oral liquid formulations. The total agreement value is approximately EUR200 million over the length of the contract. This includes an upfront payment of EUR100 million.

The approvals and product dossiers and manufacturing site approvals is expected by the end of 2026, hence the commercial supply will commence from 2027 and will continue until 2032. Strategically this allows us to expand further our footprints in regulated markets and replicate the domestic success we have had in CDMO in the global markets as well.
Caregen. Talking about Caregen, we have entered into an exclusive master sales agreement with Caregen, a leading South Korean nutraceutical company and a biotech firm. We have been granted exclusive rights to sell certain Caregen products in India, leveraging their proprietary peptide-based technologies.
For Triple Hair, we've partnered with Triple Hair, Canada for the exclusive licensing of a patented topical solution targeting alopecia for the Indian markets. The partnership expands our

dermatology portfolio with innovative hair care science-backed solutions to the Indian markets. The product is patented until 2035.
Akums has also entered into collaboration with Jagdale Industries in India to expand the underserved segments of the aseptic carton technology for ready-to-drink products in India. The partnership focus on wellness drinks, sports nutrition and therapy support products for critical care, diabetes and weight management.
Now, moving on to operating performance. Operating performance of the company was robust, with overall adjusted EBITDA growing by 12% year-on-year, and adjusted PAT growing 15% year-on-year, driven by better profitability in our core CDMO segment. The EBITDA improvement showed a continued improvement in the product mix.
API EBITA losses reduced significantly in Q3 compared to the last quarter, although prices of cephalosporin APIs still remain low. As I mentioned, the branded formulations continue to do well across exports and domestic segments. We have also been able to strategically reduce our losses in the trade generic segment.
We continue to take pride in stating that we are the largest India-focused CDMO, commanding over 30% market share. Our company serves over 1,500 customers, including both Indian companies as well as multinationals with which we have longstanding relationships. Today, over 26 of the top 30 pharmaceutical companies in India are our valued partners.
Finally, before handing it over to the CFO, I would like to update that Mr. Nand Lal Karla, who had been on our Board since 2014 has retired. We are grateful to his contribution to the overall company over his span as a Board of Director.
Over to Mr. Sumeet Sood.
Sumeet Sood: Thank you, Sahil. I think, Sahil mentioned that the quarter had been exciting on the various contracts and strategic partnerships we did. I'll take you through the overall financial performance of the company.
If we look at the total income on a consolidated basis, we see that we are at INR1,025 crores 2% lower on quarter-on-quarter basis, which was INR1,047 crores and 6% lower on year-on-year basis. It was INR1,092 crores that time, largely on account of falling API prices.
We've held on to the EBITDA and seen a growth there of 1%. So in Q2, we were at INR134.6 crores. EBITDA, we are at INR136 crores EBITDA. And on a year-on-year basis, our EBITDA is 12% higher from INR121.2 crores. EBITDA growth is largely driven by the CDMO segment and the margins.
Our PAT stood at INR66 crores. It was similar during the last quarter at INR67 crores. And it was, however, much higher than what we did in the Q3 last year, which stood at INR57 crores.
The cash flow for the Group stands at surplus at around INR340 crores, which is similar to the last quarter. But before the IPO, the company in the quarter had a debt of INR322 crores.

Net cash flow from operations increased from INR19 crores to INR91 crores on a quarter-on-quarter basis. Further, our free cash flow increased from negative INR73 crores in quarter 2 '25 to a positive INR50 crores in quarter 3 '25. On a year-to-year basis, the cash flow from operations stood at INR162 crores against INR316 crores, while our free cash flow stood at negative INR27 crores compared to a positive INR90 crores on a year-to-date basis.
Working capital saw a reduction of INR40 crores on YTD basis, it was INR1,035 crores in December '23, and our working capital is INR995 crores in December '24. If we were to spend a few minutes looking at how each of the segment has performed, we've been over the past stating that almost 78% revenue comes from the CDMO business and 18% from branded generics and 4% from our API segment.

So if we were to look at the whole numbers, it is almost INR787 crores, which would come from CDMO. Branded generics would do INR182 crores.

And our API business, which Sahil was mentioning, is at INR40-odd crores.

Our CDMO business continues to grow at 15% margins. So that's how the business has been.

The CDMO business has increased EBITDA of 9% year-on-year, and this is largely because of better gross margins, which you would see.

Our branded generics business EBITDA has been at 10.8%. It is at INR19.8 crores, similar to Q2 levels of 10.3% and INR18 crores. However, it is lower than the Q3 of last year, which was at 13.8% and INR24 crores.

API business, our losses reduced this quarter. EBITDA losses declined to almost INR11 crores in Q3 compared to INR14 crores in Q2 and INR16 crores in Q3 last year. This was largely driven by rationalization of portfolio and focus on higher-margin products. We continue to improve our margins and focus on achieving breakeven in this business.

I think that's the overall gist of the financial side from the company. We are very happy to take questions from all of you. Thank you.

Moderator: The first question is from the line of Gautam Gosar from Monarch AIF.

Gautam Gosar: My first question is on the formulations business. So sir, can you highlight what was the revenue for the trade generics, specifically in the formulations segment in Q3 as well as in 9 months?

And you've indicated some provisions in the trade generic business, so if you could throw some light on that and quantify it as well.

Sumeet Sood: So while we don't give a complete breakup of our marketing business, but the way we broadly look at is, almost 60% of this business comes

from our Akumentis business; Unosource does

21% - 22% and the remaining is trade generic. I think that's the limited information we can give you, because beyond that we don't give financials, but we are happy to -- I mean, the business is -- trade generic business, as we mentioned, we had consolidated over a period of time, and it is doing well.

So I think that would be where we would limit our answers specifically for the subsegment of a segment, which we are not disclosing in our financials. I don't know if I missed out something, you can ask me. But have I answered your question...

Gautam Gosar: The provision in the trade generic business.

Sumeet Sood: I'm sorry, can you repeat, please?

Gautam Gosar: You indicated some provisions in the trade generic business, right? So if you could highlight what is the provision about EBITDA write-off we have taken or what is that exactly?

Sumeet Sood: So the way the trade generic business provisioning works is, there are date value medicines that we have, right? The date value medicines, if are unsold, then those would be provided, right? That is in the normal course of business.

And I think the larger provision we made was during COVID when some of the distributors and some of the medicines which sort of expired because, fortunately, COVID went over. So I think that was the 2 limited provision that we do in this business, and that's what we have done also.

Gautam Gosar: So sir, the reason for asking this question is that, if the formulation share is increasing in the overall branded formulation business, then why are our margins stuck at around 10% only, they should have increased?

Sumeet Sood: Yes. So I think the way we look at this business is that the margins -- if you look at the last period, our margins were around 10.3-odd percent, right? And we are at 10.8%. So I don't think that the margins are decreasing. But from a period last time, right, if you're trying to ask from there, there is a dip. But I think the margins are slowly recovering back to those levels.

Gautam Gosar: So sir, can we expect some CDMO level margins in the formulations business?

Sahil Maheshwari: So let me help on the margins of the formulations business. So as we said, Akumentis as well as Unosource, they operate above the corporate average margins, right? Trade generics where we are reducing our losses, so gradually, you should see an uptake. Also, we'll also have to acknowledge that the Unosource margins also has R&D expense to it for various countries that we enter and file our dossiers and the regulatory approvals for. So this is also an investment we make to the future growth business.

So having said that, slowly and gradually, yes, you are very right that the margins will move up to the corporate average margins.

Gautam Gosar: And secondly, on capacity utilization. So what is our company level capacity utilization right now?

Sahil Maheshwari: So this is around 40-odd percent.

Gautam Gosar: And how is the injectable --

Sahil Maheshwari: Operational plants we operated at 40-odd percent and we are slowly commissioning new injectable facility and other Baddi facilities, yes.
Gautam Gosar: So the utilization for the injectable facility would be currently?
Sahil Maheshwari: So this has recently started, right? So we started our operations in the last week of August. The new injectable facility you are mentioning about? Then we recently in January, we also received the WHO GMP approval. So slowly and gradually, we'll now see client audits and subsequently orders from the clients. So as of today, this operates -- so the utilization is insignificant, but I think this is a better question if we address 6 months down the line.
Gautam Gosar: Sure. And for this business, the margins will have -- it

is a higher margin business. So if you could guide around how much margins can this business do with optimal utilization?
Sahil Maheshwari: So injectables -- and not just injectables, so we also do complex dosage forms within oral solids as well. So as I mentioned, bi-layered tablets, it's something we have recently started. Then we also have other complex dosage form within oral solids, we have some complex formulations in all the dosage forms, right? So that is there.
Injectables, we have been doing since 2007 when our first plant was there. Subsequently, almost half of our facilities today are either completely sterile or have significant sterile blocks. So I don't think that you would see relatively a huge jump just because of this one injectable facility, while this will contribute significantly to our injectable portfolio. But I would still say that our overall EBITDA margins for the CDMO business should remain in the ZIP code we operate today.
Moderator: The next question is from the line of Naman Bhansali from Nine Rivers Capital.
Naman Bhansali: My question is on the CDMO side. So while we've seen some decline in revenue and as you talk about API prices falling impacting that, what would be the volume growth in the 9-month period that we've seen in the CDMO business?
Sahil Maheshwari: So I'll break it down. So for the CDMO in the 9 month, we had a volume decline of roughly 1%. If you look at this business, we had almost a 14% volume growth in the first quarter and an 11% volume decline. If we compare it to the previous quarter, we have grown volume by almost 0.6% QoQ. If I talk about complete 2024 to 2023 levels, on a trialling 12 month basis we have grown our volumes by 1.6%, where the industry was largely flat, right? So quarter 2, which had a sizable volume decline, we are seeing some green shoots, and we have already turned positive in Q3 compared to Q2. Q4 also looks good.
Naman Bhansali: Second question is, you provided the scale of the European business that you've signed. Can you provide us more insight into the addressable market or the potential benefits that we can get from the Triple Hair and the Caregen as well as the ready-to-drink agreement that you signed?
Sahil Maheshwari: Sure. So these 3 are in-licensing and not manufacturing. So these are not global CDMO, but these are manufacturing for the Indian markets, right? So, obviously, the opportunity size is smaller compared to that one large contract we had.

Having said that, Triple Hair, if I talk about, it is a patented product, a combination product, topical product for the hair loss segment. This is a large segment driven by a few molecules, right? So this has a large target addressable population. With our patented product, which we'll launch in 2027, we will make some inroads into the hair care segment.
Similarly, Caregen, it has biotech peptide-based products for skin care as well as hair care and has a metabolic product as well, right? Similarly, Jagdale, it is a partnership for ready-to-drink formulations for the sports and wellness nutrition as well as care.
So individually, as a basket, so the beauty about this business is none of the products or a segment of a product becomes large enough that we are concentrated in our offerings. So this is similar to the R&D project that we do. That each of the product will have some size and scale. But if your question is hinting towards, will it become sizable within the overall CDMO business? That will not be the case, unlike the global European CDMO contract, which we signed.
Naman Bhansali: And lastly, the Mumbai R&D project that we are taking up, so the rationale here would be more to be closer to our customers or gaining more customer traction sitting in Mumbai? Or is it some other rationale that we are seeing here?
Sahil Maheshwari: So we already had R&D i

n Mumbai. If you see, we have 4 R&Ds, couple in Haridwar, one for API in Barwala and one in Mumbai, which we already had, right? So what we are doing is, we are expanding and upgrading the R&D for the new dosage forms as well as the additional markets we had. Also the previous one which we had was on rent. Now we are moving to a property which we'll own.

Moderator: The next question is from the line of Shruti Jaiswal from Indira Securities Private Limited.

Shruti Jaiswal: Actually, sir, if I have missed out, I wanted to ask the capacity utilization for the current facility and the optimum level?

Sahil Maheshwari: Can you please repeat? I think if -- are you asking the capacity utilization?

Sumeet Sood: Utilization, yes.

Sahil Maheshwari: So as I said, we largely operate on a 40% capacity utilization for our already commercial established facilities.

Shruti Jaiswal: And another question is, what would be the margin -- operating margin or any guidance for the upcoming period as you have CDMO contracts and some -- many other deals like Triple Hair and Caregen, et cetera, partnership. So what margin can we expect in the upcoming period?

Sahil Maheshwari: So both the European contract as well as Triple Hair will kickstart contribution to the P&L in 2027. The calendar year, right? And also, these are on the margins which we'll operate usually in CDMO. So I don't want to comment that on the margin specifically, what we guide the market towards is the margins which we currently operate at.

Moderator: The next question is from the line of Darshil Jhaveri from Crown Capital.

Darshil Jhaveri: Sir, I just wanted to know how do we look at API currently? Because I think even the absolute terms, our EBITDA losses have come down, but on a percentage terms, it increased, right, quarter-on-quarter. So just wanted to know what is happening currently? What do we look at like the turnaround coming in? Because -- I think it's a INR10 crores loss on a INR40 crores revenue, this eating up our good work in CDMO and formulations, right? Sir, so just wanted to know what do you see the business as currently going?

Sahil Maheshwari: Sure. For the entire Group, as well, let me spend a couple of minutes on API, right? So as you rightly said, API, we have reduced our revenue to INR40 crores, which was roughly in quarter 2 was INR59 crores and the quarter 3 of last year was roughly INR55 crores. The challenge is not driving sales. You'll have to understand that number one is the market wherein the overall oral cephalosporin prices, which were almost 90% of our revenues, they dropped by 20% to 30%. With our COGS being over 80%, most of the cephalosporins which we marketed we thought it's a wiser decision to reduce our sales in a way which will reduce our losses as well, right?

So I just want to give you comfort that this is not the sales which is declining. It is a conscious decision that we took in a way to reduce our losses. If you really look at it, we have been able to significantly reduce our losses from INR16 crores in the last Q3 to just INR11 crores in this quarter.

Now bringing down then what we'll do next? So there are 2 things in pipeline. One is, we are also reducing our dependence from the cepha-oriented APIs. So within Lalru, we had good commercial success in 3 APIs.

We are also bolstering our R&D efforts to move to more general APIs in a way that, while cepha in the near future and a couple of other -- 2 or 3 years down the line will still contribute more than the general facility, but the share of general products will increase. In a way, this will limit our exposure to one segment of the API. So that is one.

The second is we are also, with our Dera Bassi, which is the cephalosporin facility, we're also targeting exports. We have already kickstarted exports. This is in high single-digit percentage

s.

We are targeting that we expand our exports where the realizations are better. And also, we go into regulated markets. For this, we are already in works in our R&D. And slowly and steadily, we'll see commercial successes.

So I think it's a transient phase wherein we have brought down our revenues, but have dramatically increased our profitability. Over the next 1, 1.5 years, we are continuing our efforts on R&D and improving our product basket. We will surely have good results in the years to come.

Darshil Jhaveri: So sir, just wanted to know like on an overall terms, what kind of revenue can we expect like in FY '25 and overall margin, if you could guide for in FY '26? Even like a range would do, sir?

Sumeet Sood: So the way we've been guiding the markets on most of our calls is that, if you look at how the business has performed over the last 3 quarters, right, so -- and the margins, if you look at. So if

you look at the 3 quarters, we are at almost INR3,062 crores top line. And we have almost an EBITDA margin of INR401 crores.
So we sort of see that as we have guided earlier that for this period and the way we are guiding is that the business should see similar revenue and similar EBITDA. So that's how we have been guiding. We had said H1 would look similar to H2.
So largely, I think if we look at the organic part of the business and some of the new initiatives that Sahil spoke about, some of them were long term, some of these sickle cell business, which didn't sort of trigger for us, this could have been another segment of revenue which would have come in. So the way we are guiding the markets is, as is the business is pretty similar, and I think we should perform the way we've done it over the past 3 quarters.
Darshil Jhaveri: And just on a last, like -- again, sir, you were saying -- just one more last question about API. So the turnaround, like when will we -- when do you see the business will be breakeven like on a PBT level or EBITDA level? Like, maybe it will be a year or so, just a range, what do you think, sir?
Sahil Maheshwari: So we are progressing well. I think this is in a ZIP code of 1 to 2 years when we'll be in a breakeven.
Moderator: We have the next question from the line of Vivek Agarwal from Citigroup.
Vivek Agarwal: Sahil, you highlighted that as far as the, say, European contract is concerned that this is one of the many contracts that you are going to sign, right? So just want to understand what gives you the confidence that you will get many more contracts of similar kinds? Are you in discussion with any players or any company in the Europe? Or it is, for example, that this particular contract has given you the confidence?
Sahil Maheshwari: Sure. So first, I'll talk about the infrastructure. I think we are already in pipeline for a few more facilities will be European GMP, right? So one is, we'll have the scale in infrastructure along with product development capabilities that is out there. So we are ready for opportunity that knocks our door.
Second is we already have started our presence within the European market. So while this is a large contract, we already are seeing some discussions around contracts, which are not this big. But this is a phase, Vivek, you will understand that this is proving yourself right for the first 2 products and then getting deeper within. This is the same that happens within the domestic CDMO as well. So this gives us confidence that over the next 2- 3 years, we'll also have a good business coming from the European CDMO. And Europe is just one of markets, I think the focus is regulated ex-U.S. as of now.
Vivek Agarwal: Sahil, just one more thing on this contract, right, you're starting. You are expecting the revenues shall kickstart in CY '27. So is it going to be spread across the length of 5, 7 years? Or it is like some kin

d of back-ended or front-ended kind of revenue realization that is going to be?

Sahil Maheshwari: Right. So just to clarify, this will start in calendar year '27, so likely Q4 of '27 or quarter 1 of the next fiscal, and this will be evenly spread across the years.
Vivek Agarwal: And one clarification here that you mentioned that the margins in this particular business will operate in line with the CDMOs, right? So is it your CDMO business that you are talking about or the overall global CDMO industry that is operating in the European market?
Sahil Maheshwari: This is our CDMO business.
Vivek Agarwal: And just actually one more question, if I can squeeze in. As far as the volume growth is concerned, if you look at the next couple of years down the line, so what kind of the growth you are expecting? Is it going to be in line with the overall IPM? Or is it going to be higher than the IPM? Or what kind of, for example, the delta that you can have and what is going to drive that?
Sahil Maheshwari: Sure. So I'll maybe answer it historically and then -- because future is something in volumes, so I think we both can sit and have a long debate, but still we'll be still debating and discussing. So if we talk -- if you leave this FY '25, if you have to see ourselves as a 5-year historic period, largely, we grew in 6% to 8% of volume on an average. So this was always 2x, 2.5x higher than the market.
If you also look at 2024, where we grew 1.6%, the industry was largely flat. So we sit in the market. So, obviously, our volume growth is definitely tied down to the market. But what we have always delivered is, we have delivered a good growth over what the market growth is.
Having said that, the volume should come back. I think this is a transient period. The volume should come back. We are seeing good green shoots in Q4 as well. Q1 also looks good. As you understand this business, we already have 60 days of orders in hand, and hence, we can deliver them. So Q4 sitting out of Q4 today, Q4 looks good. And similarly, we should have continued

good success in the next fiscal as well.
Vivek Agarwal: So barring this blip, barring the blip in this particular year, you don't see as far as the story changing as far as your ability to get the kind of market share in India, especially in the CDMO industry.
Sahil Maheshwari: No, absolutely. Absolutely right. And if you really recollect what I said, the new dosage forms that we are adding, whether it is small volume parenterals, large volume parenterals, bi-layered tablets, dry injectables, the whole focus, if you really carefully think through is to drive value products rather than volume-based products. So while volume growth is there and we are still in the market where it is dominated by solids, our continued focus is how we can improve the overall product mix.
Moderator: The next question is from the line of Prashant Nair from AMBIT.
Prashant Nair: So just a couple of questions. Sahil, I don't know if you mentioned this before because I got disconnected a couple of times. What was the volume growth in CDMO this quarter?
Sahil Maheshwari: Volume growth in CDMO for quarter 3 was 0.6% compared to quarter 2 of FY '25.

Prashant Nair: And second question is on the API business. Now when you say that you have rationalized your portfolio, so can you give us some sense of scale? So for example, if your sales was 100 earlier, how much would -- the balance portfolio, which you have left with you, how much would that -- I mean, just to get a sense of how much you have cut out, that will help us also take a call on how you will grow?
Sahil Maheshwari: So Prashant, honestly, I also don't have an answer to this as of now. But if you really look at our Q2 to Q3, we have dropped by almost INR19-odd crores

in our revenue. This is largely on account of a few cephalosporin APIs, which we used to do sales, but they were simply too competitive for us to be in the market.
So Q2 to Q3, if I talk about for the products which are of higher margins, they still continue to remain that kind of sales. But the drop in the sales was largely on account of the ones which we discontinued.
Prashant Nair: And when you say you discontinue, I mean, is this -- would you retain the infrastructure, the product capabilities and come back into the market if pricing improves or --?
Sahil Maheshwari: Yes, certainly. Yes Prashant, certainly. So when I say discontinue, it is discontinued at the current price levels. As I said, cephalosporins are almost down 25%, 30%, while the KSM prices have not moved down that much. So whenever the prices normalize, we already have done investments in R&D and process optimization of the products. We already have the infrastructure, the reactor and the blocks in place. So whenever it is commercially viable, it is just a matter of KSM procurement and supply.
Prashant Nair: And one last question. Maybe not exact numbers, but can you give us some flavor of, say, the mix of customers on the CDMO side? Say, how much would be going to the prescription market, which is, say, captured by IQVIA or AVAX and how much would be to trade generics or any other segments?
Sahil Maheshwari: Unfortunately, Prashant, we do not calculate customers that way -- our revenue that way.
Moderator: We have the next question from the line of Palak Shah from Entrust Family Office.
Palak Shah: Just a couple of them. So firstly, on the API side, you mentioned that you have discontinued a few of the products. Are they actually below or negative GC? Is that the reason why you're discontinuing the product?
Sahil Maheshwari: Yes. So GC and on top of it, if you add just the direct manufacturing expenses of manpower and utility, they would be -- the amount will be higher than the current selling prices.
Palak Shah: Okay. So given that we are actually under-utilized on the capacity even before this discontinuation of the product, where would our capacity utilization stand now? And just to go -- venture back to 65% odd, which makes us breakeven of this capacity, what's the delta that we need to generate in terms of the number of products or absolute revenue?

Sahil Maheshwari: Sure. So just on the capacity utilization, as I mentioned, this was directly variable costs associated with that production. So capacity underutilization does not impact the business of this product. And on the API side, we are largely at a 30-odd percent utilization. And that's broadly about it as of today.
Palak Shah: So is the math right that we need to reach at least 60%, 65% to breakeven on the operational cost, I mean, EBITDA level?

Sumeet Sood: Yes.
Sahil Maheshwari: Yes. So not that high, but yes, as we scale up our capacity utilizations, we will, in a way, absorb the fixed expenses.
Palak Shah: Sir, secondly, on the branded generic side, last quarter, we mentioned we used to have a 1 quarter -- INR1 crores per month loss in the business of trade generic. Adjusting for that, our margins would be around 12%, 12.5% during this period. So can you give us just some -- broadly given that we're doing R&D in the global side, on the Unosource side, and the Akumentis side would not have such a large cost of R&D, fixed cost.
What will be the percentage difference in margins there? And when you talk about going to company level margin, which is close to 14% odd, how fast that delta can accrue as the cost absorption of Unosource R&D happens for us?
Sumeet Sood: So the trade generic business that we had mentioned and where we had consolidated, so while I was mentioning to an earlier participant that we don't give a breakup of it. But largely, the EB

ITDA margins for Unosource and Akumentis remain in 18% to 20% bracket. So that's, as Sahil was mentioning, higher than our overall CDMO business, which is close to 15.4%. I think the trade generic business, which you mentioned is the one which is still at a negative EBITDA.
Palak Shah: Sir, even if I adjust for that INR1 crores loss per month, you are at 13% margins. So if your Unosource and Akumentis augment are about 18% to 20% margin, then what is leading to this almost a 6%, 7% gap in the margin delta -- adjusted margins?
Sumeet Sood: So I think the way you're looking at the trade generic losses, it is slightly higher. It is slightly higher. It's around INR2 crores per month. Okay, then your math should tally. I think we can get the exact figures, but then your math should tally.
Sumeet Sood: That will be better.
Palak Shah: Sure. Sir, just last one, the CDMO business, you reported a 9-month volume growth of 1%, but the revenue growth decline of 7%. So the effective 8% pricing impact that you have seen. Again, in the previous calls, you have mentioned that you usually run 2 to 3 months ahead of the industry because you supply to the industry and then the IPM shows the growth. Given that, even in this quarter we are effectively sort of a flat on the volume. But if you talk to industry peers, they're still talking about a volume growth in Q4 for them.

I'm saying your customers are still talking about a volume growth in Q4. While it's a subdued quarter for them, but still on a Y-o-Y basis, they're still expecting a growth. How do we marry the 2? Because in our IPO roadshows, you have mentioned that you want to grow ahead. Our aspiration is always to grow ahead of the industry in volume terms, not only absolute revenue terms.
Sahil Maheshwari: So if you really look at quarterly volume growth, I think, is not the right reflection for the kind of business. Because while these are 2 different businesses, marketing is secondary to the patient, and hence that's where the uptake is. For us, it is batch manufacturing and shipping at their warehouses.
So a 12-month period is a better way to look at these businesses. As I said, 12 months, we have done a 1.6% volume growth. The industry numbers are out there, whichever database you wish to consider, but these are largely flat. While we acknowledge that the volume growth was subdued this time, but barring a few quarters, we have been fairly doing well in terms of volume as well.
Palak Shah: So what will get us our volume back to like 4%, 5% because our aspiration to grow ahead of IPM, which is -- at least average, we take a 9% to 10%, and you want to grow at 12%, 13%. And the pricing sales swing comes back to normalization, that's 8% delta, would you expect the volumes to grow at 4%, 5% for you thus achieving a 12% to 13% approximate revenue growth in CDMO?
Sahil Maheshwari: Yes. So 4% to 5% certainly, right. So what are we doing? I think, essentially, everything we do, right from R&D to establishing manufacturing capabilities to the client engagement, we have. Everything we do is to sustain the business and drive volumes. Ultimately, this is how -- based on 3 things: how quickly we can supply, the quality we can supply and the pricing which is there. So everything we continuously work on. And the ultimate aim is how much market share we can command.
Moderator: The next question is from the line of Abdulkader Puranwala from ICICI Securities.
Abdulkader Puranwala: So just first question on the CDMO business. And Sahil you mentioned that there are certain new contracts for the next -- which are to be executed for the next 6 months. Could you provide us some flavor as to how that translates in the CDMO growth for you maybe in terms of volumes for the next 2 quarters, at least?
Sahil Maheshwari: Sorry, Abdul. So which contracts on the next 6 months? So the

contracts which we talked in our
call earlier were largely commercializing in 2027.
Abdulkader Puranwala: No, I was talking with reference to the order book for the CDMO business. So if that gets executed as what you would have planned, then at least for the next 6 months, what would be your volume growth like?
Sahil Maheshwari: So as I said, we have visibility for Q4, sitting in early Feb, 60 days is what we are. So I can only talk about Q4 and not next fiscal. The volume growth looks decent as of now. I'll not be able to

give a number to it because ultimately, this is on production and final delivery. But the pressures on volumes, which we had midyear this fiscal, these look to be a story of past as of now.
Abdulkader Puranwala: And my second question is with regards to the European contract. So in the PPT, you mentioned that EUR100 million is something there would be an upfront consideration. So has it already been received? Or this is kind of a milestone income which will come in due course of your contract period?
Sumeet Sood: So the money has been transferred from overseas, and we are still to receive it in our account. So it's in the NOSTRO account of the bank. So once we receive it, it will be an advance received against that contract.
Abdulkader Puranwala: And a final one on the API business, on the losses. So I understand you're trying to curb the losses, then any colour by when we can break even in this particular segment, maybe in a year's time or 2 years' time? I know some colour if you could provide would be helpful.
Sahil Maheshwari: Yes. So we just talked about, Abdul. So I think we still need at least an year where we are targeting. So 1, 1.5, 2 years at max, this is something which we are looking at this business.
Moderator: Ladies and gentlemen, we have no further questions. I would now like to hand the conference over to the management for closing comments. Over to you, sir.
Sahil Maheshwari: I think thanks a lot, everyone, for this engaging discussion. We continue to work on our strengths and looking forward to catching up with you all in the next quarter. Thank you.
Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Note: This does not purport to be a verbatim account of the earnings call. It has been edited for readability and statements made in Hindi
have been translated to English.

Call: Jun 2025

Ref: Akums/Exchange/2025-26/15 June 02, 2025
To,
The Listing Department
National Stock Exchange of India Ltd
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E),Mumbai – 400 051

Symbol: AKUMS To,
The Listing Department
BSE Limited
Rotunda Building, Phiroze Jeejeebhoy
Towers, Dalal Street, Fort, Mumbai –
400 001

Scrip Code: 544222

Sub: Transcript of Earnings/Analysts Conference Call held for un-audited financial results of Q4 of FY25 and audited financial report for FY2025.

Respected Sir/Madam,
Pursuant to the Regulation 30 read with Part A of Schedule III of the SEBI (Listing obligations and Disclosure Requirements) 2015, please find enclosed herewith the transcript of earnings/analyst conference call held on Tuesday, May 27, 2025 at 10:00 AM (IST) on un-audited financial results of Q4 of FY25 and audited financial report for FY2025.
The said transcript be also available on the Company's website https://www.akums.in/investors/investors-meet/ .
This is for your kind information and record.
Thanking You
For Akums Drugs and Pharmaceuticals Limited

Dharamvir Malik
Company Secretary & Compliance Officer

"Akums Drugs & Pharmaceuticals Limited
Q4 and FY25 Earnings Conference Call"
May 27, 2025

MANAGEMENT : MR. SANDEEP JAIN -- MANAGING DIRECTOR – AKUMS DRUGS & PHARMACEUTICALS LIMITED
M R. SANJEEV JAIN -- MANAGING DIRECTOR – AKUMS DRUGS & PHARMACEUTICALS LIMITED
M R. SUMEET SOOD – CHIEF FINANCIAL OFFICER – AKUMS DRUGS & PHARMACEUTICALS LIMITED
M R. SAHIL MAHESHWARI – HEAD, STRATEGY – AKUMS DRUGS & PHARMACEUTICALS LIMITED

MODERATOR : M R. PRANAV CHAWLA – AMBIT CAPITAL

Moderator: Ladies and gentlemen, welcome to the Akums Drugs & Pharmaceutical Limited Q4 and FY25 Earnings Conference Call, hosted by Ambit Capital Private Limited. As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions at the end of today's presentation. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Mr. Pranav Chawla from Ambit Capital. Thank you. And over to you, sir.

Pranav Chawla: Thank you, Riya. Good morning, everyone. I, Pranav Chawla, on behalf of Ambit, welcome you all to the Q4 and FY25 Earnings Conference Call of Akums Drugs and Pharmaceuticals Limited.

Today on the call, we have the following management members: Mr. Sandeep Jain, Managing Director; Mr. Sanjeev Jain, Managing Director; Mr. Sumeet Sood, CFO, Mr. Sahil Maheshwari, Head, Strategy.

I now hand over the call to the management for opening remarks. We'll follow this with Q&A. Thank you and over to you, sir.

Sahil Maheshwari: Thank you, Pranav, for the introduction. Good morning, everyone, and welcome to Akums' Q4 & FY25 Earnings Call. I'm Sahil. Let me draw your attention to the fact that on this call our discussion might include certain forward-looking statements, which are predictions or projections of the future events. Our business faces several risks and uncertainties that could cause our actual results to differ materially from what is expressed or implied in such statements. At Akums, we do not undertake any obligation to publicly update any forward-looking statements whether as a result of new confirmations, future events or otherwise. Having said that, I hope you all have gone through our investor presentations and financial results that we posted yesterday.

I would now like to hand it over to the Managing Director, Sandeep Jain, to discuss our performance. Thank you.

Sandeep Jain: Thank you, Sahil. It gives me immense pleasure in declaring the Q4 and full year FY '25 results of your company. While your company started its journey in 2004, FY '25 will remain etched in its memories, as it got listed on the stock exchanges on 6th of August '24. We once again extend our sincere gratitude to all stakeholders and remain committed to creating long-term shareholder value.

As you are aware, that FY '25 has been a year of significant volatilities. For the industry, that is domestic pharma, we witnessed significant price erosion in API as well as muted volumes. This impacted the core CDMO business as well as further delayed the turnaround of the API business. This results in flat revenue growth of your company. However, despite these headwinds, Akums'

grit, and spirit shone through -- and we managed to maintain our margins and generated healthy cash flow.

The Q4 volumes grew up by 9% year-on-year, while the FY '25 volumes grew by 1% higher than the overall market volume growth. We increased our R&D spend by 16% to INR130 crores. We continue to add new growth levers to boost our performance in fiscal '25. We launched 31 DCGI products, including the recently off-patent Empagliflozin and its combination Silodosin and Mirabegron, bilayer tablet, amongst others.

We also expanded recently capabilities for nasal sprays, eye drops, bilayer tablets, ampules and FFS small volume parenterals as well. We continued to increase our niche portfolio offering to our partners. Your company also operationalized a new injectable facility in Q2 FY '25, which will further cement our sterile drug leadership in India. In the coming year, we have a Capex plan of approximately INR300 crores, wherein we will expan

d our product offering by setting up lines for oncology, steroids, FFS LVP, amongst other things.

We took noteworthy steps toward becoming a global CDMO by signing an approximately EUR200 million contract with a global pharma company. We have already received part consideration, that is EUR100 million, in April '25. The supplies for this will commence in 2027. We also got audited by ANVISA in April '25 for our injectable facilities, and hopefully, we will receive approximate -- approval in next quarter.

Our in-licensing products of Triple Hair Canada, Caregen Korea are on track and undergoing trials and regulatory commissions. Discussions are also progressing well with Zambian government to finalize the modus operandi and form a manufacturing JV. These are exciting times as we continue to build a global pharmaceutical company.

Now moving on to operating performance. Operating performance of the company in Q4 was robust with overall revenue growth 12.4% and adjusted EBITDA growing by ~13% year-on-year. For the year, our performance was flat for both revenues and EBITDA, as compared to last

year. As we mentioned, this was largely on account of price erosion of APIs, as our revenue are built on cost-plus model, where cost-of-input API and packaging material are passed to the customers.
Further, with muted industry volumes, the overall demand in Indian pharma market was soft.
FY '24 had a sizable product development contract of INR126 crore. If we exclude it to account revenue from manufacturing services, CDMO revenues grew by 2%.
API EBIDTA losses continue on their downward trend as we continue to focus on bringing profitability to this business. Beyond Indian markets, we are also exploring global markets to improve realization. Over 10% of our sales in FY '25 was international market. Over the next 12 to 18 months, we expect to enter the European market with three CEP approvals. We invest around 4% of API revenues in R&D to improve margins profile of existing portfolio and build dossier for European market.

Our domestic branded formulation business continues to do well, with 9% revenues growth and 12% EBIDTA growth for the full year. Our IPM ranking improved to 58 in FY '25. Our PCPM improved approximately 20% over the last 3 years, while we also added around 14% new sales professional to our team. We continue to focus on specialy physicians, with 70% of our coverage being specialists. Further, 70%-plus of our portfolio is chronic, with focus of gynaecology and cardio-diabetes.
The international branded segments have been performing well for the last few years, registering over 25% CAGR since FY '22. We are present in 50-plus countries across Africa, Southeast Asia and penetrating into European, LATAM, MENA regions. Over the last 3 years, our 450 dossiers were registered in various global markets, showcasing our R&D and regulatory strengths.
Now I will hand over to Mr. Sumeet Sood, our CFO, for the financials.
Sumeet Sood: Thank you, Sandeep ji, for the insight. I'll take you through the financials of the company. If we look at the full year consolidated numbers of revenue, we were at INR4,170 crores. This is 1% lower than last year, which was INR4,212 crores. Adjusted EBITDA for the full year was very similar. On exact numbers, it was INR2 crores lower. PAT for the current financial year is INR234 crore, as compared to INR220 crores in the previous year.
If we'll go to the quarterly numbers. The March total income came to INR1,073 crores. That is 12.4% higher on year-on-year basis. INR954 crores was for the quarter ended March. And it's ~5% higher than the December quarter. If we look at the adjusted EBITDA for the CDMO business. For the Q4, it was INR111 crores compared to INR98 crores for March '24. This is ~13% higher, but it is 18% lower than the December '24 number which was INR136 crore

s.
Our PAT stood at INR44 crores. It was similar to what we did the last quarter. However, this was lower than Q3 which was at INR66 crores.
If we look at what we've done for our financials is that we were presenting three segments. We have sort of further broken that into five business segments, and we will probably tell you the results of each of these segments separately.
For the CDMO, if we look at the overall revenue, it was at INR3,208 crores. It was ~2% lower than last year. EBITDA for the full year was lower by ~7%. If you look at -- we were at INR487 crores last year. We had INR454 crores this year. For the quarter ended March '25, revenue was INR840 crores. It is ~15% higher than the last quarter and ~7% higher on quarter-on-quarter basis. EBITDA for Q4 was INR89 crores, ~9% higher year-on-year basis, which was INR81 crores for March 2024, but ~27% lower in quarter-on-quarter basis, where it was INR121 crores.
If we look at the business that is on domestic branded segments. The overall full year revenue was INR434 crores. It is ~9% higher than last year which stood at INR398 crores. EBITDA for the full year stood at INR77 crores compared to INR68 crores last year. This is ~12% higher.
For the quarter ended March '25, the revenue was INR104 crores compared to INR94 crores which was in March '24, which is ~10% higher year-on-year basis; however, ~6% lower quarter-on-quarter basis, which stood at INR110 crores.

If we look at the EBITDA for the Q4, it was INR22 crores, ~11% lower on year-on-year basis, which was INR25 crores in March '24, but ~10% higher on quarter-on-quarter basis, which stood at INR20 crores.
The international branded segment has done a total revenue of INR143 crores compared to INR125 crores last year. This is ~14% higher. EBITDA for the full year stood at INR28 crores

compared to INR24 crores last year. It stood ~15% higher from last year.
For the quarter ended, the revenue was INR40 crores, which is compared to INR21 crores, 86% higher year-on-year basis; however, ~7% lower on quarter-on-quarter basis. EBITDA for Q4 was INR9 crores significantly higher than INR2 crores for the quarter ended March '24; and ~12% higher on quarter-on-quarter basis, which was INR8 crores for the quarter ended December '24.
For the API business, as Sandeep-ji had explained, our endeavour is to see how we can reduce the losses. So, if we look at the total revenue, there is -- this year, we did INR219 crores, which was higher than last year but very nominal which -- INR6 crores, so 3.2% higher. For the full year, the EBITDA losses would marginally decline from -- INR44 crores, which stood now. And last year, it was INR46 crores.
For the quarter ending March '25, the revenue was INR50 crores, INR10 crores higher QoQ basis, 20% higher on quarter-on-quarter basis. For the quarter ending March '25, EBITDA losses declined to INR6 crores from INR8 crores.
The trade generic business. The total revenue stood at INR115 crores, INR62 crores lower than last year which stood at INR176 crores.
For the full year, the EBITDA losses have slightly declined to INR28 crore from last year, INR33 crores. The quarter-ending revenue was INR22 crores compared to INR30 crores in the previous quarter. For the quarter ending March '25, the EBITDA losses were higher at INR10 crores, from INR7 crores in Q4 FY '24.
The operating cash flow for the group continued to be positive and healthy. We were at INR465 crores. INR498 crores were last year. And the cash conversion ratios stay at above 90%.
The free cash flow also stood at INR201 crores. INR212 crores was for the last year. As Sandeep-ji, during his session, mentioned, that we on the 9th of April got the part payment for the EU contract. We got INR950 crores. We had the surplus cash of INR566 crores, so the company today has a war chest and cash surplus of INR1,52

0 crores.
Our working capital stays healthy. The net working capital has improved from 99 days to 91 days. And we are pretty happy to announce the results of the company. We would request you for your questions now, and we will collectively try to answer all of them.
Moderator: Thank you very much. We will now begin the question-and-answer session. First question is from the line of Vivek Agrawal from Citigroup. Please go ahead.

Vivek Agrawal: Hi, thanks for the opportunity and congrats on a decent set of numbers. FY '25 was a bit challenging because of the pricing and all these things. So how to look at the numbers, as far as the CDMO business is concerned, in terms of growth and margin profile for FY '26?
Sahil Maheshwari: Thanks, Vivek. Sahil here. So rightly said. So just even look at now, the volatility in API prices still continue, while we initially thought that it would subside in a few quarters, but honestly today, we still see a downward trend in APIs. So since you know it's a cost-plus model where almost half of our cost is APIs in our transfer pricing.
So giving guidance really on the top line is tricky at this point in time given the API prices still continue to be soft. What we can do is give a -- broadly a volume guidance. As we mentioned, we grew 9% quarter-on-quarter volumes. So the volumes are coming back. So that internally means either the inventory is getting destocked or there's inherent demand of -- for the new products that we have launched.
So what we expect in FY '26 is that we'll have a single-high-digit volume growth. On top of it, if the API revenues -- if the API prices stay same, then we'll have a similar revenue profile. If the API prices continue to move up to their average levels, which are currently very low, we'll have a better revenue growth, but as of now, since the API is volatile, we cannot say it.
But the volumes will be in single high digit, which you obviously know it is much higher than the -- what the overall IPM would do.
Vivek Agrawal: Understood. And in this quarter the CDMO business grew quite decently, but the margins were slightly on the softer side, so would you like to explain basically how the -- or what caused the kind of volatility, as far as the margins are concerned?
Sahil Maheshwari: Sure. So while this should be looked at Q4-to-Q4. So Q4 usually has a product mix or a product profile which is of lower gross margins compared to the other quarters. So that remain there. So if we look at really 9 months and 3 months of this quarter. So broadly, more than half of this, it was on account of higher COGS, which is a product mix, but this is a quarter-on-quarter phenomena.
This, we saw last year, the year before and so on. So this is why it should be looked as an annual business, which we continue to maintain a similar guidance on. And that partly mostly explain.
And quarter 4 also has some bonus payouts and provisions. So that's a minor part of it, but largely

it's the product mix which drove down the margins.
Vivek Agrawal: Thanks. And just last question before I jump in the queue. If you look at trade generic; and API revenues, the API business. So it is continuously, I think, loss making. And if you look at quarter numbers, trade generic losses have been widened, so what is the thought process around these business, continuing these business going forward?
Sandeep Jain: See trade generic we are seeing it from last two, three years. So we are not able to see significant positive results. So now we are in the process of consolidating this business or at least to maintain

that this losses should not go to the next year forward. So we are in the process of consolidating this business.
Vivek Agrawal: And sir of API?
Sandeep Jain: Yes. As far as API is concerned, we are sti

ll there in the business and we'll remain to be there in the business. We are trying to curtail our losses. Last year we are not able to curtail our losses and in revenue also we are not taking positive so around 10% of the volume growth -- sorry, revenue growth we are planning and apart from that the losses which is there we are trying to reduce it significantly.
Vivek Agrawal: Just coming back on trade generic. So when you say consolidating the business, means overall reducing the overall footprint or overall size of this business. Is that right way to understand?
Sandeep Jain: Yes, you understood it right, but that is not like we are going to zero-down this business. The portion which is positive in this and profit making that portion only we will keep with us.
Vivek Agrawal: Thank you, sir. This is helpful. That's from my side.
Moderator: Thank you. Next question is from the line of Gautam Gosar from Monarch AIF. Please go ahead. As there is no response, we'll move ahead to next question. Next question is from the line of Abdulkader Puranwala from ICICI Securities. Please go ahead.
Abdulkader Puranwala: Sahil just first on the CDMO growth this quarter. So partly you explained about volumes. Is there any pricing element also in this particular quarter? Have we been able to increase prices or it's the mix has just changed and due to that, there is a better realization?
Sahil Maheshwari: See if you see broadly what we have also done in our investor presentation, what we did, we tried to show a waterfall around it. And hence the gross margins of the overall CDMO business has improved up. So the product mix overall has improved. This is partly on account of the DCGIs which we have constantly strived for. This year also we receive 31 of them and also on account of improved product mix.
And if we will see which we have a niche form which we have classified as base and niche being everything which is research-driven or tough to manufacture or injectables and so on. So that is our 20% CAGR and from last three, four years it is increasing. So the gross margins are improving in this business.
Abdulkader Puranwala: Okay, understood. And secondly, on -- any color on the sickle cell product launch? Are we now looking for an international market opportunity only on -- any color on when the uptick will happen in the India market?
Sandeep Jain: See in sickle cell there are many opportunities and if we say clear cut visibility we are not available to see those clear-cut visibilities, but still we are very much hopeful that this is a big business and whenever market is going to realize it or whosoever are their consumers it is going to be a big business and big margin products as well and in that we are alone in this who are

patent holder and our cost also is very low from the international products, but for future guidance at the moment we have kept it separate. Whenever there will be a revenue or the profit, it will be an add-on to our guidance.
Abdulkader Puranwala: Okay, understood. And sir, next, you have received this EUR100 million from the export order, so -- I mean, how do you plan to deploy this cash? Would that be on the books till the time commercial supply starts or is there any plan to utilize it before?
Sumeet Sood: So Abdul, the way we are looking at it is that we are looking at opportunities which will have synergic benefits to the company. Right now the money is parked, well invested, but businesses which will have synergic advantage with us, profit-making businesses is what we will probably look at.
Sandeep Jain: We can look at it in two ways. One is this specific money which has been parked there is a purpose behind that and we have to utilize that in that purpose only as and when our products will come, but because we are cash positive, we are looking for some merger and acquisition

opportunities

or different type key merger, of course, within the pharma space only and which are profitable and who will add value add to our supply chain and our product mix and our client mix.

So we are seeing that type of opportunity, but certainly profit-making business we are exploring it and we are very mindful whatever public money is there to utilize it which will be a value add to every stakeholders.

Abdulkader Puranwala: Got it, sir. And sir, finally on the top line guidance. So do you have any color on EBITDA; how would the EBITDA margin or absolute EBITDA look like for next fiscal, '26?

Sahil Maheshwari: So CDMO will remain similar margins to this year. Akumentis and Unosource are already high-margin profiles compared to the overall average corporate, so will be similar margins of 18% to 20%. As sir was explaining we are consolidating. So the magnitude of losses in the trade generics, we still have to think through, but that will come down.

And API, we are significantly focusing on how do we reduce losses if you will see Q4 also there is a INR6 crores EBITDA loss. So we are significantly working on how do we bring down these losses. The three businesses, we'll maintain a similar margin profile. And the loss-making couple of businesses, we'll see losses coming down. So the overall margin profile of the company will move up.

Abdulkader Puranwala: Got it. Thank you.

Moderator: Thank you. Next question is from the line of Madhav from Fidelity. Please go ahead.

Madhav: Hi, good morning. Thank you so much for your time. My first question is on the trade generic business. So here the revenue has been coming down from us consistently like if I look at FY'22, we were at INR500 crores plus revenue, which is now INR100 crores, but the absolute EBITDA

loss here has actually gone up from INR20 crores to INR28 crores. Could you explain what is happening here?

Like, we've scaled down this business consistently, but EBITDA loss is still higher. And I mean, how difficult is it to just close the business and just bring the losses to zero because I'm not really sure what we're trying to do here?

Sahil Maheshwari: Sure. So thanks Madhav for the question. So essentially if we see the business, in trade generic business there are two characteristics. One is it is characterized by low pricing. So in an absence of quality parameters, I think pricing is what demands the overall channel play. The second is the working capital requirements of these businesses is high.

So your question on EBITDA this is what -- why we have scaled it down, essentially that the profitability of this business is consistently deteriorating across the board and very significantly for us. The COGS is significantly higher for us. And so that is the reason the margin profile is coming down and as well as given the working capital needs are high.

And there are some provisions and write-offs in this business so we get EBITDA loss is more. That's the overall reason why we think that, while we have over the last 2, 3 years seen how we can turn this around, but given the current scenario of the business where a branded play significantly helps you in a trade generic business and since we are largely a CDMO business, in an absence of a large branded play, we don't see this as a meaningful opportunity to us.

Madhav: So that's exactly my point. Like, why don't you just close it like just take the revenue to zero and then the EBITDA loss should go away, right?

Sahil Maheshwari: So Madhav so there's a working capital in the business. So if I immediately turn off the plug -- so that money is a risk that entire working capital might get provisioned for. So there are active efforts wherein we'll reduce our exposure on the working capital. And when the time is right, we'll take a call on shutting down the states, specific states wherever losses are more or specif

ic

product lines. And we'll continue perhaps some presence in this business if necessary. While I don't say we'll have it, but the whole idea is to scale this business down.

Madhav: Okay, got it. And secondly, I think you have mentioned about looking for some M&A opportunities. Could you help us understand like which is it in the CDMO business itself you're looking for M&A? And some more color. Is it for the domestic market play? Is it for exports and I guess just last clarification was you have INR1,500 crores cash on the balance sheet, including the money for the European contract.

So fair to understand, that INR1,000 crores we will not touch. So it's only from this INR500 crores and then any other leverage that we may take. So that ring-fencing will happen or that 1,000 crores, also we can use for M&A?

Sahil Maheshwari: So money is fungible. So about 1,000 crores have with us. So while the endeavour is we'll have this money with us, but if needed, we can already have an OD facility on the FD we have created

on it. Since it's INR1,500 crores, I think it's a good question for the entire group how to use in the leverage. So we have five businesses. Let strike it off where we cannot do M&A.
You cannot do an M&A in trade generics. You cannot -- we don't want to do in APIs. So these two businesses are off the table. On Akumentis, while we plan to grow it above the IPM at double-digit growth rates, inorganic is not a key lever for us for growth in this business, partly because this is not one of the core focuses of the group, compared to CDMO. And also the market multiples are high in this business compared to other -- the corporate.
So that is one business. If we get something very good and synergistic to Akumentis, we might explore, but this is not the top of priority for us. About doing two business CDMO and exports, both of them, we are looking at M&A opportunities. In CDMO specifically there are 2 areas where we have drilled it down. One is that lets us add the capability here. So maybe a dosage form, a technology which we don't have. And it's a commercially profitable technology which we can acquire or a product line or a business we can acquire which will add capability altogether to us. That is one.
The second is a CDMO or a similar business wherein we get exposure to newer markets which we currently don't serve. So these are the 2 kind of businesses we are looking at in CDMO. And within exports, we have shortlisted some of our gold markets. Approximately 15 of our countries, out of 50 which we currently operate in, are gold markets for us.
And we constantly will look at if we can get some good opportunities to expand our business in those markets. As you know, this is a business of focus for us. We intend to grow at least 20% year-on-year on this business, with current high level of EBITDA margins. So again, this is a business where we can look at M&A opportunities.
Madhav: And just a follow-up on the CDMO for newer markets. I'm assuming that's obviously export market. So we will look to buy a facility as well overseas. Or we just want to get market access, so we'll buy some local company with supplies from the Indian plant itself. Because we do have a low-cost advantage being based in India...
Sahil Maheshwari: We are open to both, honestly, Madhav, but the tilt obviously will remain to control the manufacturing, right, so it should be a facility wherein we can control the end-to-end of it.
Madhav: Okay. And just on the API business guidance, could you give us some timeline by when this loss can go to zero? What's the updated timeline here?
Sandeep Jain: See, presently, we don't see any timeline where we can tell you that we will be able to take it to zero. This year, it is going to remain at a loss and probably next year as well. But the losses are going to be, sa

y, half by the end of this year, for sure.
Moderator: Next question is from the line of Anandha Padmanabhan from PGIM India Mutual Fund.
Anandha Padmanabhan: Sir, in FY '24, you had a product development revenue of close to INR126-odd crores. Is it fair to assume that in FY '25 you had zero product development revenues?

Sanjeev Jain: Yes -- almost zero, sir.
Anandha Padmanabhan: Okay. And what's the outlook for this particular line of revenues, in terms of do you see -- is there any visibility of getting these revenues in the coming years?
Sandeep Jain: Coming year, yes, there are some visibilities, but we have not factored them because this business is such that when there is a specific demand, we are able to comment on it. That is why we have not factored it anywhere in the guidance. But whenever it will be there, it will be an add-on.
Anandha Padmanabhan: And this product development will typically pertain to the domestic market, right? Or is it for...
Sandeep Jain: No, no, it is not -- no. You don't get a lot of money in the domestic market. Mostly, it is for the European market and the regulated market that you get a good margin and good money in product development.
Anandha Padmanabhan: Okay. And, sir, the European contract, the long-term contract, which you have got EUR100 million upfront, for this particular contract, what is the amount of capex and opex that you will need to incur before FY '27 to have the facility or get your capability up and running?
Sahil Maheshwari: So, we'll have to get the plant done and we'll have to have the product approved, right? So what we are thinking on these lines, that this is roughly a EUR20 million expense for us wherein we will develop the dossier, register it in most of the European countries, as well as we'll upgrade our plant to get the European GMP.
And we are also investing in a new product facility in A 11, which is our Baddi 1 facility, wherein

we will again set up world-class, high-sophisticated lines to serve to European markets and get the European approval...
Anandha Padmanabhan: So this entire cost of all this would be $20 million.
Sahil Maheshwari: It will be EUR20 million.
Anandha Padmanabhan: EUR20 million, sorry. EUR20 million, okay. Fair enough. And sir, in terms of on a full year basis, in terms of you said that the pricing continues to be volatile. So even on a Q-on-Q basis, the prices has -- pricing in the CDMO business has been negative on a Q-o-Q basis?
Sahil Maheshwari: Yes.
Anandha Padmanabhan: Okay, okay. So coming on to FY -- even in FY '26, as of now, you don't see any visibility of prices stabilizing?
Sahil Maheshwari: No. So if you look at large anti-infectives, right, whether you look at amoxicillin, whether you look at cardio diabetes, Telmisartan and so on. So most of the APIs still continue to be very soft. And these are large APIs that dominate the Indian pharma market, right, pantoprazole and so on.

So currently we don't see that the API prices are stabilizing. Given it's a cost-plus model, this, honestly, does not impact much on our gross margins, but that is not how the facility operates, right? So it's a constant endeavour that we'll have to optimize our manufacturing expenses. And hopefully, these are not the levels which most of the industry will be happy at. So maybe it can take a quarter or 2 quarters or 3 quarters. We don't know, but these are significantly lower prices compared to historic averages.
Anandha Padmanabhan: And since you operate on a percentage margins, this will -- historically, this has held true even on a rising API price scenario as well?
Sahil Maheshwari: Correct, correct, very right.
Moderator: Next question is from the line of Pranav Chawla from Ambit Capital.
Pranav Chawla: Sir, I had a couple of questions. Sir

, when do we think we'll be able to EBITDA breakeven in the API business given the current scenario if the prices are stable? Are we still targeting end of FY '26 or we expect it to be pushed to FY '27?
Sahil Maheshwari: So most of our revenues, what we get is from the Cephalosporin. Cephalosporin for a class of drugs which were hit harder, right? Almost 20%, we saw a price erosion, right? While the endeavour on manufacturing optimization, yield solvent recovery went well, but the overall COGS percent moved up as sale price reduced over here, right?
As we tentatively guided that we should be able to bring down the losses by a good fraction, almost if the endeavour is to bring down by INR15 crores - INR20 crores this year from the last year, right? So this is what the endeavour is, but we might not be able to do positive this year, right?
A lot will depend on how the Cephalosporin prices move, which will drive our next year profitability. But next year, the endeavour is to bring down the losses consistently. So whether it will be zero for the year or it would be single-digit losses, we'll really have to look at because this is a commodity Cephalosporin business as of now.
Better question, I think how do we do it? So there are 2 things in parallel what we are doing. One is we are exploring the global market. So as Sandeep, sir, mentioned that next 12 to 18 months the intention is to do 3 CEPs, and these will be largely across Cephalosporin, right. Do 3 CEPs and get the plant audited and approved by the European authorities. So there are lesser players, a few players at CEPs and there are better realizations as well. So that is one thing we are constantly doing.
The second thing is domestic may be expanding the client base to ensure that the kind of market which we serve, we are fully entrenched into the domestic market and cost reduction has always been our focus in this business for the last 2 years, right?

So this is what we are doing. We are very hopeful and positive, Pranav. But at this point in time, you'll understand, get into my shoes, you'll realize that when will we break even? This largely depends on the external API pricing scenario.
Pranav Chawla: Sir, do we have any deferred tax credit from this API business? And if yes, can you quantify that?
Sumeet Sood: So we have had post the acquisition, taxes which came in with this business. So we have over INR850 crores, close to INR879 crores of tax losses, which came in with this business, and they continue to be here. And that's something that is the fact.

Pranav Chawla: Are we able to utilize these tax losses as of now? Or do we see some time -- we will have to wait for API business to be profitable to utilize these credits?
Sumeet Sood: We should, in the next 4 years, be able to utilize these losses. We had mentioned in our earlier calls that to utilize these tax losses, one of the ways we had done was that we had merged this entity with Pure and Cure, right? So some of those benefits we are getting from our largest CDMO business. So we think we will be able to utilize them in the next 4 years.
Pranav Chawla: Perfect. And one last question from my side, sir. In the opening remarks, we mentioned we had certain excess provisions in this quarter. Do you want to call out what would be the quantum of this?
Sumeet Sood: So we'll give you a broad understanding what are these provisions. So I think a lot of you asked questions around what in the trade generic are we doing. So some of these provisions came in to see that once we are sort of consolidating this business, we try to understand some of these debtors provisions that could be there. So I think broadly for the guidance, it is in line with the strategy that the company is following. So I think that is really where the provisions are.
Moderator: Next question is from the line of Madhav from

Fidelity.
Madhav: Yes. Just a follow-up. On the export business, where we did about INR143 crores in FY '25. I think could you give us some sense in terms of how the base business can grow? And then also the European contract, which is a very large contract for us, could you give us some time line in terms of when does it start? And what could be the steady-state annual revenue? And anything on the margins as well of this European business? If you could give some color on that, that will be great.
Sahil Maheshwari: So this largelythis is a 200 million contract on a 6-year basis. So largely -- this will be INR300 crores -- INR350-odd crores top line business with similar margin profile for us. So this will be a similar margin profile in the CDMO business. So this business will fall in the CDMO business for us, right?
If you talk about the base export business, which is our branded business, what we do, this -- as I said, this is a base business for us. In absence of any inorganic as of now, this will continue to at least grow in high double digits, 20%-odd growth for us over the next 2, 3 years. And the

commercial supplies for the European contract will start in 2027, most likely in Q4 of '27, around February/ March of '27.
Madhav: Q4 FY '27. Okay. February, March 2027 is when it starts. So FY '28, we should reach the full steady state of INR300 crores, INR350 crores or it takes some time to...
Sahil Maheshwari: Correct. No, no, this is a stable product with a stable market demand. So this is not a new launch. So this will have a stable demand of INR30-odd crores monthly.
Madhav: Okay. And in the next -- like FY '26 and FY '27, given we need to incur some cost for filing the dossiers in Europe, etc., is there any expense that we will put in the P&L for this contract, like FY '26 and '27, you could have some cost coming through? Or how would that work?
Sumeet Sood: So this on the basis of the accounting standard would work on a composite accounting, right? So the expenses get charged off when the revenue recognition happens, right? Because the enduring benefit will be over the period when the revenue comes in. While there would be capital expenditure, which will happen, but as I said that this will be on the basis when the revenue comes in.
Madhav: Okay. So FY '26, we said, we're not going to incur any cost, like it will be sort of accounted for when we start the revenue, right? So that's the way we should think...
Sumeet Sood: Yes. So there will be an expenditure but not be tied to the P&L. That is what I was trying to reply. Yes, we'll capitalize it.
Moderator: Next question is from the line of Naman Bhansali from Nine Rivers Capital.
Naman Bhansali: My first question is on the utilization level that you've given in the presentation. So on an average, we are gearing around 31% to 38% in the FY '25 full year. My question is, why are we running on such a smaller utilization level versus our peers who are -- who report around 50%, 60% utilization levels generally? And is it something to do that we have done a much larger capex than our business demand currently persist?
Sandeep Jain: In this case you will need to understand our business model. We work for multiple clients, like over 1400 clients with 4,000 different products and with around 18,000 different SKUs. So there are so many plants like and dosage forms as well, may it be ampoule, vial, injection, et cetera, et cetera large volume these are tablets, capsules, hard gel, soft gelatin. So into that, multiple products, multiple changeovers, so number of changeovers which we have in our set up its not anywhere.. So if you look at this, capacity or specific capacity it is utilise there also in changeovers.
Secondly, it like large volume parentals, injectables, and we achieve 70%, 80% capacity of this,

wherein tablet, capsule, so number of cha

ngeovers we use less capacities. If there is hormone
facility, so hormone facility is running say at around 10%, say 20%. But that will be fulfilled
with hormone business only. The same way when we are going to say, make capex on a few

more businesses, so that is for new dosage forms, like we are going for oncology, we are going
for steroids, which are not there in our basket.
So the capacity enhancement is going different types of dosage forms. LVP, we are already short
of capacities. So we will build more capacities. So the same way we are going to build the
capacities. And we these capacities 40 to 60, but it is not going to be 100% in pharmaceutical
and specifically with our business wherein we are having 18,000 different SKUs.
Naman Bhansali: Got it. Got it. So ideally, should we assume that it should be at peak, maybe around 40%, 50%
we are not more than that?
Sandeep Jain: No, no, no, We every line, every product checked, validated it up to 60%. So at any point of
time, we can go up to 60% very easily without making any efforts or with least minimum efforts,
and 60%-65%-70% on some line it can go.
Naman Bhansali: Got it. Got it. Understood.
Sandeep Jain: It is specific to some future few lines, you could take lines from 80%, 85%.
Naman Bhansali: Got it. Got it. Understood. Second question is on cepha. Given it's a very competitive market as
well as commodity market. So also given that we have almost 80% of our business from cepha
and the API side, so are we looking to enter into any other different API segments or any other
different API that we are looking out to diversify this segment which might help us get more
margins quicker?
Sandeep Jain: See, we do have 2 different plants. One is meant for Cephalosporin. This is an category
Cephalosporin in pharmaceutical we cannot manufacture anything other than Cephalosporin in
that specific plant. So we have to bring this plant Cephalosporin and bring into profit and we are
increasing the volume in those plants as well and that is also regularly in production and we are
increasing the volume in those plants as well.
Naman Bhansali: Got it. And lastly, on the international business. So this year, I think we grew around 14%. And
so is there scope here to grow at more than that range around 20%?
Sandeep Jain: Yes, yes, there is scope also, and we will definitely achieve it, in this financial year we will
achieve it.
Naman Bhansali; And on the dossier side this year, we had almost 70 approvals versus last year...
Moderator: Sorry to interrupt, sir. Can you please move to the question queue for follow-up questions. Next
question is from the line of Dheeresh Pathak from WhiteOak.
Dheeresh Pathak: Sir, what will be the capex in FY '26.
Sumeet Sood: Right. So we had given -- last time we have said that we will be going to Jammu. So we've
broken down our capex into maintenance capex and growth capex. The maintenance capex
would also take upliftment of the entire thing. So we are looking at almost a INR300 crore capex

in this year, of which we think close to INR100 crores, one third of the total capex will go into
basically maintenance and modernization and the growth capex would be on INR200 crores for
the year.
Dheeresh Pathak: And this INR200 crore, where are we spending the growth capex?
Sandeep Jain: First, we will put in Jammu. Apart from we liquid oral for our European business. Although we
do have a line, apart from the current line as well, so on that also there will be investment. And
also in oncology and steroids we are going to provide.
Dheeresh Pathak: Okay. Sir, in the cash flow, there is a significant increase in principal payment of lease liabilities
from last year, INR52 crores versus INR8 crores. So what is that related to?
Sumeet Sood: So this is basically for th

e new land parcel’s we have bought for Jammu and other plants and
that's where that liability has increased because it's a long-term lease liability that we have
created over 30 years.
Dheeresh Pathak: Okay.
Sumeet Sood: Yes.
Moderator: Next question is from the line of Gautam Gosar from Monarch AIF.
Gautam Gosar: I have a question on your utilization levels since you explained that. I just wanted to understand

if you have so many possibilities already examined. Will you please highlight which of your facilities are north of 55%, 60% utilization levels?

Sandeep Jain: If we talk about the dosage wise, the old facilities of injectables are 70%-80 % while liquid oral facilities are 70%, while the OSD facilities operate around 40 %. And the new facilities like A12, which injectable, which is running less than 5% because business has to grow. The same way, Penam facility in Haridwar, that is also around 10% so it is full leverage. Because the new facilities are introduced the product is and the stability data of is getting ready.

Gautam Gosar: Except for the new facilities, all our own facilities are north of 45%, 50% utilization levels.

Sandeep Jain: The old facilities are yes, they can be, but we also want to see, like Plant 1 dedicate for exports, and Plant 4 for hormones. So it is specific to the doses form.

Gautam Gosar: Okay. I think when the blended utilization levels should be much higher than what we are reporting around 30%/ 40%.

Sahil Maheshwari: I couldn't get you. Can you repeat your question? Your voice wasn't as clear.

Gautam Gosar: Basically, all our old facilities are north of 45%, 50% utilization level, then the blended utilization for us should be like more than 40%, 50%, which currently is around 35%, 40%. So I cannot understand where the gap is coming from.

Sahil Maheshwari: No, no. So let me reclassify. So inherent challenges with a few facilities that the overall market volumes are low. So hormones, that operates at sub-20%. And similarly, Plant 1, we have reserved for Europe where we are still building volumes. So most of our old facilities, if we see the blended average, so that comes out to be 40-odd percent.

Okay. Now we have added capacity. As you see over the last 4 years, we have added almost one fourth of our capacity, we have added to our capacity. This is across these dosage forms, which we report, right? Some are -- so injectables, we are operating at almost 50% plus. If you pick up the RHPC Plant 3, we were higher, right? But now you see it's gone down to 32% with the injectable facility, obviously, which is larger in terms of the units that we produce, brought down our utilization for injectables to 32%.

Similarly, the kind of investments we are doing in oral liquids has brought down our oral liquids, although oral liquids is a seasonal business. So in quarter 3, it spikes up. And hence, we have to keep a headroom. And hence, the overall utilization gets low. So while we can look at an average level, we have to really think through what is the seasonality and what is the formulation type before we say blended level, most of our capacity, as you could see, is for oral solids with high changeovers and client needs is currently between 35%, 40 % depending on what quarter we play in which for full year y a number came out 38%.

This, what we are saying is given in oral solids, we can move up to 50%, 55%. If we stick here, don't do further capex over the next 2, 3 years, we can do it. But a plant, it takes almost 2 years to bring up, get the WHO-GMP validated. So an adding capex, if we see our business is growing, is always a wiser decision to plan in advance for at least 24 months. And hence we base denominator but volumes constantly increase.

Gautam Gosar: Secondly, on the domestic formulation business. So on overall IPM level, we have seen a restricted growth of around 8%,

9%. So how should we look at our business of domestic formulations and what growth can we expect from this business?

Sahil Maheshwari: So this is a business which we are targeting if you really see through. We not take price hike this year. Obviously, right? So we are focusing on building branded play wherein we have a prescription-driven play, right? So this is a business where we are targeting a double-digit top line growth, which is -- which will be higher than the overall Indian pharma market.

Gautam Gosar: Okay. And lastly, sir, you mentioned about your API losses which are coming down...

Moderator: Sorry to interrupt, sir. Could you please rejoin the question queue?

Gautam Gosar: Okay.

Moderator: Next question is from the line of Dheeresh Pathak from WhiteOak.

Dheeresh Pathak: Sir, European client, contract that we have, if you can just explain how to account it again. I don't have that much clarity. So will cash flow come and how will it run through the P&L? And what sort of cash margins are we expecting to make here?

Sumeet Sood: So Sumeet here. So, like we a part payment, like Sandeep was explaining we have invest most of things, to take the plant approval. We'll have to take the product approvals. We'll have to put in some capex in the plant. All this investment will continue to happen, which not be charged

off because there is no commensurate revenue which is coming in, right?
While the cash flow has come in, that is cash which has come into the books of the company.
Now when starting, let's say, let's take the way the contract is structured. On 1st April, we will probably be starting off the billing.
For the whole year, we will probably -- whatever revenue will be there, there will be a part which will get adjusted against the payment which has come. And there will be a part which will be adjusted against the expenses that we have made, right? So the accounting will only start happening when the revenue will start getting recognized on this contract. So that's how the accounting will work.
Dheeresh Pathak: Okay. So how much cash has already come in, sir?
Sumeet Sood: So the way we -- when we mentioned, we got EUR100 million as part payment for the contract.
Dheeresh Pathak: So where does it show up in the -- you would have put it on the liability side on the balance sheet, right? Where does it show?
Sumeet Sood: No, not on the 31st. So it came on 9th of April, right? So this is a subsequent event, you look at the net surplus, you will see number 566, cash or cash equivalent. So, if we try to reconcile it with the balance sheet, then we will not be able to do it now because the money has come on 9th.
Dheeresh Pathak: Understood. What kind of margins that we expect to make here? Like in the domestic CDMO, we make a certain set of margin, there is certain working capital requirement, right? So what -- how the economics different here in this business?
Sandeep Jain: Sir, what is there, in Europe the business that comes, there are very good high margins, but because we had to grab this business at any cost, it was the very first business, and which is giving us entry in around 20 countries, along with it, the investment in terms of getting approvals and all that is also being reimbursed by the party.
So, that is why we did not focus so much on margins here and it is somewhere around 15% margins that we will get. Although we are expecting that in the rest of the European business, we will be able to grab more margins.
Moderator: Next question is from the line of Naman Bhansali from Nine Rivers Capital.
Naman Bhansali: I was just following up on the dossier side for our export business. For FY '25, we have around 70 dossiers, which used to be much higher over the last 3 years, around 130 to 140 over the last couple of years. Now does this impact -- has any impact on the growth going forwar

d in terms
of newer dossier approvals reducing this year significantly?

Sahil Maheshwari: No. So, let's look at its history. So this is largely on account of years of R&D and dossier filing that happens too, right? So we think of a dossier, we go develop it, file the regulatory approval.
So for example, it differs by country to country. Some countries give approvals in 6 months. Others can take as long as 3 years. Right?
So this is an outcome event that we have received 70. As I have mentioned, we are also focusing on fewer gold markets. So the number of countries where we filed dossiers have also reduced.
We are now largely targeting where -- which markets we can go deeper.
But this certainly has no impact on the growth. Neither we are saying we are slowing down on the exports. We are constantly investing in our R&D and developing high-quality products specific to the markets which are of focus to us.
Naman Bhansali: Got it. And secondly, on the management side to a bit, this year, I think we have received a resignation of the CDMO CEO personnel as well as last year, I think the domestic formulation CEO resigned so where are we looking at the hiring from these 2 perspectives?
Sandeep Jain: See, in any industry, attrition is a normal process and because of his personal reason, he wanted to go. So, of course, we are in the process of hiring a few key people. But we always search for the right people.
So, it's not like we just want to fill a post. Business is going on, but we want to manage the business more professionally through professionals. So, we are trying to identify the people who will be the best in class of the industry.
Moderator: Next question is from the line of Gautam Gosar from Monarch AIF.
Gautam Gosar: My question is on the API business. So what level should we see the API business breaking even? Like can you quantify a number at these levels it can break even? And what growth are we expecting? So earlier, I think we are expecting a much higher growth. And are we seeing any slowdown in this business now?
Sahil Maheshwari: So I'll rephrase -- paraphrase what we said earlier. Essentially, so the top line growth is what we are targeting 10%/ 15% growth, but that is not the key focus. The key focus is how do we reduce losses and move to a path of profitability, right? So last year, we did over INR40 crores of EBITDA losses, which we think this year will be in the range somewhere around INR25-odd

crores.
But this will largely be driven from how the external market plays in terms of the cyphlosporin prices. While the endeavor is to increase our share of general products as well, but this is how it will pan out. So FY '26, if I say, we'll still be in losses, but the losses will be significantly curtailed down. FY '27 is a year which we think we might be breakeven or single digits of EBITDA losses.
Gautam Gosar: What revenue can be breakeven?

Sahil Maheshwari: So exactly to rephrase. So, revenue here is, cyphlosporin has come down. So, if from there, your meaning is that on the capacity utilization, we are still decently capacity utilized, almost one-third capacity utilized. We can do to 2.5x from the current levels of our capex, which has gone into. To a point, where will we breakeven? This is -- we currently do roughly INR200-odd crores. I think once we do almost 2x the size of the current revenues will be better off in terms of a profit-making business.
Gautam Gosar: Got it. Last question on trade generics. How much working capital is blocked over there? Can you quantify the inventory write-off taken in this quarter?
Sumeet Sood: So we have given a broad guidance on this. As I said, that this is something that we, as a part of our strategy are looking. But if we really look at what is the sort of wor

king capital, this is not
much overall in our business. If we look at the total trade generic business, we wouldn't -- we have, say, close to INR45 crores, INR46 crores on debtors. We have INR18-odd crores, which is on the inventory and INR35 crores on basically creditors. So there isn't much on the working capital. We have made a decent provision, and I don't think there will be any large hits going forward.
Moderator: Ladies and gentlemen, that was the last question of the day. I now hand the conference over to management for closing comments.
Sandeep Jain: Thank you, everyone, for attending Akums Q4 Earnings Call. If you have any remaining questions, you can reach out to the Investor Relations team. Thank you, and have a good day. Namaste.
Moderator: Thank you. On behalf of Ambit Capital Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Note: This does not purport to be a verbatim account of the earnings call. It has been edited for readability and statements made in Hindi
have been translated to English.

Call: Aug 2025

Ref: Akums/Exchange/2025-26/41 August 18, 2025
To,
The Listing Department
National Stock Exchange of India Ltd
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex,
Bandra (E),Mumbai – 400 051

Symbol: AKUMS To,
The Listing Department
BSE Limited
Rotunda Building, Phiroze Jeejeebhoy
Towers, Dalal Street, Fort, Mumbai –
400 001

Scrip Code: 544222

Sub: Transcript of Earnings/Analysts Conference Call held for un-audited financial
results for Q1 of FY26

Respected Sir/Madam,
Pursuant to the Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) 2015, please find enclosed herewith the transcript of earnings/analyst conference call held on Monday, August 11, 2025 at 12:00 PM (IST) on un-audited financial results for Q1 of FY26.
The said transcript be also available on the Company's website
https://www.akums.in/investors/investors-meet/ .
This is for your kind information and record.
Thanking You
For Akums Drugs and Pharmaceuticals Limited

Dharamvir Malik
Company Secretary & Compliance Officer

Encl: as above

"Akums Drugs & Pharmaceuticals Limited Q1FY26
Earnings Conference Call"

August 11, 2025

MANAGEMENT : MR. SANJEEV JAIN – MANAGING DIRECTOR , AKUMS
DRUGS AND PHARMACEUTICALS LIMITED
MR. SANDEEP JAIN – MANAGING DIRECTOR , AKUMS
DRUGS AND PHARMACEUTICALS LIMITED
MR. SUMEET SOOD – CHIEF FINANCIAL OFFICER,
AKUMS DRUGS AND PHARMACEUTICALS LIMITED
MR. SAHIL MAHESHWARI – GENERAL MANAGER
(STRATEGY) AKUMS DRUGS AND PHARMACEUTICALS
LIMITED
MR. ANKIT JAIN – HEAD (INVESTOR RELATIONS),

AKUMS DRUGS AND PHARMACEUTICALS LIMITED
MODERATOR : MR. PRASHANT NAIR – AMBIT CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to the Akums Drugs & Pharmaceuticals Limited Q1FY26 Earnings Conference Call, hosted by Ambit Capital Private Limited.
As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Prashant Nair from Ambit Capital Private Limited. Thank you. And over to you, sir.
Prashant Nair: Thank you, Anushka. Good afternoon, everyone, and welcome to the Q1FY26 Earnings Call for Akums Drugs & Pharmaceuticals.
From the Management, we have with us today, Mr. Sanjeev Jain – Managing Director, Mr. Sandeep Jain – Managing Director, Mr. Sumeet Sood – CFO, Mr. Sahil Maheshwari – Head (Strategy), and Mr. Ankit Jain, who handles Investor Relations.
I now hand over the call to Ankit to take it forward. Over to you, Ankit.
Ankit Jain: Thank you, Prashant, for the introduction. Good afternoon, everyone. Welcome to Akums' Q1FY26 Earnings Call. I am Ankit.
Let me draw your attention to the fact that on this call, our discussion might include certain forward-looking statements, which are predictions or projections of future events. Our business faces several risks and uncertainties that could cause our actual results to differ materially from what is expressed or implied in such statements. At Akums, we do not undertake any obligation to publicly update any forward-looking statements, whether as a result of new confirmation, future events or otherwise.
Having said that, I hope you have all gone through our Investor Presentation and Financial Results that we posted on Friday. I would now like to hand it over to our Managing Director, Mr. Sandeep Jain, to discuss our performance. Thank you.
Sandeep Jain: Thank you, Ankitji. And welcome everyone to our Q1FY26 Earnings Call. This date marks just over one year since we began our journey as a listed company. We continue to work towards strengthening the organization with a focus on long-term growth.
I will commence with a brief review of the industry environment before sharing a perspective on the business. The Q1FY26 continued to see tepid volume growth with industry volume growth of below 0.40% and IPM growth being driven largely by price growth.

The weakness seen in API pricing also continues. On an average, the API prices have declined 10% to 12% in the last 12 months. However, Akums continues to forge ahead and maintain its leadership position in the domestic CDMO industry. Despite the headwinds and long-term growth perspectives remaining intact in Q1, Akums reported growth in both revenues and profitability.
R&D remains the backbone of the company. We achieved the milestone of cumulative 1,000 DCGI approvals for this group in Q1FY26. During the quarter, we received 27 DCGI approvals. This is a significant improvement as compared to the 31 approvals we received during the entire last year.
DCGI approvals are new formulations, launches in India, which help to improve our product mix and offer better margins. As the competition is limited, during the year we received DCGI approvals for Trelagliptin tablet, Relugolix tablet, Dapagliflozin plus Linagliptin plus Metformin tablets, Naftifine cream, including others.
We were also granted one patent this quarter for our niche formulation of tablets, in tablets of Doxylamine and Pyridoxine for the management of nausea and vomiting during pregnancy. Additionally, we filed 24 new patents this quarter in our CDMO business. We further commercialized triple-layered tablets for the f

irst time this quarter, a novel formulation to improve patients' compliance.
We continue to take steps to become a global CDMO. We received approvals of our first European Dossier approval for Rivaroxaban, USD 15 billion plus market globally. We also filed our first dossier in Switzerland for Dapagliflozin plus combination.
We received the ANVISA Brazil approval for our injectable plant 3 and GMP Russia for our hormone plant 4. The progress of our European contract remains on track. This includes product

development, scale-up, plant upgradation. The European GMP audit for the plant is expected this quarter. We will begin commercial supplies from April '27.

As informed during the last call, Akums has received €100 million as part consideration for the European contract this quarter. Consequently, our cash surplus stands at around Rs. 1,518 crores. The strong liquidity position provides a robust foundation for Akums to strategically scale up its business operations through both organic growth initiatives and inorganic opportunities.

Our recent CAPEX on newer facilities have started to ramp up. We are gaining traction on our dedicated Penem facility as well as our second dedicated injectable facility. Our Baddi facility will commence commercial supplies of liquid this quarter in H2. We will commercialize oncology products from this site. And Q1 next year, we will start steroidal block.

We strengthened our leadership team this quarter with addition of senior executives in IT, finance. We are also taking multiple digitalization initiatives across HR, R&D, quality, and other functions.

Coming to quarter, while CDMO volumes grew faster than the market, they were modest at 1% driven by continued slowdown in the overall industry. Overall, CDMO revenues grew by 4% despite a 2.5% impact of lower API prices. The growth was led by better product mix, a testament of our strong R&D offerings, operating margins remaining healthy at 14.7%. We continue to aggressively work on turning around our API business. The API losses reduced by 50% compared to Q1 last year.

We are on track to file 3 CEP dossier over the next 12 to 15 months. The CEP filing for Cefuroxime Axetil is on track. Validation has been completed for the CEP filing. Cefuroxime Axetil's validation has also been completed for Brazil filing.

During the quarter, we mark our entry in the Nigerian market and Cephalosporin APIs with Cephalosporin API.

Our domestic branded formulation, despite the weaker growth in the quarter, is expected to continue the healthy growth trend backed by an attractive portfolio focused on chronic treatments across gynaecology and cardio-diabetics. We continue to invest in enhancing field-force productivity and expand these two specialists, in keeping with our growth aspirations.

In the international branded business, we continue to build capabilities across our focus market. We received 20 new dossier approvals this quarter. This is a focus segment for this group.

The consolidation in the trade generic segment continues as we are making prudent efforts to bring down the losses.

Let me turn my attention to our performance now:

We saw overall incoming growth at 2.5% during the quarter, year-on-year. Revenue growth in CDMO came in at 4% year-on-year, resulting in revenue of Rs. 813 crore. Domestic branded formulation has shown 3.4% year-on-year growth to Rs. 107 crore. International branded formulation showed 3.8% year-on-year growth to Rs. 23 crore. Total EBIT improved 19% year-on-year, while operating EBIT improved 4% driven by better gross margins.

Looking ahead, we remain focused on strengthening our CDMO leadership, scaling high-value capabilities, and driving operational excellence backed by a strong pipeline and prudent capital allocation. We are well-positioned to deliver sustainable and profitable growth in the ye

ar ahead.

With that, I would like to hand over to our CFO, Mr. Sumeet Sood, for the discussion on financials. Shri Sumeet Soodji.

Sumeet Sood: Thank you, Sandeepji, for the detailed explanation of the business. Now, good afternoon, ladies and gentlemen. I will take you through the financial performance of the company and the highlights for 30th June.

Our total income stood at Rs. 1,051 crores, an increase of 2.4% year-on-year and a decrease of 2.1% quarter-on-quarter. During the quarter, we rationalized our presence in the API-entrained generic segment, leading to a reduction in revenue in these segments.

The reported EBITDA for the quarter was Rs. 156 crores, an increase of 19% year-on-year and 40% quarter-on-quarter. Margins stood at 14.8%, expanding 208 basis points from a year-on-year basis and 443 basis points on a quarter-on-quarter basis.

If we look at EBITDA without the other income, which is on account of interest income that the company had on the amount Sandeepji just mentioned, which was our net surplus, the EBITDA stood at Rs. 129 crore, an increase of 4% and a 37% growth, which is on quarter-on-quarter basis. So, the adjusted EBITDA margins were at 12.6% overall.

The adjusted PAT stood at Rs. 65 crores, an increase of 13% year-on-year and an increase of

48% quarter-on-quarter.
I will now take you to the segment-wise financial performance. And if you remember, we have broken this up into five segments. And that is where the CDMO, the branded formulation, exports, trade generic, and API.
The CDMO revenue stood at Rs. 813 crores, an increase of 4% year-on-year and a decrease of 3% quarter-on-quarter. Revenue remains modest due to the continued decline in API prices. EBITDA for the quarter for the CDMO business was Rs. 119 crore, a decrease of 1.4% year-on-year and an increase of 35% quarter-on-quarter. The company was able to maintain the EBITDA margins of 14.7%, driven by improved product mix.
Domestic branded formulation, if we look at the details, revenue stood at Rs. 107 crores, an increase of 3.4% year-on-year and 3.7% quarter-on-quarter. EBITDA for the quarter was Rs. 16 crores, an increase of 18% year-on-year and a decrease of 29% quarter-on-quarter. Overall, EBITDA margin for the year is expected to remain similar to last year at around 18%.
International branded formulation. The revenue stood at Rs. 35 crore, an increase of 2.4% year-on-year and a decrease of 12%. Despite the weaker growth, we continue to expect high teen growth in this segment for the full year. EBITDA for the quarter stood at Rs. 8 crores, an increase

of 8% year-on-year and a decrease of 8% quarter-on-quarter. EBITDA margins remain healthy at 23%.
The revenue for the API business stood at Rs. 45 crores, a decrease of 35% year-on-year and 10% quarter-on-quarter. As mentioned in the previous quarter, we are keeping our focus on only the few molecules with higher gross margins. EBITDA for the quarter stood at minus Rs. 6 crores compared to Rs. 12 crores in the last quarter. We continue to work on cost optimization.
Trade generic revenue stood at Rs. 23 crores, a decrease of 21% year-on-year and an increase of 4% quarter-on-quarter. As mentioned earlier, our focus is on rationalizing the underperforming units while retaining the profit-making ones. EBITDA for the quarter stood at Rs. 5 crores, negative, as we continue to take certain provisions in this segment. Our current exposure on inventory and receivables is at Rs. 54 crores. And our working capital investment is at Rs. 18 crores.
Our balance sheet is very healthy, as you would have all seen. We have a cash surplus of, as Sandeepji mentioned, of Rs. 1,518 crores. We had a positive free cash flow of Rs. 935 crores, which was partly on account of the money we received from the EU co

ntract. Overall, the
business continues to remain strong, supported by solid CDMO segment, a promising pipeline, and as I mentioned, the healthy financial position.
From our side, we conclude the financial highlights for the quarter. We would request to open the forum for question-and-answer session by the moderator. Thank you.
Moderator: Thank you very much. We will now begin the question-and-answer session. We take the first question from the line of Rehan Syed from Trinetra Asset Managers. Please proceed.
Rehan Syed: Good afternoon to the team and thank you for giving me the opportunity. Sir, I have just two clarifications or two questions from my end. First on the EU dossier approvals. Sir, you have mentioned receiving the first EU dossier approval for Rivaroxaban and filing a Dapagliflozin combination dossier in Switzerland. So, could you share the expected revenue potential from this launch over the next three years and how is commercialization pipeline looks beyond April 2026? This is my first question.
Sahil Maheshwari: So, should I go question by question or do you wish to shoot up the second one as well?
Rehan Syed: Can I add my second question also? So, my second question on the R&D side. On R&D, Akums has a diversified portfolio of innovative dosage forms. Which two of our three technologies do you expect to see the stronger customer adoption in the next 12 to 18 months going forward?

Sahil Maheshwari: So, on the European dosage, as we have a strong pipeline of over 4,000 molecules formulations in India, we have started building a pipeline for the European market. So, as we speak today, we have over 15 products which are in various phases of pipeline, right?
The first one, which was of Rivaroxaban, has got approval. Hopefully, this calendar itself, we should be able to commence the commercial supplies of that order as well, right? This is, as you know, we don't still have a field force in Europe, right? This is still based upon large companies or large distributors or players who participate into regional or national tenders to get us the order, right?
So, I cannot really put down a number of what will be the overall size, but Rivaroxaban, which is Xarelto, is a large molecule globally, right? So, we expect it to continue. Dapagliflozin, again,

serves a large market in the diabetes segment. And its combination along with Metformin is something we have filed and will get approval soon.
Similarly, we have multiple products in tablets, hormones, liquids, which are under various phases of development and will get filed subsequently.
So, as you would understand from our initiative, that Europe, across our own brands and across CDMO, is a key focus for the group over the next five years. Right. So, that is there. And apart from Europe, we have also received the ANVISA approval for Brazil, as well as the GMP approval from Russia. So, these are the additional geographies we are targeting.
On the R&D technologies, which you said, so honestly, this is on the molecule and not necessarily on the technologies. So, while we have technologies which are almost 20-25 technologies, which we have in-house, which help us to get the product faster to the market. So, these are our platform technologies, right? And help us build dosage forms. So, for example, this year we commercialized the triple-layer tablets, right?
So, as you would remember from our annual presentation of FY25, we really portrayed that our niche formulation, the share of our niche formulation is growing compared to the simple dosage forms, right? So, the whole idea of getting technologies in R&D is how can we share into the niche dosage forms, which helps us attract customers, retain customers and deliver a better margin profile.
Rehan Syed: Thank you for your clarification and good luck for your coming qua

rter.
Moderator: We take the next question from the line of Vivek Agrawal from Citigroup. Please proceed.
Vivek Agrawal: First question is related to CDMO business, right? So, the growth was again mutated around 4%, 5% kind of thing. So, how to look at full-year growth in this particular segment? And what are

the trends as far as the API pricing is concerned and the overall industry volumes are concerned, actually, if you can highlight?
Sahil Maheshwari: Vivek, hi. So, two things. I think one is you are talking on the pricing of the API. So, API pricing remains soft, right? So, what Sandeepji also mentioned, that what we did was we looked at our large buying APIs, the top 200 odd APIs, and saw what really is the trend. And what we saw was a double-digit decline in the last 12 months only. On top of it, add the decline which happened the year before. That remains soft.
On the full-year guidance for this CDMO business, we still have 9 months to work hard on this. I think one of the guidance which we initially gave was a mid-to-high single-digit growth in the top line in the CDMO business.
What we observed in the Q1 was 2.5% decline in our API pricing-led growth, right? So, while that growth is still achievable, I would rather say from mid-to-high, we would target a mid-single-digit growth as of now.
Vivek Agrawal: And we have seen a marginally dip as far as the margins are concerned, right? 15.5% to around 14.7%. So, what has led to this?
Sahil Maheshwari: So, I think this is quarterly, I think blip. As we also mentioned earlier, this business is really looked at an annual level. So, a 14% to 15% margin is what we usually deliver in this business.
That should be the zip code in which we operate.
Vivek Agrawal: Just one more question. As far as the volumes are concerned, next year we will see in India, right, launch of a generic Semaglutide by multiple players. So, how you are placed in this particular segment? Are you expecting any kind of volume pickup next year on account of this product launch, et cetera? You can throw some light.
Sahil Maheshwari: So, one is on Semaglutide. Semaglutide really is a value, not a volume-driven product, right? So, can Semaglutide really pull up the volumes in the market? No. Right. The volumes will still be driven by mass therapies. On our play in this segment, that is not really the core segment we are focusing on.
Vivek Agrawal: Thank you, Sir That's all from my side.
Moderator: The next question is from the line of Madhav from Fidelity. Please proceed.
Madhav: My first question was on the CDMO business margins. Given that API prices have been coming down, that obviously impacts the top-line growth for us, which you are saying could be mid-single-digit growth this year. But if API prices are lower, shouldn't the percent margins for us

start moving higher just mathematically? Is that the right way to think about the margin profile? And how that could play out?
Sahil Maheshwari: So, the margins that we get in this business are a cost plus on a percent basis, right? So, for example, if on a certain dosage form I make a 15% margin, that 15% stays, right? So, if the API

prices move from 100 to, let's say, 90 today, my 15% would remain, right.
But that is not how the maths work at the factory, right? We have fixed expenses across power, fuel, manpower and so on, right? So, the constant effort is how do we increase our product mix wherein instead of 15%, can I have a product which commands 18% of margins so that my net margin improves? And secondly, around the cost reduction and optimization initiatives, which are an ongoing process across the group of how do we sustain our margins.
Madhav: Sir, your guidance for FY26 is how much?
Sahil Maheshwari: So, as I said earlier, replyin

g to Vivek was, given the API prices, what we saw in Q1 declined by almost 2.5%. And it still looks very soft as we speak in August. They still continue to slide. So, we are targeting growth. Obviously, growth should come, but should be in single digits only.
Madhav: Then the second question was on the export business. So, in the presentation, when you have given international branded formulation of Rs. 35 crore, that is basically the export CDMO business or the export CDMO business is captured in the CDMO segment itself? Where does that revenue get captured today?
Sahil Maheshwari: Exports, so CDMO is anything we do in India or exports. So, the international branded is what we classify as a segment. So, branded is our brands.
Madhav: Correct. So, what we are doing as a CDMO in Europe today, that is part of the CDMO segment.
Sahil Maheshwari: Correct. We still have to recognize the revenue in that. So, we still, as I said, we still have to recognize. We recently received the first approval of Rivaroxaban. We still have to recognize revenues in it.
Madhav: And could you give some more sense around the business potential in Europe? And basically, could you explain a little bit about the business model as well? Like, are we sort of going into the large Indian generic companies who have presence in these countries and we sell via their front end? Or how does it work? And what is our competitive advantage in this market? Like, do we have a lower cost structure versus many Indian, large Indian generic companies operate in Europe today? So, do we have a lower cost structure or what is our sort of strength there?

Sahil Maheshwari: So, what we have identified are three levers wherein we can play in the European market, right? So, first is I still don't have a field on ground. And my core strength as a group always has remained manufacturing, right? So, our first lever is it is CDMO what we will do as a group largely in the European market. So, that is one business model.
The second is focusing on products and molecules where there is limited competitive intensity, right? So, as we said, we have received for Rivaroxaban. Dapagliflozin, which is a large anti-diab molecule. We have few products in pipeline across the hormonal range as well for which the EU GMP is expected over the next 6, 9 months. So, playing in markets where the competitive intensity is low, that is our second theory behind it.
And third is tapping clients not just in India but outside as well, right? So, one easy way out could be we tap Indian customers. But with the quality of products, the history of manufacturing services and we serve MNCs as well in India.
So, to your question, we are not just very go getting on the Indian players as well. We have our teams which regularly visit the European markets. And we are open to any sort of collaboration, whether with Indian or a European or an American player in Europe.
Madhav: But do we have a stronger cost structure to supply? Because the molecules you mentioned, like Dapagliflozin, etc., they are very large molecules. I am sure many generic companies would be targeting such opportunities in Europe.
Sahil Maheshwari: Obviously. So, this is all backed by a strong cost advantage that we drive.
Madhav: And just last question, if I can, on generic Semaglutide, which obviously could be more of an injectable kind of play. So, are you saying that when generic versions of this product get launched next year, are we planning to be in this product at all or we will not focus on this product? Just wanted to understand how we are positioned to this.
Sahil Maheshwari: So, no. So, this is not a core segment for us. So, the reason also I will say because this is a question which comes again and again. I think there are two reasons for it. One is that most of the Indian formulation players are do

ing it in-house only. So, the total addressable market for a CDMO gets squeezed down. That is one which limits my business case to set up a cartridge facility, maybe.
So, while we will see how this market moves and grows, if necessary, we will probably do one or two years down the line and then decide how do we capture this market. But as of today, this is not the priority one molecule for us.

Madhav: And if I can, just one more follow-up here. In the domestic CDMO business, which we have, of like Rs. 3,200 crores last year, how much of this was anti-diabetes therapy for us where we do the SGLT2s, DPP-4s kind of therapies?
Sahil Maheshwari: So, Madhav, honestly, so in our SAP, we tag brands and not even molecules, right? So, then it has to be tagged to therapy. So, while we don't do it, what we did during our IPO times, I can probably share that this completely reflects the IPM only. So, whether it is anti-infective, gyne, cardio, diabetes, it is largely within the plus minus 10% of a therapy which is there in the IPM.
Moderator: The next question is from the line of Avnish Burman from Vaikarya. Please proceed.
Avnish Burman: One is on the European filing. Sahil, if you can just explain how the MRP process works, if you can, the mutual recognition process. How does that work in that geography?
Sahil Maheshwari: Sorry, can you please repeat? I did not fully understand your question.
Avnish Burman: So, there is a MRP process there, mutual recognition process, where if you get approval from one member state, then you can use that to apply to various other member states.
Sahil Maheshwari: Yes. So, understood now. So, yes. So, that is there. So, once you get it, it is dependent on country to country. So, some countries, you have to have a local QP release, right? So, that is where you need a local pharmacist to do it. And other countries, they accept it, right? But it gets extremely swift and easy once you get approval from any of the countries which accept the EU GMP and the dossiers, right, including the non-EU states like Switzerland.
So, once we receive approval, everything falls on track. So, it is an additional. For some countries, it is €5,000 or €10,000 and so on. We just have to file the registration fees and it continues to that geography as well.
Avnish Burman: Is there a timeline that the regulatory authorities say that within these many days, I mean, they are liable to receive approval?
Sahil Maheshwari: Honestly, I don't know. Maybe we can check and get back to you.
Avnish Burman: No worries, no worries. Second question is that when you are filing in Europe, I just wanted to understand what model you are following. I mean, are you filing your own dossiers and then partnering with a distributor or you are partnering with a front-end pharma company? And between these two models, what is the basic difference?
Sahil Maheshwari: So, if you remember, two Board meetings back, we got approval to set up a subsidiary in Europe. We are already in the UK market, which is post-Brexit, out of the European Union and in Europe.

So, we will follow two models. One is where we do a co-development with the client, wherein the dossier will be owned by the clients. In certain geographies and in rest of the geographies, we will have the dossier. And for some dossiers, the MA will be exclusively held by us.
The current one which we received is with the partner model. But gradually as we proceed and will have a larger portfolio, the MAs in Europe will be held by us. We already have a company, Akums Healthcare UK, registered, wherein we will leverage to register the MAs and then tap the local large companies, distributors, tenders to scale up the product.
Avnish Burman: So, in the cases when the MA will be held by you, h

ow will you market the product? Will you like give it to the distributor or like how do you plan to basically sell the product?
Sahil Maheshwari: So, there can be no one answer to this honestly. So, depending on the country, depending on the product type, depending on how much is the private label off take, maybe at the books or other pharmacy stores, this might differ. But the bottom line remains that we will have to maximize the uptake from that product.
Moderator: We take the next question from the line of Harsh Bhatia from Bandhan AMC. Please proceed.
Harsh Bhatia: Just one on the European market. Just wanted one clarification. I understand that there will be a co-development model, which you just mentioned, as well as a few molecules going forward, dossiers which will be on your own name. How would the pricing be decided? Because from what I could understand from your commentary, it was that these will be tender-based contracts, which is why you are not giving out a guidance. That's okay. But the pricing part will be linked to how the tenders pan out to that extent or it will broadly be a cost-plus model that we follow in retail market plus how would the margins for the European markets look like?
Sahil Maheshwari: Understood. So, as I said, this will be across private markets as well as tender markets. So, some countries like Germany, you have a strong tender system of procurement. You have clinical commissioning groups in UK which procure regionally for counties. And then you have rest of the markets wherein you have a large private market, right?
So, this will be a mix of whether it is, which channel it really goes through. The margins obviously will be better than the domestic CDMO margins that we currently generate. And yes, that is broadly around it. But this has to really show up as we build. So, if I now talk maybe three to five years down the line, what we target is to have at least 10 dossiers in the European market

which we own and are sizable in nature.
Harsh Bhatia: So, depending on whether it is a private market or tender market, your pricing strategy slash cost plus model will keep on changing. That would be a fair assumption.

Sahil Maheshwari: So, Europe, what we have realized, honestly, is cost plus is a limited part of the model. Largely, it is a fixed pricing, whether it is a private market or a tender market, right? So, that is how the margins move. If you really track other players as well, introduction of a new player, or API pricing, it usually does not impact the output prices but usually impacts on the margins of the formulators, right? So, that is largely how the model moves in the European market.
Harsh Bhatia: And just one last clarification. The bigger contract that we have, which will start, I think, from CY28 or CY27 rather, that is also on a fixed cost model?
Sahil Maheshwari: Correct. So, that is a fixed cost CDMO model where the market authorization completely belonging to the client. So, we don't own the dossier as well. So, that is not the model we were talking earlier where we file it. That is a filing that will be done at the clients for their established brand which is currently being done. We are just a manufacturing, exclusive manufacturing partner out of India for that molecule. And that will begin from March '27.
Moderator: We take the next question from the line of Vivek Agrawal from Citigroup. Please proceed.
Vivek Agrawal: Thanks for the opportunity again. So, in domestic business, how to look out for the full-year growth, given that we have seen a subdued growth in this particular quarter? And any particular reason why your growth is just 3%, 4% in this particular quarter?
Sahil Maheshwari: So, you mean domestic CDMO, right, Vivek?
Vivek Agrawal: Yes, domestic branded formulations.
Sahil Maheshwari: Domestic branded formulations. Okay

.
Vivek Agrawal: Yes.
Sahil Maheshwari: So, domestic branded formulations should track the IPM growth, Vivek. So, this was one quarter, I think the margins were better compared to last Q1. It was just one-off quarter. We see the growth coming back in 2Q, 3Q and the rest of the year. So, we should be tracking the IPM.
Vivek Agrawal: But what has impacted in this quarter?
Sahil Maheshwari: So, nothing. I think it is a usual reorganization. You have certain periods. I think not necessarily I can pin down to one reason, Vivek. It is growing, but that should come. If you also look at the price growth that we took was roughly 1%, 1.5% itself, which was way larger than the rest of the market, which takes a 5%, 6%. So, everything is in place. I think for the rest of the year, we should perform well. So, no significant concerns or deviations from the guidance earlier on this business.

Vivek Agrawal: But given the small ways, as well as I think the business makes large in favor of certain chronic segments, right, don't you think that this business should grow ahead of the industry, ahead of the IPM at least?
Sahil Maheshwari: That is the endeavor, Vivek. But we could not do it in this quarter. And for the rest of the quarters, we will have to certainly perform better than the market and hence track the IPM, right? So, the endeavor is for the rest three quarters, we grow faster than the IPM so that at least we are in line with the IPM as we close the year.
Vivek Agrawal: And just lastly, on API and trade generics, right, so how long you see the business can just turn EBITDA positive?
Sahil Maheshwari: I will take trade generics first because that is the consolidation year for that business, right. So, we, over the last few years, have experimented a few things, but we still believe this is a business which has a peak EBITDA potential, which is lower than the CDMO business. And the global initiatives we are taking, as well as the working capital required to run this business, are large. It is largely a non-differentiated business where price plays a major role in the uptake, right? So, considering all these factors, we believe that this is not the right segment for us to stay invested in. And hence, trade generics, gradually we are bringing it down. We might retain one or two business units within this, but those should be profitable and no more bleeding. So, that is on trade generics this year.
API business, as we mentioned, we have some global aspirations. We are filing the European CEPs. We are also doing work in Africa and LATAM. Domestic cephalosporin prices continues to be a concern. This is driven by extensive price or margin erosion which players are resorting to, to gain in a market which has seen no volumes. We also did assessment of how our yields conversion norms are there, and we are pretty much in line with the market, right?
So, two things which will drive this business is one, global expansion. And secondly, how does

the API prices gradually move up? That should be a positive point for this business. So, as of now, we are still aggressive and invested in this business as we speak in FY '26.
Vivek Agrawal: That is from my side.
Moderator: We take the next question from the line of Madhav from Fidelity. Please proceed.
Madhav: Just one more follow-up. The EU CDMO contract starts from April 2027. So, could you give from basically FY28, how much could be the annual revenue run rate from this contract for us? And do we expect it to sort of ramp up fully in the first year or it could take 2, 3 years before it fully ramps up?

Sahil Maheshwari: Sure, Madhav. So, this is an established product, so there should be no ramp-up phase. So, we should do at least Rs. 300 crores annually from this contract. And yes,

April '27 is when we start commercial supplies.
Madhav: And the margins for this contract are similar to our existing CDMO business margins, or is it better than what we do, 14%, 15%?
Sahil Maheshwari: Similar margins.
Madhav: Similar margins, okay, sir. And the other European business, which we are targeting, where we have got one approval recently and filing some more, how big will this opportunity be for us in the next, let's say, two- or three-years' time? I mean, I am assuming it is close to sort of zero right now, just ramping up. So, any aspirations in terms of revenue next two, three years?
Sahil Maheshwari: So, I should say five years because European GMP approvals, dossier filings, scaling up to other countries takes time. So, let's take a 5-year horizon. So, from exports, how much should we do?
So, if I could break it down, so Rs. 300 crores we will get from this contract.
There are a couple of other, not of this value, but there are a couple of other contracts that we are working towards. So, those should give me some value. There is already Rs. 150 crores run rate of other exports business that I do in other geographies. So, over the five years time, we should target maybe $100 million in exports.
Madhav: Okay, $100 million exports of CDMO, basically, right?
Sahil Maheshwari: So, I would say exports because international branded is also supplied 100% from this. So, entirety of formulation exports from the group.
Madhav: And that is already at like, let's say, $15 million, $20 million run rate, right? Like $15 million, you know, so, right, the formulation exports.
Sahil Maheshwari: So, we currently are at 15. Over five years, we should scale up to 100.
Madhav: And given we have balance sheet cash right now from the advance we have received, and in the PPT we did mention some inorganic opportunity which we can pursue. What could be the framework? I mean, what kind of acquisitions can we look at? Like, what fits the M&A framework for the company?
Sahil Maheshwari: So, we drill down on multiple things. I think what we have finally selected are two things which we will deploy our cash inorganically. One is if we can acquire a dosage form capability we

currently don't have. So, there are still few dosage forms which we don't have capabilities on and we are targeting them.
Secondly, if it could give me access to other markets, right? So, I have strong R&D, quality manufacturing and things. So, if I get any base wherein I can quickly come launch new products and expand to global markets, that is another thing which we are looking at in the inorganic side of it. And we are open whether we do it within India or maybe outside India.
Moderator: We take the next question from the line of Pranav Chawla from Ambit Capital Private Limited. Please proceed.
Pranav Chawla: Sir, I have one question. So, on GLPs you highlighted, you may not be part of it. We are not even targeting fill finish.
Sahil Maheshwari: For what?
Pranav Chawla: For GLP, Semaglutide opportunity in India.
Sahil Maheshwari: So, I said Semaglutide is something we are not targeting, right?
Pranav Chawla: That includes fill finish as well.
Sahil Maheshwari: That includes fill finish as well, right. So, we have the required R&D in place. We are on it. But how big we will do, which all dosage forms we will do, still not aggressive on that molecule given, as I said, most of the players are doing it in-house. And subsequently, with so many players entering the market, the prices might drop substantially compared to the innovator price.
Pranav Chawla: Also can you share an update over our Jammu expansion?
Sahil Maheshwari: Sure. So, Jammu, as I said, in earlier calls, we have to start the plant by March of 2027, right.

So, we are tracking that timeline given our current CAPEX is already ongoing in

Baddi plants
as well as the utilization scope of ramp-up already exists in the Haridwar facility, right. So, towards the end of this year, we will start CAPEX and over the next 12-13 months, we will do the CAPEX and subsequently, March'27, we should be ready to go live from that facility.
Pranav Chawla: And one last question from my end. In the API business, if I see the numbers closely, we have been able to maintain our gross margins, EBITDA margins over there. So, how do we read this? Because EBITDA margins in business were almost 20% in the 1st Quarter of last year. And now we are almost stabilizing. We are at early teens number.
Sahil Maheshwari: Right. So, we did almost Rs. 44 crores, Rs. 45 crores of EBITDA loss in that business last year, if I remember it correctly, right. What we initially indicated was we will do an improvement of

Rs. 20 odd crores in EBITDA this year. That was the target, right. So, while it could have variability quarter-on-quarter, I think we would still track this number and we are targeting that we should do as per the guidance in this business.
Moderator: The next question is from the line of Dr. Neha Kharodia from Abakkus. Please proceed.
Neha Kharodia: So, good afternoon. And my questions are basically around two parts of our business, CDMO and the domestic branded formulation, which is 90% of our overall business. So, for CDMO, just wanted to understand for the domestic piece that is this understanding correct that one has to look at the growth in the volume for IPM and the other thing can be the API pricing scenario for us in that business?
Sahil Maheshwari: Correct. So, we do not get any benefits of the MRP, right? So, that is something which a marketing company governs. So for us, which are two important things is the volume growth in the overall sector as well as how the API prices move because since it is a cost plus, it is a major component of my cost.
Neha Kharodia: Understood. So when we say that we can grow in mid-to-high single-digit growth in this segment, what is the assumption that we are taking for the volume growth as well as the API? Are we expecting any improvement in the API pricing scenario?
Sahil Maheshwari: So, as of today, as I say, we have three levers, right? One is how my overall product mix improves, how my pricing of my product improves and how the volume improves. Pricing is dependent on the API prices, the input material, right? So, we saw minus 2.5% decline. So, that is on the decline.
The volumes which we grew by 1%, we expect some uptake in the rest of the three quarters. So, that should drive few percent points up. And product mix is something we are constantly working. So, if we really look at 2-3 quarters, that has given us an upside of 2% to 3%. So, that should continue and the product mix should contribute to the rest of the single-digit growth we are communicating.
Neha Kharodia: And this is the 2% to 3% kind of volume growth and 2% to 3% kind of benefit from the pricing. Is that understanding correct, sir? That will be product mix.
Sahil Maheshwari: From the product mix, the pricing should remain flat.
Neha Kharodia: And regarding the second part of that domestic branded formulation business, so as earlier participant had also asked, I mean, this business is quite small for us as of now. So, on the low base, why our growth was only, let’s say, 3%? And just wanted to understand, can it not be also pricing-led? And are we focusing on any particular segment for the growth?

And secondly, on the margin part, if I look at the margin, the margins are similar to the CDMO business. So, intuitively, one feels that probably in the domestic branded formulation business, one can have a better margin in this business. So, how should one look at the

margin for this
particular segment going forward on a steady-state basis?
Sahil Maheshwari: So, you asked on margins and growth. So, margins, if we really look at the Quarter 1 last year, they were tracking around 12% to 13%, which have improved to 14% plus. As we move ahead in this business, the sales and the margin profile increases because a lot of fixed costs get leveraged, right. So, Q2, Q3 perform well, right?
So, as we speak, which was there, the CFO was also mentioning about in his opening remarks that the year should remain at an 18-odd percent EBITDA margin. So, this is certainly better than the CDMO domestic margins that we currently generate.
On the growth, as I said to the earlier participant, that this was one of quarters wherein we did not take price hikes, as well as the primary was lower, but we should catch up over the next nine

months in this business.
Neha Kharodia: So, in the next nine months, we are expecting to be able to take some price hikes. Is that understanding correct?
Sahil Maheshwari: So, that will yet to be seen, honestly, how do we take price hikes? Because that will be our SQ to SQ driven. But as we move closer to H2, we should be able to better understand how the growth dynamics work in that business.
Neha Kharodia: But current environment, how is it looking? Do we feel that that can be possible or it looks difficult and it will be more of again volume and new launches driven?
Sahil Maheshwari: So, price growth honestly is in our hands only, which is as per the government norms of how do we grow. The DPCO portfolio for us is extremely limited. We largely have a non-DPCO price controlled chronic oriented portfolio, right? But as we scale up, almost half of the sales that we generate is from non-metros, which we also reflected in our Q4 presentation last year.
So, a lot of things on doctor perception, prescription uptake, your target pool, your current pricing in the market, so all those things play in before we really make our decision to hike the prices, right. So, that is the reason we still have to see how do we do in Q2 before we take a conscious call on it.
Neha Kharodia: So, just to understand it further, so there is a likelihood that our margins, if the growth does not come, can remain in the range of about 15%, 16% can be slightly lower than what we have

guided. And let's say, if we are able to take the price hike, then we can maybe deliver at the level that we are expecting already.
Sahil Maheshwari: I will just realign it. So, price hikes is a positive for this business. The business should continue at an 18% EBITDA margin.
Moderator: The next question is from the line of Jay Modi from EIML. Please proceed.
Jay Modi: Jay is out of the queue. He has been disconnected. So, as there are no further questions from the participants, I would now like to hand the conference over to Mr. Ankit Jain for closing comments. Over to you, sir.
Ankit Jain: Thank you, everyone, for attending the Q1 Earnings Call for Akums. If you have any remaining questions, you can reach out to the Investor Relations team. Thank you, and have a good day.
Sandeep Jain: Thank you very much.
Moderator: Thank you. On behalf of Ambit Capital Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your line.

Call: Nov 2025

Ref: Akums/Exchange/2025-26/63 November 17, 2025
To,
The Listing Department
National Stock Exchange of India Ltd
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex,
Bandra (E),Mumbai – 400 051

Symbol: AKUMS To,
The Listing Department
BSE Limited
Rotunda Building, Phiroze Jeejeebhoy
Towers, Dalal Street, Fort, Mumbai –
400 001

Scrip Code: 544222

Sub: Transcript of Earnings/Analysts Conference Call held for un-audited financial results for Q2 of FY26

Respected Sir/Madam,
Pursuant to the Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) 2015, please find enclosed herewith the transcript of earnings/analyst conference call held on Friday, November 14, 2025 at 12:00 PM (IST) on un-audited financial results for Q2 of FY26.
The said transcript be also available on the Company's website https://www.akums.in/investors/investors-meet/ .
This is for your kind information and record.
Thanking You
For Akums Drugs and Pharmaceuticals Limited

Dharamvir Malik
Company Secretary & Compliance Officer

Encl: as above

"Akums Drugs & Pharmaceuticals Limited
Q2FY'26 Earnings Conference Call"
November 14, 2025

MANAGEMENT : MR. SANDEEP JAIN – MANAGING DIRECTOR – AKUMS DRUGS & PHARMACEUTICALS LIMITED
M R. SUMEET SOOD – CHIEF FINANCIAL OFFICER – AKUMS DRUGS & PHARMACEUTICALS LIMITED
M R. SAHIL MAHESHWARI – HEAD, STRATEGY – AKUMS DRUGS & PHARMACEUTICALS LIMITED
M R. ANKIT JAIN – INVESTOR RELATIONS – AKUMS DRUGS & PHARMACEUTICALS LIMITED

MODERATOR : MR. PRANAV CHAWLA – AMBIT CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to Akums Drugs & Pharmaceuticals Limited Q2FY'26 Earnings Conference Call, hosted by Ambit Capital Private Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pranav Chawla from Ambit Capital. Thank you, and over to you, sir.

Pranav Chawla: Thank you, Nirav. Good afternoon, everyone. On behalf of Ambit Capital, I would like to welcome you all to the Q2FY'26 Earnings Conference Call for Akums Drugs & Pharmaceuticals Limited. Joining us today from the management, we have Mr. Sandeep Jain, MD; Mr. Sumeet Sood, CFO; Mr. Sahil Maheshwari, Head of Strategy. I thank the management for providing us with the opportunity to host this earnings call.

I would now hand over the call to Mr. Ankit Jain for opening remarks. Thank you, and over to you, Ankit.

Ankit Jain: Thank you, Pranav, for the introduction. Good afternoon, everyone, and welcome to Akums' Q2 and 1HFY'26 Earnings Call. I am Ankit Jain, and I head Investor Relations at Akums Drugs & Pharmaceuticals Limited.

I will commence with our standard disclaimer that any discussion on today's call might include certain forward-looking statements, which are predictions or projections of future events. Our business faces several risks and uncertainties that could cause our actual results to differ materially from what is expressed or implied in such statements. At Akums, we do not undertake any obligation to publicly update any forward-looking statements, whether as a result of new information, future events, or otherwise.

I hope you have had the opportunity to review our investor presentation and financial results that we posted yesterday evening. I would now like to hand it over to our Managing Director, Mr. Sandeep Jain, to discuss our performance. Thank you.

Sandeep Jain: Thank you, Mr. Ankit, and welcome, everyone, to our Q2 FY'26 earnings call. I would like to begin by sharing news of the new partnership with the government of the Republic of Zambia. We entered into a joint venture with the Zambian government to set up a manufacturing plant in Zambia. Akums will hold 51% in the JV.

The facility will be located in the capital city of Lusaka and is expected to commence production in CY 2028. This will be a multi-dosage facility across tablets, capsules, topical, liquids, injectables, etc., and will cater to the growing needs of antibacterials, cardiac, diabetes, CNS, gastro, ortho, gynecology, and other therapies in the region.

The total project cost will be approximately US$45 million, where Akums will invest in the form of both capital and product technology as well. Additionally, we envisage supplying medicines

of aggregate value of US$50 million from our Indian facilities to Zambia over the next two years. With Zambia pharma market expected to grow to over US$300 million by 2030, we expect this partnership to drive Akums long-term growth as well as improve accessibility of essential medicines in Zambia as well as neighboring African countries.

On the European front, our European CDMO contract is progressing as per plans. We underwent a European GMP audit for our plant 2 in October and are expected to get the approval in Q4 of this year. During Q2, we achieved another milestone by dispatching our first commercial supply of Dapagliflozin tablets to Switzerland. Rivaroxaban tablet supply to Europe is also expected during Q3. Our pipeline for Europe remains healthy w

ith over 10-plus dossiers. In API as well as we filed CEP for cefuroxime axetil and cefpodoxime proxetil in Europe.

Coming to the performance during Q2 FY '26. While our revenue remained flat, margins saw a dip as API price continued their downward trend. The downward spiral of API prices continues to be broad-based across all categories of APIs. For our top 200 APIs, there was a year-on-year drop of around 8%. Our CDMO business witnessed a healthy volume growth of over 7%, even though the IPM volume growth was flat.

Margins, however, also saw a dip due to the slower-than-expected ramp-up of our new facilities and higher overheads. Our domestic branded formulations business is steadily gaining scale with a focus on gynecology, cardio, diabetes, and pediatrics. While growth in Q2 was modest, we remain focused on improving coverage and portfolio, margins too were robust at 21.6%.

With multiple strategic initiatives underway, we expect this segment to continue on a growth path backed by improved primary sales and a strong portfolio. The international branded business impacted by seasonal factors is expected to have a strong H2 led by demand from our focused markets.

In the API business, we continue to focus on a higher gross margin portfolio and cost optimization initiatives. However, the continued downtrend in API prices impacted the margin during the quarter. We continue to aggressively work on turning around our API business. We have filed two CEPs in Europe and are on track to file more CPE dossier this fiscal. The consolidation in the trade generics segment continues as we make efforts to reduce losses.
Let me now turn your attention to our operating and financial performance. We saw a year-on-year revenue decline of 1.5% during Q2 FY'26. During Q2 FY'26, CDMO achieved a revenue of INR 804 crores with year-on-year growth of 0.7%. Domestic Branded Formulations revenue grew at 5.3% year-on-year to INR 122 crores. International branded formulation declined 14.3% year-on-year to INR 22 crores. Operating EBITDA declined 22% year-on-year due to operating deleverage.
While the performance during Q2 was below our expectations, we remain focused on delivering long-term value to stakeholders by further cementing our leadership position in the CDMO business, taking measures to grow our domestic and export branded business, and curtailing losses in API and trade generics.

Our long-term growth prospects remain strong with our newly formed Zambia JV as well as targeted efforts in the European markets. Additionally, our robust cash flow during H1 has further augmented our net cash position to over INR 1,600 crores. This gives us leverage to pursue both organic and inorganic growth opportunities. Before I hand over to the CFO, Mr. Sumeet Sood, I understand that the current financial results may raise apprehensions about near-term earnings, but I want to reassure you that our business remains strong and resilient.
We are currently operating in a dynamic environment, but we have built a robust business model to tap growing opportunities in the Indian pharma market. Our strategy is to extensively work on the identified growth drivers, including strategic partnerships, innovation, operational and cost efficiencies. We are confident that these initiatives will drive sustainable growth in the coming year. Thank you for your continued trust and support.
Over to Mr. Sumeet Sood for the financials. Mr. Sumeet Sood?
Sumeet Sood: Thank you, Sandeep ji, for the detailed explanation. Good afternoon, everyone. I will now take you through the financial highlights for the quarter ended 30th September '25. The consolidated revenue stood at INR 1,018 crores. It is a decline of 1.5% year-on-year and a decrease of 0.6% quarter-on-quarter.
Total reported EBITDA was INR 94 crores, a decline of 22% year-on-year, which was IN

R 121
crores, and a decline of 27% quarter-on-quarter, which was INR 129 crores. Margins were 9.3%, which declined from 11.7% in Q2 FY'25. And in Q1 FY'26, they were 12.6%. The margins were largely driven because of the CDMO segment and more losses that got posted in our API division.
EBITDA with other income stood at INR 127 crores compared to INR 135 crores year-on-year and quarter-on-quarter, and it was at INR 156 crores. EBITDA margins were at 12.1% compared to Q2 12.9% and quarter-on-quarter FY '26, 14.8%. The impact is seen in the PAT also, which stood at INR 43 crores compared to INR 67 crores year-on-year and INR 65 crores quarter-on-quarter.
Now, if we come down to business-wise, the CDMO, the branded formulation, exports, and trades generics and API, for the CDMO, the revenue stood at INR 804 crores, a slight increase from INR 799 crores compared to the earlier quarter and a decrease of 1.1%. The revenue growth remains modest due to a decline in API prices.
EBITDA for the quarter stood at INR84 crores, a decrease of 31.3% year-on-year and a decrease of 29.4% quarter-on-quarter. Largely, the margins remained affected because of a flattish revenue that we saw in the business, while the volumes growth was at 7% as explained by the MD.
For the domestic branded formulation, the revenue stood at INR122 crores, an increase of 5.3% year-on-year and an increase of 13.5% quarter-on-quarter. EBITDA for the quarter was INR 26 crores, an increase of 28.2% year-on-year and an increase of 66.5% quarter-on-quarter.

If we look at the international business, the revenue stood at INR 22 crores, a decline of 14% year-on-year and a decrease of 36% quarter-on-quarter. This revenue was largely impacted by seasonality issues and is expected to be strong in the next half year.

EBITDA for the quarter was INR 5.5 crores, an increase of 52% year-on-year and a decrease of 31.8% quarter-on-quarter.

For API revenue stood at INR 44 crores. This was a decrease from year-on-year INR 59 crores and a decline of 1.3% quarter-on-quarter. As we had mentioned earlier, we are focusing on molecules that have relatively high margins.

So we think that by the year-end, our EBITDA will be better than what it is showing. So the EBITDA for the quarter was negative INR14 crores. It was very similar to Q2 FY'25. But this has been something that by the year-end, we should be better based on our cost optimization, and we expect the full-year losses to be lower than last year.

Trade Generics, the revenue stood at INR 24 crores, a decrease of 26.2% year-on-year and an increase of 5.3% quarter-on-quarter. EBITDA, if you look at it for the quarter, was negative crore compared to the FY '25 quarter, which was minus 6 crore and Q1 of FY '26 stood at minus 5 crore. So, as the MD mentioned, there is a focus on trade generics business consolidation.

Our balance sheet continues to be healthy with a cash surplus of INR 1,649 crores. The free cash flow for H1 was INR 1,044 crores, driven by the part consideration received from the CDMO contract. Excluding the part consideration, the free cash flow was INR 90 crores with a robust operating cash flow to EBITDA at 88.8%.

This concludes the financial highlights for the quarter. We would now request the moderator to open the forum for the question-answer session. Thank you.

Moderator: The first question is from Abdulkader Puranwala from ICICI Securities.

Abdulkader Puranwala: So, my first question is with regard to the development on the export side of the business. So firstly, in Europe, could you highlight to us what the developments are there? Are we extending the contract beyond what was previously announced, because I think now we are talking about two or three more plants getting EU GMP certified? So, is there an increase for the existing plant, or are some new plants being added here?

Sa

hil Maheshwari: Sure, Abdul. This is Sahil. I'll address this. So you have to split this into two things. One is the export contract for CDMO Europe that we announced. That is for an oral liquid formulation, which is plant two, which we briefed earlier, got EU GMP inspected in October of this year. Eventually, when we get the approval, we'll file the dossiers, get the approvals, and we are on track to start the commercial supplies in the -- around March and April of 2027, right.

Moving to the other side of the export business in Europe, which we are planning, this is dossiers, which we'll file from multiple plants, which we will either self-market or out-license a few dossiers in certain markets based on the market strategy and our field positioning. So these are the dossiers, approximately 10 dossiers, as Sandeep sir mentioned in his opening remarks. So,

two of them, Dapagliflozin and Rivaroxaban will commercial supply in Q3. There are 8 to 10 other dossiers in pipeline, which are across multiple dosage forms, product types that we will subsequently launch over the next 2, 2.5 years.

So, Abdul, these are the two things. And hence, multiple plants because what we see is that there is an increased opportunity, as in hormones, beta-lactams, and obviously, injectables and oral solids, which we already have. So this is broadly how we look at the European business.

Abdulkader Puranwala: Got it. And, so any relook on how the API business growth will pan out, say, for next year? And in terms of the margins, how should we now look at this particular segment with Europe now fully in place?

Sahil Maheshwari: So, API, our API business, right? You're talking about APIs in general or our specific API business?

Abdulkader Puranwala: No, your API business now that you started supplying to Europe.

Sahil Maheshwari: Sure. I'll address it. So, as you rightly mentioned, we have filed two CEPs, proxetil and axetil, in the cephalosporins space for which we should get an approval in the next six months, right? So we'll start seeding formulations in those markets. And subsequently, we expect this business to be of higher gross margins in Europe.

As Sumeet also mentioned, while the initial half of the year saw an EBITDA drain of INR 20 crores, we expect that it will not be a similar amount in H2. We should have some optimizations, both on the gross margins and our operating expenses there.

Once we limit it, honestly, the whole point is on gross margins in the cephalosporins business. If I really talk about the gross margins in FY '25, we had a gross margin of 12.8% in the API business. With the continued downward trend of the larger cyclosporin business in Q2, the gross margins of the business were only 9.3%. So this is what is driving the majority of the losses. If we look at the employee expenses, we have achieved an annualized savings of almost INR7 crores.

We have done almost INR 11 crores, INR 12 crores annualized savings on the manpower and

manufacturing expenses. So all of those optimization initiatives are in place. While the cogs in business remain high at 91%, we will we expect that the cyclosporin prices will gradually move up, and the European business will start contributing to the gross margins. So while this is broadly positive, and we are positive about how this will pan out, but really saying when we'll be month-on-month positive, I think we are still six, seven months away.
Abdulkader Puranwala: Got it. Got it. And just on the Zambia project. So the supply starts from the next fiscal. And on the P&L, then how do you record this? Would this be a part of your India CDMO business or get under exports, international?
Sahil Maheshwari: So we'll call out when we do the explicit things, Abdul. But how this -- how do I look at it is our marketing business is our own brands. In Zambia, we'll participate in

the government tenders
and the government's essential medicine supply. So those are usually non-branded. So this will

be part of our CDMO. And as the European contract will also come into play, we'll likely have CDMO split by domestic and global.
So that's how we might come up. But for a detailed version of how we split our financials, we'll let you know once we do it. But largely, this will be a part of contract development and manufacturing.
Abdulkader Puranwala: Sure, sure. So I mean, with the start of this project, I think you guys would have almost 12%, 12.5% of market share in Zambia. So, apart from this US$25 million contract, is there any scope to increase this with the government once your plan comes into place?
Sahil Maheshwari: So once the plant comes up in place, then obviously, we'll have a local preference because the local manufacturers will get an upper hand in tender bidding, right? But for the initial two years, which is '26 and '27 calendar years, we would have US$50 million as a cumulative amount, $25 each million.
I don't think there is much scope to go beyond this. But once we launch our facilities, I think over the next three to four years, once we start commercialization, the opportunity is almost $200 million, $250 million of the medicines that this plant can serve. If you even take a 25% share, that still remains a good market opportunity.
Abdulkader Puranwala: Got it. Got it. And just one final one from my end. Sir, any guidance you would like to provide for FY'26 for the CDMO and the overall business on the revenue as well as the margin side?
Sahil Maheshwari: Sure, Abdul. So I'd like to address business by business, and then we can come to a cumulative guidance. I think that will be more useful for you.
So, first, if I talk about -- we mentioned API, right? That is something we discussed. Unosource, as we said, H1 was seasonally weak in major countries in the Philippines, Uganda, and Nigeria, which are our prime markets; we saw a dip in the revenues, largely driven by limited orders. Some had an election year, some had another seasonal variation. But H2, given this is a make-to-order, we don't keep inventory in Unosource.
We manufacture and we ship it. The order book in Q3 remains good, and the order book in Q4 also remains good, right? So we expect this to bounce back in H2. Akumentis will continue its steady growth, as it has shown in H1.
Trade Generics, we expect a similar kind of loss. I think more of it is through provisions that we are taking over the last couple of years, whatever inventory and debtors are there. But we remain resolute that over the end of this year, we will either take a provision or only continue ones which are profit generating, right? So that is there.
Coming to CDMO. I think one thing that we'll have to address is why the CDMO margins fell so sharply, right? So if you really look at it, what went is if you look at the gross margins in this business in FY '25, we had a gross margin of 37.1% in the CDMO business. If I look at just the Q2, where the margins were low, the gross margins are still at 37.6%. So we have improved our gross margins from the last year, right?

The volumes have also gone up. You saw in the presentation, they are up almost 4%, 7% just in the Q2, right? So, honestly, what's in our hands is how to expand my product basket through better gross margin products and through volumes, right? So this is something we are continuously working on and are seeing an improvement.
The challenge remains the API downwards trend that continues, right? So since it's a cost-plus model, we charge a percent on the API and our input costs, right? But then there is a factory overhead, manufacturing batch manufacturing expenses, fixed overheads that we'll have

to
account for. So that is honestly what is leading to these lower EBITDA margins.
But given there are some improvement cost efficiency measures, which are being taken up, there are some pockets of APIs, which we now think are stabilized, and there are continuous investments into the product mix.
I think the rest of -- given that the Q1 was good, the Q2 was underperforming, I think blended rates, I think H2 should largely be similar as H1 as an overall year, given obviously the current market dynamics, while it remains for the Q3 as well, we are seeing a decent volume growth, some pockets, as I said, of APIs have started stabilizing, which looks in control, I think. But once we see the rest of the year, I think the H2 should largely mimic the H1.
Moderator: Next question is from the line of Ankit Minocha from Adezi Ventures.
Ankit Minocha: Just an extension of what you were talking about before this on the very disappointing EBITDA margin for Q2. I mean, if I look at the EBITDA margin, the margin has gone down by 13% to 9%. That's almost like a 30% to 40% drop versus when you talk about API pricing, I think you mentioned earlier that the API pricing was down 8% for the entire market. So to be honest, this correlation does not make full sense. I mean, it does not necessarily seem that it's only because of the API pricing and the cost overhead that this margin is dipping so sharply.
So what is actually -- what are the reasons that are driving this? Also, if you look at your peers, smaller peers with 20% of your market, they are reporting slight margin expansion. So this is very surprising. And I just wanted to understand what the trajectory is also on H2 that you're seeing here, because currently, this number is very disappointing.
Sahil Maheshwari: Certainly. So, as I said, so API prices, so usually in our cost sheet, API prices are 50% of our input transfer prices, right? So if the prices go down by 8%, it's a direct 4% impact on my top line and an equal impact on my EBITDA margins because these are simple erosion. So that is one that is driving it.
The second point, as you also mentioned, is the fixed overheads. If I look at my three recent plants, which got operationalized, right, on an H1 basis, they had an EBITDA impact of almost INR17 crores. These are the plants that are getting approvals from regulatory and getting client audits. We are filing product permission from those facilities, right? So the newer injectable facilities.
So these are ramping up, right? So, essentially, I lose a chunk of my EBITDA percent on operationalization of new expenses, which is a part of the growth that we'll see from these

facilities as we move into further quarters. And as I mentioned, 8% dip is almost 4% hit on our EBITDA margin. So this is what is driving.
If you look at the other costs, if you look at employee expenses, while I said we have commercialized new plants from last year to this year, our employee cost in the CDMO has grown only by 8%, while we have also institutionalized new injectable facilities and also started blocks in the Baddi plant, right?
So, other expenses remain in control. Gross margins, as I said, have improved by 0.5% from 37.1% in FY '25 to 37.6% in just Q2 of it. Q1 was even better at 39%, right? So everything remains positive. I think the hit we are taking is the model itself, which is a cost-plus model, which the whole industry operates in.
Coming to your second question on the impact, which is not visible on other CDMO players. I think it's fair, while we are continuously monitoring our gross margins, which continue to do better than our peers, I think there are cost efficiencies we can build in, in the rest of our expenses, as well as there is investment into R&D and operationalization of new plants that are taking a hit.
Given these will improve as well, as I said,

the product basket should get stabilized with the
downward trend of APIs, we should -- as the H1 margins are approximately 12% so we should have similar margins in the H2.
Ankit Minocha: Okay. Thanks, I have some clarity. My second question was with regard to capacity. So, currently, if I were looking at last time's investor presentation, I believe the capacity utilization that you had kind of mentioned was below sub-40% capacity utilization across the business, whereas even in the last con call, we are talking about more capex. And currently, I believe, like we were just discussing, capex is kind of going through.
I mean, so what is the rationale to continue to build capacity without utilizing all bits of existing capacity? And secondly, what are the efforts not only on the manufacturing end, but also on the front end to kind of increase this capacity utilization? Because this is kind of at this level, I mean, the return on capital for the business will remain super. So, yes, I just wanted to know if you can explain that.
Sahil Maheshwari: Sure. So I'll address it into three parts. One is what maximum capacity utilization can we do,

right? So while you rightly said we do at 40%, I think given the changeovers, the large number of SKUs, the maintenance, preventive maintenance, the overall equipment -- so this is an extra spare capacity that we currently hold. The front-end efforts are largely seen in the volume growth that we do with an expansion in the gross margins as well.
So the efforts are on with better products and better reachability to the clients. I think more penetration. I think most of the clients in the Indian domain, we currently work with over 1,500 customers. So now it's a matter of how we go deeper with each client. So that is a continuous process.

I think the second thing is also on Schedule M and its enforcement. We are very hopeful that this will result in a shift in business to quality-conscious manufacturers. I think this is a spare capacity, which will come in handy once we see that kind of traction growth as well. You would have read some articles around the government asking for monthly reports from states and so on and so forth. So this will come in handy.
So it's a chicken and egg story, which comes first, either the demand or the capacity. While we are mindful of the capex, this is additional capex in the dosage forms. Where we have done capex to your question is we're only doing capex in dosage forms, which either are fully utilized with us or we see we are not present and there is a market growth. So these are largely the kind of capex that we do. On the annual capex we have done, I'll request the CFO to address it.
Sumeet Sood: So, thank you, Sahil. So you have a fair question. We are very mindful of our capex. Most of our capex is going in Akums' R&D and the European contract that we are doing. If you heard the latest announcement on GST in our earlier years, we were looking at setting up a plant in Jammu.
So there was a capex that we were doing, given the legislation change that is on hold. So there is a mindful investment in the capex. It's being future-ready. And also being mindful of the fixed assets that the company needs to maintain.
Ankit Minocha: Okay. And just an extension to that, when you mentioned 55% earlier, so if you will be operating at 55% capacity, would that be peak capacity for you or...
Sahil Maheshwari: 55% is the peak. So we are operating at 40%. So we report our total operational capacity that we can reach, right, of which 55% is the operational capacity broadly. We are currently at 40. So once I hit a number, as explained in the earlier call, we hit a number of, let's say, 50 with any dosage forms, we'll have to start thinking of a new line.
So this varies largely 50%, 55% is what oral solids can do because there are a larger number

of
smaller batches. In injectables and oral liquids, we can go up to 60%, 65% as well. So it depends on dosage form, but given largely in India is an oral solid market, and over 90% of our unit production is oral solids, largely 55% being an estimate, which can produce peak capacity utilization.
So if I have to reverse and flip this question on what maximum revenue can we do from the existing facilities, right? So if I do this set of revenue from a 40% utilization, we can simply do a little math to arrive at what the revenue is that I can do at 55%, which is the peak from the current.
Ankit Minocha: Understood. And on the front-end sales part of it, I mean, could you help us with a little bit of a brief overview of what your sales team looks like currently? And I mean, how much of the sales is driven by management versus the professional sales team, and what's the structure like?
Sahil Maheshwari: Sure. So we follow a KAM-based model, a key account manager-based model, right, wherein we have almost 100-plus people in our sales team. They have dedicated roles across new

business development, business continuation, and support, right? There are technical experts, there are commercial experts in the team, right? So that's the mix of the team.
If we say 1,500 customers across 100-odd-plus people, that is usually every person on an average has a 15, 20 clients, right? And then there are people devoted to new business across new queries. So this is how it looks like.
Spread between management, I think this is largely driven -- this is entirely driven by the sales team, which day in, day out talks to the customers, understands the new product requirements where we can partner with them in the pipeline projects, which are the cost efficiency projects that we have mastered, which we can offer to them.
Are there any opportunities for us in in-house manufacturing? Are there opportunities where

they are facing some delivery or quality issues with other manufacturers, where we can move?
So all of those things are day in, day out, which our sales team does. The entire team is based out of Delhi.

Moderator: Next question is from the line of Aanchal Maheshwari from Naredi Investment.

Aanchal Maheshwari: Yes. So, my first question is, can you give us some details on the large CDMO contract that you have secured? I specifically wanted to know what the targeted therapy was. Can you provide that detail? And where is the manufacturing facility located? And do we only have a contract for a single product? Or is it a portfolio of multiple...?

Sahil Maheshwari: Sure. So I'll quickly tell you this is a European contract, which we have done with one of the largest pharma companies globally. This is a product in the oral liquid segment. This product is currently being manufactured in Europe across three sites, which, for the European supply, we will be the sole supplier, as I said, starting in April of 2027. This is a six-year commercial supply contract. And yes, broadly -- and on your point on product, this is a portfolio across multiple SKUs and packaging types. The base molecule here remains the same.

Aanchal Maheshwari: And so the manufacturing facility, where is that located?

Sahil Maheshwari: In Haridwar, which we did in October, we got the inspection for the European GMP.

Aanchal Maheshwari: Right. And the second question I had is, can you give me some clarification on the quarterly interest charge that we are charging, which is INR20 crores based on the customer advance that we are getting?

Sumeet Sood: So we are charging every quarter a notional interest of INR19 crores, and cumulatively for the six months, it will be INR38 crores. It's because of the advance that we've got for this contract.

Aanchal Maheshwari: And sir, when does this charge go away on our financials?

Sumeet Sood: So I think it will go away fro

m the time we start supplying. And based on our supplies, how many of the advances that get suggested will go away? So any which way, this is a notional entry, right? So there isn't any liability as per the contract, which needs to be paid. So over a

period of time, as we supply because part of the consideration, they will pay us, and the rest will get adjusted from the advance.

Aanchal Maheshwari: Right. And sir, on your cephalosporins API, so how much of our total revenue is dependent on this particular API?

Sahil Maheshwari: So, cephalosporins APIs you're talking about?

Aanchal Maheshwari: Yes, yes.

Sahil Maheshwari: So, cephalosporins APIs largely we today do 90% in India and 10% exports. These are exports to Asian markets only. Cephalosporins is almost 80% of our business and 20-odd percent is in the last fiscal, we did from the general APIs, right?

Moderator: Next question is from the line of Jay Modi from EIML.

Jay Modi: Sahil, my question was we've taken multiple efforts to boost the growth, right, for our business. It was the European contract, the Zambia contract, and our expansion in ROW. Now, when do you think our company will turn the corner and we'll start getting back on the growth path?

Sahil Maheshwari: So, can you please repeat, Jay?

Jay Modi: Sure, sure. So what I was saying is that we've taken multiple efforts to boost the growth, right, because of the API impact in our core CDMO business. Now, in your opinion, when do you think that the company is going to turn the corner and enter the growth phase?

Sahil Maheshwari: So, as you said, each contract has a timeline, right? So if we really look at it, in 2026, we'll start seeing an additional INR2 00-odd crores from the Zambian supplies from India. Like '27, we'll have both the Zambian contract as well as the European initial supply, which we envisage should approximately be INR300-plus crores for the annual revenue. So then we go into 2029, maybe starting January, we'll have, let's say, $40 million, $50 million coming from the Zambian facility itself once it gets fully operationalized. So these are at different levers of point, but they'll start firing from the next year itself.

Also, in Europe, as we said, there are a couple of other products in the pipeline for next year. So all of those things should start coming in as we move ahead. And while this is all as additional growth drivers, which were there, I'm also confident the domestic business will grow in 2026, driven by stricter enforcement, better volume growth, product pipeline being strong, API prices not degrowing, right? So all of those things in our core business will also do well.

Jay Modi: But see, on the domestic front, now we've had a couple of incidents also, right, the syrup incident and then the regulation getting tighter, etcetera. Have we started seeing any tailwinds on that front? Are we seeing more outsourcing from our partners on this front?

Sahil Maheshwari: Cough syrup, if I speak just the syrup, we have seen obviously a surge in the demand for the cough syrup. So that is there. Obviously, what we call is alternate vendor development, AVDs. So that has started increasing with us. There are more customers who have started reaching out.

There have been signs that people are willing to take a larger MOQs from us. So there have been obviously positive signs around all of those things. And maybe that's the result why -- of which we outperformed the market in Q1, we outperformed the market in volume in Q2 and Q3 also looks superiorly strong, right? So partly would also be led by all of those happenings that took place.
Jay Modi: Okay. And sir, given the current situation in API pricing, right, the continuous decline in pricing. So, have we started negotiating a better markup with

our clients, or is that not something that gets passed on very easily?
Sahil Maheshwari: So that is something we do every two to three years, Jay, right? But specifically for this, because this is -- these are cycles of the business, if you understand it. So when the API prices go up, then also usually the margins remain at similar levels. When they are stable, then also when they are lower.
So while we track it on a per-sheet basis, if something is excessively low, we ask for that specific product. But in general, moving up the margins usually takes longer. And that's a work in progress, right? And it is every year, I have 10 clients in this quarter, 10 clients in the next quarter. So that is a work in progress. But specifically, I take a 15% margin, and I move up to 20% for the time being. Usually, that does not happen.
Jay Modi: Okay. Understood. And the last question was on the European contract. So, along with this contract, have we seen traction with other clients? Are we in discussion with other clients to shift their manufacturing to India or expand the portfolio of products that our existing client has given us...?
Sahil Maheshwari: So the 10-plus dossiers that the MD sir initially talked about, all of these were fully thought through in consultation with the global players. So either we'll manufacture, or we'll provide R&D services, or license, out-license these. So all of these, we also had a very good presence in the CPHI Global in Germany recently.
So there we got some good, encouraging leads as well. So all of this is coming through, right, from Nordics, from Western Europe, from Eastern Europe. So we have good leads, I would say, at the current stage across multiple geographies.
Jay Modi: Okay. Anything to -- okay. And what is our capex plan for this year?
Sumeet Sood: So we -- as I mentioned earlier, that we are very mindful of our capex. Till now, for the first six months, our capex is close to INR107 crores. We would probably, depending on the future requirement, foresee just a similar or slightly lower capex in the next six months.
Jay Modi: Okay. Okay. So around INR150 crores, is it, sir?
Sumeet Sood: No. I said INR107 crores for the next six months, we could look at INR100 crores, INR125-odd crores more for the next six months.

Jay Modi: Okay. Got it. Understood. And lastly, what is the plan for the cash on the books? So are we actively looking at any inorganic acquisitions?
Sahil Maheshwari: Yes, Jay. So we are continuously looking at -- obviously, one thing that we keep is that it should be a profit-making business with decent margins acquired at a decent value, right? So this is what our hook remains.
The areas that we focus on are two: one, either it should give me a dosage form capability or it should give me an export market capability. So across both of the themes, we are looking at some. There is nothing very close which we would have it, but there are things in the pipeline which we are actively working with bankers.
Moderator: Next question is from the line of Pankaj Agrawal, Individual Investor.
Pankaj Agrawal: My question is with respect to not the current quarter, but traditionally, our margin has not been so strong, whereas some of the other companies in this specific quarter, where we are seeing that API prices were down, for example, or granules, they have performed much better in their margin performance compared to what Akums has been doing. So, is it because of our traditional diversified business size or capacity utilization compared to other companies that have a more concentrated portfolio?
Sahil Maheshwari: So, if I look at it, there are two ways to look. So I think you mentioned granules. So there are a couple of companies that arbitrage the Indian presence when the prices are falling with the global businesses. So this is something we are also tr

ying to see, that while we have attained leadership in the Indian domain, can we replicate across a few markets globally? And it also hedges us against anything that happens in one market. So that is there.

On the second front, both on the -- as I mentioned, the new facilities which are coming up, have some investment in EBITDA in this H1, and also capacity utilizations that we continue to improve. So we are working on gross margins. We are working on volumes. So we are also working on cost efficiencies, which we can build across functions and across production, right? So, all of this, we are mindful that there are some margin improvement areas we can honestly further work on as we continue to be a more agile organization. So this is what we are continuously improving on.

Pankaj Agrawal: Okay. And second thing, with respect to this European business, we are saying that the supply will commence from 2027. And we are talking of several other participants who also talked about the capex, etc. So do we think that our future cash flow coming from domestic business would still not be sufficient to compensate for the capex loss or interest loss for capacity development for that European supply?

Sumeet Sood: No. I think our positive cash flows from operations and continued business performance. So, we should have internal, if you look at our annual EBITDA -- we do not have any interest expenses. We'll have a healthy free cash flow. Our cash flow should be good to maintain our capex.

And if you look at our treasury, it is only growing. So we will be able to manage the domestic. And if there is a need to expand European approvals to our plants, it will be done through our internal cash flows.

Pankaj Agrawal: Understood. And my last submission is that if I look from three years to four years point of view, I don't see any major issue with A and the commentary of management with respect to the future business growth and even the current contract what we have won, it all looks promising. However, we have not been able to command a respectable valuation even after such a commentary. So do we need to do a better job in terms of building investor confidence to raise more investor awareness, or some sort of incentivization? I don't know, there could be multiple ways of enhancing the awareness of our commentary for better valuation.

Sahil Maheshwari: So honestly, we -- as you rightly said, we obviously can improve on all fronts, right? So while we make an effort to rightly communicate our story, our growth levers have not really performed well with other growth levers. I think -- and we continue to participate across multiple investment forums. If required, we'll again participate. We think from a point of both institutional as well as minority investments, and we are mindful that we have a cash surplus, inorganic dividends, everything is in thoughts. So we'll do it when the time comes.

Pankaj Agrawal: Okay. And last thing, as a duty for being a retail investor, the regulatory front for this year has been dampening in terms of negative news. So if the company could avoid the kind of regulatory hurdles, probably this would improve the sentiment for remaining invested for the long term.

Sahil Maheshwari: Sure. We'll take that into notice.

Moderator: As there are no further questions, I'll now hand the conference over to the management for closing comments.

Ankit Jain: Thank you, everyone, for joining the call. We conclude the call at this point.

Moderator: Thank you very much. On behalf of Ambit Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2026

Ref: Akums/Exchange/2025-26/85 February 19, 2026
To,
The Listing Department
National Stock Exchange of India Ltd
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex,
Bandra (E),Mumbai – 400 051

Symbol: AKUMS To,
The Listing Department
BSE Limited
Rotunda Building, Phiroze Jeejeebhoy
Towers, Dalal Street, Fort, Mumbai –
400 001

Scrip Code: 544222

Sub: Transcript of Earnings/Analysts Conference Call held for Un-audited financial results for Q3 of FY26

Respected Sir/Madam,
Pursuant to the Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) 2015, please find enclosed herewith the transcript of earnings/analyst conference call held on Monday, February 16, 2026 at 12:00 PM (IST) on Un-audited financial results for Q3 of FY26.
The said transcript be also available on the Company's website https://www.akums.in/investors/investors-meet/ .
This is for your kind information and record.
Thanking You
For Akums Drugs and Pharmaceuticals Limited

Dharamvir Malik
Company Secretary & Compliance Officer

Encl: as above

"Akums Drugs & Pharmaceuticals Limited
3QFY26 Earnings Conference Call "
February 16, 202 6

MANAGEMENT : MR. SANJEEV JAIN – MANAGING DIRECTOR – AKUMS DRUGS & PHARMACEUTICALS LIMITED
MR. SANDEEP JAIN – MANAGING DIRECTOR – AKUMS DRUGS & PHARMACEUTICALS LIMITED
MR. SUMEET SOOD – CHIEF FINANCIAL OFFICER – AKUMS DRUGS & PHARMACEUTICALS LIMITED
MR. SAHIL MAHESHWARI – HEAD, STRATEGY – AKUMS DRUGS & PHARMACEUTICALS LIMITED
MR. ANKIT JAIN – INVESTOR RELATIONS – AKUMS DRUGS & PHARMACEUTICALS LIMITED

MODERATOR : MR. GAURAV TINANI – AMBIT CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to the 3QFY26 Earnings Conference Call of Akums Drugs and Pharmaceuticals Limited hosted by Ambit Capital.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the confere nce call, please signal an operator by pressing star then zero on a touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Gaurav Tinani from AMBIT Capital. Thank you, and over to you, Gaurav.
Gaurav Ti nani: Thank you, Michelle. Good day, everyone. On behalf of AMBIT Capital, I would like to welcome you all to the 3QFY26 earnings call for Akums Drugs and Pharmaceuticals Limited.
I now hand over the call to Mr. Ankit Jain to introduce the Akums' manageme nt. Thank you, and over to you, Ankit.
Ankit Jain: Thank you, Gaurav, for the introduction. Good afternoon, everyone. Welcome to Akums Q3 and 9MFY26 earnings call. I am Ankit Jain, Head of Investor Relations at Akums Drugs and Pharmaceuticals Limited. On today's call, we are joined by Mr. Sanjeev Jain, Managing Director; Mr. Sandeep Jain, Managing Director; Mr. Sumeet Sood, Chief Financial Officer; and Mr. Sahil Maheshwari, who is the Head of our Strategy.
I will commence with our standard disclaimer, that any discussion on today's call might include certain forward -looking statements, which are predictions or projections of future events. Our business faces several risks and uncertainties that could cause our actual results to differ materially from wh at is expressed or implied in such statements. At Akums, we do not undertake any obligation to publicly update any forward -looking statements, whether as a result of new confirmation, future events, or otherwise.
Having said that, I hope you have had the opportunity to review our investor presentation and financial results that we posted on Friday evening. I would now like to hand over to our Managing Director, Mr. Sandeep Jain, to discuss our performance. Thank you.
Sandeep Jain: Namaskar , everyone . Thank you, Mr. Ankit. And once again, appreciate everyone for taking time out to join us, for our Q3 and 9 months FY '26 earnings call. Q3 FY '26 was a strong quarter for Akums. Our healthy operating performance was characterized by strong execution across multiple key segments. CDMO registered a healthy top -line growth of more than 16%, driven by strong volumes.
The international branded formulation business saw significant improvement , led by demand recovery across key markets. Domestic branded formulation co ntinued its steady trajectory, aided by portfolio expansion, improved field coverage, and sustained momentum in core therapy areas.
The quarter also saw benefit of operating leverage playing out in the CDMO business, with improved capacity utilization as w ell as steady ramp -up of newer facility.

While API pricing stayed under pressure, stabilizing in select molecules and disciplined cost management has helped mitigate impact on the CDMO margins. We continue to work towards reducing losses in the trade , gen eric, and API segments by way of portfolio rationalization and tighter control over overheads. Our European CDMO project is progressing as per our stated plan.
We successfully advanced on the regulatory and execution milestones . Following the receipt of EU GMP accreditation for our oral liquids facility Plant number 2 and are on track to start supplies in FY '28. Our oral solid facility Plant 1 also received renewal of EU GMP certification, showcasing our continued commitment towards global quality manufac turing. Supply of finished oral formulation from P

lant 1 to Europe has already been commenced this fiscal. The
Zambia project also remains on track, with commercial supplies from the Indian plants expected in H1 of FY '27. These developments further showca se our progress towards establishing Akums as a global pharmaceutical company.
During Q3 FY '26, the API business remained under pressure, with pricing softness persistence across key molecules. However, the pace of decline moderated , and ongoing portfoli o rationalization and cost optimization initiatives helped contain losses and improve sequential performance.
Building a future -ready organization through automation is key focus for us. We have recently initiated our SAP S/4HANA transformation, which will enable improved efficiency, automation , and real -time analytics across multiple functions within the organization. Similarly, we have implemented Darwinbox to improve our employee experience and automate the HR functions. These initiatives across vari ous functions throughout this group will enable us to prepare for the future.

While we continue to operate in a volatile business environment, marked by disruptions, we, as Akums, remain focused on our long -term growth drivers that include innovation, ope rational efficiency, cost control , and strategic partnerships. We reiterate our commitment to creating long-term value for our shareholders. Thank you for your continued trust and support.

I shall now request our CFO, Mr. Sumeet Sood to continue the discu ssion with the finances. Mr. Sumeet Sood.

Sumeet Sood: Thank you, Sandeep, sir. Good afternoon, everyone. I will take you through the financial highlights for the quarter ended 31st December 2025. Our operating revenue stood at INR1,160 crores, an increase of 14.8% year -on-year. The Q3 FY '25 revenue stood at INR1,010 crores, and increasing 14% quarter -on-quarter, which was INR1,018 crores.

The total operating EBITDA for the quarter was healthy at INR147 crores, an increase of 21% year-on-year, and increas ing 55.4% quarter -on-quarter. Margins were at 12.7%, improving 65 basis points year -on-year, and increasing 338 basis points quarter -on-quarter, driven by improved profitability across segments. EBITDA with other income stood at INR181 crores, increasing s ignificantly by 33% year -on-year.

Q3 FY '25 was INR136 crores . Increasing 42.8% quarter -on-quarter , Q2 FY '26 was INR127 crores. EBITDA margins were at 15.2%, increasing 191 basis points year -on-year and increasing 309 basis points quarter -on-quarter. Profit after tax stood at INR68 crores, an increase of 2.1%, and in Q3 FY '25, it was INR66 crores, and increased 58.5% q uarter -on-quarter , Q2 FY '26 was INR43 crores. As you're all aware, there was a labo ur code impact which came into the financials. The one -time impact of INR18.2 crores has been included in, as an exceptional item for the past period, and for the current p eriod, 9 months, it is INR2.27 crores.

If we look at the five segments that we break down our financials in the CDMO, the branded formulation, exports, trade, generic, and API.

So if we look at the CDMO business, the revenue stood at INR916 crores, an increase of 16.3% year-on-year, it stood at INR787 crores for the quarter FY '25, and an increase of 13.8% quarter -on-quarter , during quarter 2, FY '26, it was INR804 crores. Revenue growth was driven by double -digit volume growth. However, decline in API prices continued in this quarter as well.

On a quarter -on-quarter basis, API prices seem to be stabilizing. EBITDA for the quarter was INR126 crores for the CDMO business, an increase of 3.7% year -on-year, and an increase of 49.2% quarter -on-quarter , it stood at INR84 crores in Q2 FY '26.

If we go to the domestic branded formulation business, the revenue stood at INR115 crores, an increase of 4.2% year -on-year and a decre

ase of 5.8% quarter -on-quarter. EBITDA for the quarter stood at INR25 crores, an increase of 25.1% year -on-year, and a decrease of 3.5% quarter -on-quarter.

International branded formulation revenue stood at INR50 crores, an increase of 18% year -on-year, and an increase of more than 120% quarter -on-quarter. EBITDA for the quarter stood at INR12.9 crores, an increase of 65.9% year -on-year and an increase of 135% quarter -on-quarter.

For the API business, revenue stood at INR54 crores, an increase of 35.4% year -on-year and an increase of 22% quarter -on-quarter. EBITDA for the quarter was negative INR7 crores as cepha prices continued to trend lower. However, the losses were also curtailed from INR11 crores in the period Q3 of FY '25, as well as for Q2 FY '26 were INR14 crores. So the losses have been brought down due to continued efforts to ward cost reduction and portfolio rationalization.

Trade generics revenue stood at INR25 crores, a decrease of 18% year -on-year, and an increase of 1.7% quarter -on-quarter. The EBITDA for the quarter was minus 3 crores, similar to the Q2 FY '26 quarter, and sig nificantly lower than Q3 FY '25, which stood at minus INR8 crores. We continue to have a very strong cash surplus of INR1,573 crores. The cash flow from operations stood at INR1,109.5 crores, and the free cash flow for the group was INR944.5 crores .

This, from our side, concludes the financial highlight for the quarter. I would request the moderator to open the forum for question and answer session. Thank you.

Moderator: Thank you very much. The first question is from the line of Abdulkader Puranwala from ICICI Securities. Please go ahead.

Abdulkader Puranwala: My first question is pertaining to your CDMO growth, especially on the volume front, this quarter. So, could you help us understand, you know, this a little better?

Sahil Maheshwari: So Abdul, you are try ing to ask where the volume growth has come from? Hi, this is Sahil.

Abdulkader Puranwala: Yes, sir.
Sahil Maheshwari: So, Abdul, so this was broad -based, right? So existing customers, whether through existing brands, new brands, existing channels, so, acr oss therapies. So while we try to dig deeper, but, this kind of volume growth, Abdul, has to come from a base itself, right? We also could see that this came at a similar gross margin profile. So roughly 37% plus was the gross margin profile for the CDMO b usiness, which is also better than 36.6%, which was for last Q3, right? So a healthy volume growth driven by improved gross margins compared to last Q3. So this was a broad -based recovery, I think, for the overall market, only.
Abdulkader Puranwala: Okay. We were trying to just understand this a little better. So this, CDMO does not include any revenues from your milestone income or any licensing fee or anything like that. There's no one - off in those numbers?
Sahil Maheshwari: No, no. So Abdul, so since we have not started the exports business for the European contract as of now, so this is all manufacturing income.
Abdulkader Puranwala: Got it. Got it. And just one more on the domestic branded generics. So, you know, this particular segment has been growing at the single -digit kind of a growth rate, but the margins have improved. So just to, you know, wanted to understand, you know, how are we trying to work on this? I mean, is margin a better focus here rather than top -line growth?
Sahil Maheshwari: So Abdu l, so this is in line with what our overall strategy for the fiscal had been, right? So top - line growth was not a key driver for us. It was how do we improve our profitability in this business, right? So a better control over overheads, rationalization of the debtors or inventory where we could potentially lose money. So all of those things have played out well for us this time. And hence, whi

le we still make a loss in this segment, the loss is not as stark as it used to be last Q3.
Abdulkader Puranwala: Got it. Just on the EU supplies, so when you're talking about, you know, oral solid formulations, so how big is this opportunity? Is this also a part of your CDMO business only when you're recording revenues here?
Sahil Maheshwari: So I'll go top down. So ye s, so since we are manufacturing a brand owned by someone else, so it will be classified under CDMO, right? Then secondly, how big is the opportunity? So, as the discussions with the customer, so this will largel y be EUR 35 million annually for us. And, as was stated in the initial commentary, we have already received our approval for our Plant 2, from which we'll be supplying this to Europe. Now, the process of filing and registering the product across multiple European countries will begin, and subsequentl y, in the next financial year, we should start the commercial supplies.

Abdulkader Puranwala: Okay. Okay. And, so just last one on the cash part. So sitting on cash accounts for some time. So any thoughts around that? How are you going to deploy this?
Sahi l Maheshwari: So, Abdul, rightly, so we are actively evaluating multiple things which will complement our existing business, right, there are a few discussions, but nothing as of now is binding in nature. So while we are evaluating, the idea is to remain c ognizant of what we are buying, at what price we are buying, and whether or not it will be incremental to our current business. So that remains a key filter.
Moderator: We'll take the next question from the line of Vivek Agrawal from Citi group.
Vivek Agraw al: Just trying to understand the CDMO volumes a bit better. So is it a kind of a, one -off kind of situation, or how sustainable, actually, if you can help us understand the current performance, as far as the volume growth is concerned, can it sustain the next few quarters, few years as well?
Sahil Maheshwari: Sure. So I'll probably address in two parts, Vivek, thanks for the question. First of all, the CDMO is a make -to-order, right? So we cannot stock, destock quarterly, right? So it's a make to order, so it's market -driven. Secondly, on sustenance, since we are already have a visibility of Q4, in Q4 as well, we see a double -digit volume growth. So this, as of now, looks sustainable in the near term, at least.
Vivek Agrawal: Understood. So what has suddenl y changed, right, through the last, I think three, four quarters, or maybe I think more than that, we have consistently seeing issues in the volume, right? Not just at the company level, but at the industry level.....
Moderator: I'm sorry to interrupt you. Mr. Agrawal, can you kindly use your handset, your audio is not that clear, sir.
Vivek Agrawal: Okay, sorry. So just trying again. So if you look at last 1 to 2 years, right? So the volumes across the industry as well as for the company, right, so it was under problem, some challenges were also there. So what has changed in this particular quarter, if you can highlight?
Sahil Maheshwari: So, while I won't be able to comment on what the recorded data looks like, right? So they largely cover branded. There's a portion of the market which is not covered, but what we manufacture is ultimately getting stocked up, and then the results show up in that market analysis, right? So

what has changed, I think there are two things which we can think throug h have a positi ve impact on us.
First and foremost, is there might be some play off enforced regulations being stricter, right? So that is one. The second. The second is also the play across generic side. So, right. So that is also a channel which is growing, and it is growing well for us. So that is there. But having said that, the branded business also saw good volume growth, so it's an overall

volume growth across all
therapeutic areas, largely all channels of distribution.
Vivek Agrawal: Understood. But if you look a t the margins, right, although you have seen sequential improvement in the CDMO business, but it is still below Y -o-Y, right? Close to around 170, 180 basis points. So how you see the margin trajectory going forward, maybe next 3, 4 quarters?

Sahil Maheshw ari: So, so if you look at it, Vivek, so the gross margins, we have been able to have a good gross margin profile. We were largely at 36 odd percent, we have moved 37.345%. So that has been the track rate, right? So, the below expenses, we, as Sumeetji men tioned, there was one -off INR2-odd crores in the employee expenses, but beyond that as well, we continue to invest in technological upgrades, which was also mentioned in an initial commentary, and also continue to invest in our R&D, which boils down to our margin profile. Right.
Having said that, as of now, these current level of margins are ones which looks predictable in the near term, while the aspiration is how we can further enhance these margin profile. But at least, looking at this, this is what we think would be a right margin profile for this segment.
Vivek Agrawal: Understood. One question on API business. So, how the business is shaping up, right, over the next 1 to 2 years, although the losses have come down in this particular quarter. So is it like that, have you added more customers, products? How the things are moving towards additional regulatory approvals, et cetera? If you can just simple help us understand how to look at the trajectory of this particular business.
Sahil Maheshwari: So, so the API business was struggling because largely it was dependent on cephalosporins, which had extensive price erosion of over 30%, right? So last year we had almost a 90% plus COGS in this business, right? So that COGS today has come down slightly. At Q3, we were at roughly 87% COGS, right? So this is where we are focusing more on other products apart from cephalosporins, right? Within cephalosporins, the idea is how we can only focus on products which make business case for us.
Secondly, we also expect th at in the coming quarter, we should sometime go for European audit as well, and start supplying the CPs that we announced in the last quarters. A couple of CPs have already been filed. Then, moving to the regulated market play within cephalosporins will gi ve us a better margin, and focusing on non -cepha products will also enhance our bottom line. So the focus is, how can we reduce our overhead, improve our gross margins, either through different portfolio or through different geographies? So that's how we l ook at the API business.
Moderator: The next question is from the line of Madhav Marda from FIL.
Madhav Marda: My question was on the Zambia contract and the EU CDMO contract. Could you give an update on the timelines, when we expect the business to start ramping up , and what the revenue and margin outlook could be in the next couple of years?
Sahil Maheshwari: Sure, Madhav. So I'll take Zambia first. So Zambia, we expect, as we mentioned in our initial commentary, in H1, we should expect the supplies of $2 5 million, which was a part of the contract, which will happen from the Indian company to the Zambia. Right. In parallel, we are actively doing the project planning for it, and we'll soon start the erection of the facility, along with the commissioning, wh ich will take roughly two years from now, right?
So '26, we'll have $25 million of revenue in the calendar year '26 coming in, and then similarly, in calendar year '27 as well, we'll have $25 million of revenue coming in the CDMO. Sometime in calendar yea r '28, we should start with the supplies from the Zambia facility only to Zambia, and then further explore what all we can do

with that in the other neighboring nations. So that is

it. Margin profile, so this will be similar to our -- largely similar to ou r existing CDMO business for the current two years. And then we'll see how the margin profile plays out when we start doing it from Zambia.
On the European contract, as you said, we have, in January, received the EU GMP audit of Plant

2, which was success fully inspected in October of 2025. We'll now start with the regulatory filings and country registrations, which might take a year or so. Once it is there, the clients will start placing us the order, and then we'll start the commercial supplies. As we sai d, this will also be slightly better than the existing 13% CDMO margins, but will remain in the teens only.
Madhav Marda: Okay. What is the annual revenue size ? Could you just remind us about the EU CDMO contract?
Sahil Maheshwari: Sure. So, once we start commercializing, the annual run rate for the orders will be in the tune of EUR 35 million, and the contract is till December of 2032.
Moderator: The next question is from the line of Ikshit Naredi from Naredi Investments.
Ikshit Naredi: My first question i s, can you please elaborate on market -wide performance in international branded segment? I recall we had a disruption in some markets. How have they recovered?
Sahil Maheshwari: So, thanks for the question. So if you see, we have almost doubled our revenue from Q2, right? So the markets have performed well. Most of the important markets, which were of focus to us, have done well. If you even look at the gross margins, something in this business, we were operating at a 25% gross margins, which we, we have ex panded to 35 -odd percent in this quarter, right? So the recovery has come both in terms of margins as well as in terms of top line to us. And the recovery looks stable as of now, so in Q4 as well, we expect a decent performance from this segment.
Ikshit Na redi: Okay. Okay. And, my second question is, how will we benefit from the European FDFs, that this is the next leg of growth for the CDMO business?
Sahil Maheshwari: While it is too soon to comment, but as we said, for past two, three years, Europe is one market which outside of India is a focus for us, right? So all these positive regulations and efforts which the Government of India has undertaken will certainly help us and the Indian community as a whole, to do business in Europe.
Ikshit Naredi: Okay. M y next question is, what are the margins for Zambia contract currently? How will they change once the plant is set up in Zambia?
Sahil Maheshwari: So, as we said, this will remain in teens, so largely 15 -, 17-odd percent is what we expect. So since this is also a government procurement, right, so these are not the branded margins you expect, but this will certainly be a couple of margin points above our CDMO business. Once we start doing it from the Zambian plant only, there might be some efficiencies in lo gistics, procurement, and cost reductions, so that might give us a couple of percent points better EBITDA. So this is how we look at it.

Ikshit Naredi: Okay. Okay, and, my last question is, any updates on the trade generics business wind up? And for API bu siness, how long will it take to turn around? And also, is there any guidance you would like to give for FY '26 and FY '27?
Sahil Maheshwari: Three questions. First, trade generics. Trade generics, as of now, as you see, this is recovering, right? While the process is on, how do we rationalize and minimize the operations? We still see, maybe Q4, we might have some hit on the bottom line, but much of the pain is a thing of past. On APIs, we are still doing what we can do, right? I do not have a timeline i n mind of when this will tur

n positive on a monthly basis, but I can assure you that the management actions are in the right direction to bring it a breakeven -- at a breakeven by the efforts I've just mentioned in the earlier question.
On the guidance fo r the year, I think, as you said, quarter 4, we continue to see a good volume traction to us. The exports, the Akumentis and other businesses, all look in good shape, right? So, this is what I can summarize, and then once we are through with quarter 4, we' ll be able to better guide on the next year.
Ikshit Naredi: Okay. Okay. Thank you. Thank you, sir.
Sahil Maheshwari: And, yes, the growth drivers for the next year are already in place , which were initially not just the domestic, but also the Zambian and o ther contracts. So, that's how we look at the business.
Moderator: The next question is from the line of Sangeeta P. from Cogito.
Sangeeta P.: So, firstly, congratulations on a good quarterly performance. I just wanted to delve a little deeper into the reasons for your volume growth in the CDMO business. You've mentioned in the presentation that the market growth was about 1.5%, but your volume growth has been significantly hi gher, which means that you've probably gained a lot of market share.
Is there any -- you know, if you could give some color to, are there any forces acting on the industry which are, you know, for players like you, which are, you know, leading to a market share gain? Or what really lies behind it, or is it just something specific to you and your customer relationships? Just a little bit more color on that?
My second question was that you also mentioned in your preamble that you would like to take the compa ny and make it an international CDMO player. Now, what we see is that one large market, which is the U.S., is not at the moment in your portfolio. So at some stage, do you have

plans to also extend the CDMO business to U.S. players, and how are you really thinking about it? If you could answer these two, please?
Sahil Maheshwari: Sure, Sangeeta. Thanks for your questions. On the first, on volumes, as we were discussing earlier, this has been a broad, volume growth, which we saw across client base, across th erapy areas. So while the market volume grew at roughly one odd percent, which you rightly mentioned, this is a historic growth, I think.

One is we manufacture and then give it to the marketing company, so we might see an uptick. That can be one. Or secon dly, while we don't exactly know the causes, to be honest, what drove it, it could be a higher confidence for other brands as well, that our existing partners have shown in us. So this is a portfolio play. Right, we have been able to tick on most of the ke y things. This is what the business is across multiple product lines, across dosage forms, across therapeutic areas, across multiple clients, over 1,500, right? So this is the strength of Akums, and this is where we stood, right? And as we said, quarter 4 also looks good in terms of the volume traction. So that is one, not just across branded pharma, but across the trade pharma, across non -pharma, like nutra and cosmetics and other channels, right? So we have been able to do and generate volumes across all of these fronts. So that is on volumes.
On the U.S., specifically, so as we said, our immediate focus in regulated markets is Europe. I think this is a journey. We are still a two-decade -old company, right? As we go and set out our foot outside India int o regulated markets, we wish to first tap the opportunity which is there in Europe. We are not saying we'll not be in U.S. or don't know when the right time will come as of now, but we are positive that one day we would have operations in U.S. But as of no w, the focus is Europe.
Sangeeta P.: Okay. If I can squeeze in one more question. My understanding is

that the way your pricing
works with your clients is, that your markup is on a percentage basis, which means that, like in the past, when the API prices have declined, the absolute amount of, say, EBITDA or gross margin, whatever you earn, actually comes down, and the reverse will happen if your API prices to rise. Is that -- is this formula a cast in stone, or is that, you know, something that you would look to revise where maybe you make a certain amount of absolute profit per volume? Also, does the same formula apply for your European partners also?
Sahil Maheshwari: Sure. So, on the first -- so there's nothing cast in stone, but that's how the industry works. Not just us, but our, peers and the other, people in this industry. So it is usually how we—the model has been set out in the industry —is a percent of the costs to us. And whether the API prices come or down, this usually remains intact, that, the percent. the percent might differ by the complexity of the product, right? So for a complex product, I might charge a percent higher than a simple product , where my margin, on the input cost, might be lower, but it always remains as a percent of my input c osts. That is one. What was the second question?
Sangeeta P.: Does this apply to your European partners also?
Sahil Maheshwari: So, Europe....
Sangeeta P.: Is that how you're pricing it with them?
Sahil Maheshwari: Sure, sorry. Yes. So for the Europe, it's a fixed pricing, which we have currently agreed for this particular contract. As we move ahead, we get more experience and expertise, it might change, but for the current one, it is a fixed pricing contract.
Moderator: The next question is from the line o f Axay Shah from VVD Asset Managers.

Axay Shah: Sir, on page number 12, we have mentioned that due to product mix change, our revenue has decreased by INR49 crores. So , can you explain it? What was the reason for it, and is it structural or one -off?
Sahil Maheshwari: So I think, this is just a better way of we wanted to showcase our growth into various key lever heads, right? So, as we said, our gross margins compared to last year have largely improved, right? If you look at it, the adjusted EBITDA has a 1. 1% improvement of the gross margins itself. Honestly, it's a make to order, what we do. So if we track the last 4 quarters, we have been able to, be in the range of 37 -odd percent gross margins in our CDMO business. So this might fluctuate here and there i n terms of quarterly performance, but, nothing as a downward trajectory we expect.
Axay Shah: Okay. So, sir, I wanted to understand that we are going from base formulation businesses to niche formulation business. So our product mix should change upwards a nd our revenue should

grow from product mix change and not decline. So this quarter it has declined, so that's why I was asking the question.
Sahil Maheshwari: Rightly so, as I said, so, this all depends on, if you really look at it, the 9 months, it has l argely remained stable. If you flip to the next slide, the impact of product mix is not there. So, this is a business, right? So you have to look in larger periods to really ascertain where the product mix is changing. Because as we continue to invest in R &D, then we launch the product, then it's ultimately a prescription product for the marketing company. They go and sell, then the repeat business comes, right? So, it's best if we look at on a longer horizon, and as you could see, it has no impact on our, EBITDA.
Axay Shah: And, sir, on Schedule M implementation, as we know that, the due date for implementation was December 31. So how are we seeing it on ground? Has the government become more enforcing in terms of regulation and small players are becoming u nviable for them and they are closing down? Any thoughts of you on ground situation on th

at?
Sahil Maheshwari: No comment. As this is government method, it is not appropriate to comment on it.
Moderator: The next question is from the line of Ashutosh Parashar from MIT.
Vipin Goel: Vipin Goel from Mirabilis Investments. I had a couple of questions on.....
Moderator: I'm sorry to interrupt you. Your voice is not clear, sir.
Vipin Goel: Yes. Am I audible now?
Moderator: Yes. May I request you to please repeat, I mean, introduce yourself.
Vipin Goel: So, Vipin Goel from Mirabilis Investments. I had a couple of questions on the injectables facility. So one on injectables and the other one on the minimum import pric e, which was recently announced?
So the f irst one on the injectables facility. So this was commercialized in phases, as per my understanding, in Q4 -- Q2 last year was the first phase, and then lyophilized vials were

commercialized in Q3 and then further PFS in Q4. So can you help us quantify the , like, first, the current utilization across all these lines? And second, on the revenue contrib ution so far from this facility?
Sahil Maheshwari: So, the utilization, as you rightly said, this has been in phases. We are still ramping up, right? We are do ing the client audit. The utilization is relatively low. It is in teens as of now, right? And the utilization and the revenue contribution to the overall CDMO P&L is minimal. But what we expect is as we proceed in the next financial year over Q2, Q3, this should start ramping up well and should contribute to our overall injectable CDMO business.
Vipin Goel: Okay. What would be the profitability here? And like, as per, I think, last quarter, there was some, we were, I think, doing some INR17 crores or so los ses. So , how far is it from breakeven and/or some current profitability?
Sumeet Sood: So for the 9 months -- hi, this is Sumeet. For the 9 months, Sahil was explaining that the business has not been as much because it's to still peak out. So there on an EB ITDA level, you know, we have a INR17.9 crores loss in the AHL overall business, right? So once we have the revenue, you know, triggering, this should, this should turn around.
Vipin Goel: So does that mean, has it broke -- has it breakeven? Because until last quarter, it was INR17 crores loss in the first half. And if it's the same in 9 months, then sure, correct?
Ankit Jain: This is Ankit here. So till H1, there were three plants that we had mentioned. But Sumeet, sir, has stated this for two plants.
Vipin Goel: Okay. Got it. Okay, and the next one was on this, on the government had recently moved Pen G and 6 -APA from restricted list to [inaudible 0:42:34] restricted list and implemented a MIP on those. So these are, I believe, are upstream products fo r the ceftriaxone. So how do you see this influencing our API business in terms of maybe pricing or volumes or margins?
Sahil Maheshwari: So, essentially, MIP, this is an industry -wide, phenomena, right? So any movement in the prices will apply to all, whe ther it is up to our CDMO business, API business, or to any of our peers or partners or competitors, right? So this will ultimately be absorbed and passed on as per the various cases, and we don't see MIP really impacting any of our business units.
Vipin G oel: Okay. This will have a positive impact, right? So because prices, the specific price, the MIP is higher than the current prevailing price. So any idea on like, what percentage of positive impact can be expected on API -- on the API business , or let's say the CDMO business, where we have an antibiotic situation?
Sahil Maheshwari: CDMO is a larger piece, right? So API is low. But within CDMO as well, if you, as you know that we have limited dependence on any one product class or therapy, right? So while there is a marginal increase that might yield, result into marginal, posit

ive upside for us, but this will not
certainly move the needle for us. So the business, whether or without MIP should be similar.
Moderator: The next question is from the line of Bha vin Chheda from ENAM Holdings.

Bhavin Chheda: Congratulations on a good set of number and very good volume growth. The question on the volume growth was, does part of the volume growth was adding a new product segment or your existing past product also hav e seen double -digit volume growth?
Sahil Maheshwari: This is our base, the existing business only, Bhavin. So as we said, the new facilities are still ramping up, and there was no major product launch in the quarter, right? So these were our existing portf olios, for which we received a better order book.
Bhavin Chheda: And somewhere I saw overall utilization was at 47% in the presentation?
Sahil Maheshwari: Correct.
Bhavin Chheda: So, is there -- also, you mentioned there was a partial operating leverage be nefit on the margin expansion because volume growth and capacity utilization are going up, which means, in quarter 4, it also looks good, and the base is going up. So, we still have a significant operating leverage in terms of margin expansion when this re aches a critical size?
Sahil Maheshwari: So I think we are already at a critical size, Bhavin. So , as we had mentioned in our initial calls, right, so 55, 60 -odd percent is something which we can reach in our utilization level. So we still have a few points here from growth for us, right? But having said that, the business of CDMO, as we speak today, i s at a mature stage, and these are largely the margin profiles which we operate in.
Bhavin Chheda: Second is on the interest cost, which also includes a notional portion of INR20 crores in Q3 and INR58 crores in 9 months. So, Europe cont racts will start fr om next year?
Sumeet Sood : Bhavin, your voice -- can you please repeat this?
Bhavin Chheda: Yes, on the interest cost, I think I believe that the interest cost also includes around INR20 crores in quarter three and INR58 crores in 9 months, which is a notio nal interest charge on Europe contract liabilities. So this will start reversing from -- the entire amount will start reversing from next year when the European contracts start?
Sumeet Sood : So, the way it will start reversing is with the basis that we will make the supplies. So the entire sum will not go at one go, but based on the supplies, it will go away, because that much of the advance will keep getting adjusted, because part of the money has been received in advance, and part of the supplies will get paid from there. So , based on the proportion of the amount being adjusted, this will also get adjusted.
Bhavin Chheda: So, just my question was the notional interest, provided there won't be any cash outgo on the same, right?
Sumeet Sood : No, no, there is n o cash out. There is no cash out. Accounting entry.
Bhavin Chheda: Accounting entry. My last question, what was the capital expenditure in this quarter and 9 months?

Sahil Maheshwari: So the total capital expenditure that the company has made till now is INR165 crores for the 9 months. Around INR57 crores for this quarter.
Bhavin Chheda: Sorry, INR57 crores for the quarter?
Sumeet Sood : Yes.
Bhavin Chheda: Okay. And FY '27, any guidance on numbers?
Sahil Maheshwari: We've been steadily investing based on the requirement of business, the maintenance and modernization capex . We think our capex investment will be in our trend of what we've done in the past.
Moderator: The next question is from the line of Ikshit Naredi f rom Naredi Investments.
Ikshit Naredi: Sir, one more question. I can see your domestic business grew 4% and previously you gave the guidance of mi

d to teen digits, but your EBITDA margins in domestic business grew well Y -o-
Y. So can you please explain abou t this?
Sahil Maheshwari: Sure. So, to do any incremental -- so since we operate on high gross margins in that business, and to do a incremental business, my other costs largely remain the same, right? So my manpower costs largely remain the same, which is the other second chunk of the cost. Right. So any improvement in the top line gives an extensively positive benefit on the bottom line.
Ikshit Naredi: And [inaudible 0:49:25], this top line grew 4% only, so can you explain about this?
Sahil Maheshwari: Sure. So as we mentioned in a couple of calls earlier, and this as well, right? So, the focus has been, for now , on growing volumes and new products, and on how we can improve our HQ -

wise, headquarter -wise performance, right? So, we are reducing a few HQs, w here in line with our overall strategy, and price growth, which we have took over this current fiscal, has been minimal. Which if you remove from the overall IPM as well, you will see a similar kind of growth. From next fiscal as well, what we think, we sh ould be at par with the industry growth.
Moderator: The next question is from the line of Sangeeta from Cogito.
Sangeeta P.: Sir, my question was regarding your capacity utilization. You know, at the moment, it's less than 50%. Now, how do you actually thi nk about capacity utilization? Is this some kind of a strategic tool that you use, that you will always keep some level of excess capacity in order to meet requirements of your clients? Or, you know, you have just invested in anticipation of the growth that you see, and what is this likely to go up to going forward?
Sahil Maheshwari: Sure. So, as you saw this quarter, right, so, there was an increased demand, right? So we always keep a buffer capacity to serve quarters and demands of excessive growth, right ? So that always remains the core of our capex investing. On the second, while we operate at 47 -odd percent, the peak we can do is roughly 55%, 60%, right? So, it's not wherein we can achieve or double from here on, right? So, we'll continue to invest in capex , as Sumeet was mentioning, in line with our previous years of investing into capex , and this will be to serve the dosage forms where we currently see that we are stretching out on capacities.

Sangeeta P.: Right. So, sir, could you just help me understand, like, why is it that your peak capacity can only go up to 55%, 60% and can't go higher than that?
Sahil Maheshwari: Sure. So, we manufacture over 20,000 SKUs annually, right? And this is across 1,500 customers, right? So the changeovers are ext ensive in this business, right? So whenever I produce, like, this is a capacity which has been calculated on the total number of hours the machines can operate, right? And then I have changeovers after every batch , involves cleaning, changeov ers, and so on. Then I also have preventive maintenance schedules, right? Hence, the overall effective utilization comes down to these levels.
Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference ov er to Mr. Ankit Jain for closing comments. Thank you, and over to you, sir.
Ankit Jain: Thank you, everyone, for attending the Q3 earnings call for Akums. If you have any remaining questions, you can reach out to the investor relations team. Thank you, and have a good day.
Moderator: Thank you members of the management. Thank you, Sir. On behalf of AMBIT Capital, that concludes this conference. We thank you for joining us, and you may now disconnect your lines.
Thank you.

Call: May 2026

Ref: Akums/Exchange/2026-27/17 May 21, 2026
To,
The Listing Department
National Stock Exchange of India Ltd
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex,
Bandra (E),Mumbai – 400 051

Symbol: AKUMS To,
The Listing Department
BSE Limited
25th Floor, New Trading Ring,
Rotunda Building, Phiroze Jeejeebhoy
Towers, Dalal Street, Mumbai – 400 001

Scrip Code: 544222

Sub: Transcript of Investors/Analysts Conference Call held for un-audited financial results of Q4 FY 2025-26 and audite d financial results for FY 2025-26.

Respected Sir/Madam,
Pursuant to the Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) 2015, please fi nd enclosed herewith the transcript of investors/analyst conference call held on Monday, May 18, 2026 at 12:00 PM (IST) for un-audited financial results of Q4 FY 2025-26 and audited financ ial results for FY 2025-26.
The said transcript be also av ailable on the Company's website
https://www.akums.in/investors/investors-meet/
This is for your kind information and record.
Thanking You
For Akums Drugs and Pharmaceuticals Limited

Dharamvir Malik
Company Secretary & Compliance Officer

Encl: as above

"Akums Drugs & Pharmaceuticals Limited
Q4 FY26 Earnings Conference Call"
May 18, 2026

MANAGEMENT : MR. SANDEEP JAIN – MANAGING DIRECTOR – AKUMS DRUGS & PHARMACEUTICALS LIMITED
M R. SUMEET SOOD – CHIEF FINANCIAL OFFICER – AKUMS DRUGS & PHARMACEUTICALS LIMITED
M R. SAHIL MAHESHWARI – GENERAL MANAGER, STRATEGY – AKUMS DRUGS & PHARMACEUTICALS LIMITED
M R. ANKIT JAIN – HEAD, INVESTOR RELATIONS – AKUMS DRUGS & PHARMACEUTICALS LIMITED

MODERATOR : MR. ABDUL PURANWALA – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the Akums Drugs & Pharmaceuticals' Q4 FY26 Results Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone.

I now hand the conference over to Mr. Abdul Puranwala. Thank you, and over to you.

Abdul Puranwala: Yes. Thank you, operator. Good afternoon, everyone, and on behalf of ICICI Securities, I welcome you all to the Q4 FY26 earnings conference call of Akums Drugs & Pharmaceuticals Limited. Today on this call, we have with us the following members from the management team. Mr. Sandeep Jain, Managing Director; Mr. Sumeet Sood, CFO; Mr. Sahil Maheshwari, General Manager, Strategy; and Mr. Ankit Jain, Head of Investor Relations.

I now hand over the call to the management for their opening remarks, followed by which we will open the line for Q&A. Thank you, and over to you, Ankit.

Ankit Jain: Thank you, Abdul, for the introduction. Good afternoon, everyone, and welcome to Akums' Q4 and FY26 earnings call. I am Ankit Jain, and I head Investor Relations at Akums Drugs & Pharmaceuticals Limited. I will commence with our standard disclaimer that any discussion on today's call might include certain forward-looking statements, which are predictions or projections of future events. Our business faces several risks and uncertainties that could cause our actual results to differ materially from what is expressed or implied in such statements.

At Akums, we do not undertake any obligations to publicly update any forward-looking statements, whether as a result of new confirmation or future events or otherwise. I hope you would have had an opportunity to review our investor presentation and financials that we posted on Thursday evening.

I would now like to hand it over to our Managing Director, Mr. Sandeep Jain to discuss our performance. Thank you.

Sandeep Jain: Thank you, Ankitji. Namaskar, everyone, and thank you for joining us today for our Q4 and full year FY26 earnings call. During Q4 FY26, we maintained the business momentum of last quarter and ended FY26 on a strong note, despite a very challenging H1 FY26. The operating environment through the first half was adverse - characterized by sharp erosion in API prices and prolonged phase of low volume growth in the domestic market.

We, at Akums, managed to navigate the challenging phase due to the depth of our client relationship and quality of our manufacturing setup and at the same time, continue to invest for the future to ensure long-term sustainable growth.

Coming to operating performance for the quarter, CDMO once again delivered a healthy top line growth led by double-digit volume expansion. We believe this reflects a structural strength supported by growing customer preference for compliant manufacturers.

Our international CDMO journey continued to gather pace following the EU GMP accreditation of our Plant 2 received in January. We have commenced dossier filing and country-specific registrations across multiple European markets, in line with our stated plan to commence commercial supplies from Plant 2 in FY28. Supplies to Europe, which began in the early part of this fiscal, have continued to scale and along with the strong pipeline of 10 plus products for the European markets.

On the Zambia partnership, the project remains on track with commercial supplies of approximately $25 million from our Indian facilities to Zambia expected to commence by the end of Q2 FY27 along with the project planning and erection of the local manufacturing facility.

While Akumen

tis, the domestic branded formulation business, reported modest revenue growth during the year, margins in the business expanded meaningfully validating the efficiency-focused strategy as we head into FY27. We expect this segment to grow at above IPM rates, driven by new launches, focus on brand building, and continued emphasis on field force productivity.

Our international branded formulation business had a tough year with muted growth due to market-specific disruption in our focus geographies. We expect this segment to return to growth as we are confident of the structural attractiveness of our chosen geographies.

In the API business, pricing pressure in the cephalosporin persisted through most of the year, resulting in continued losses. Our continued focus on cost optimization, portfolio rationalization,

yield improvements, and the gradual shift towards higher margin non-cephalosporin products and regulated markets are expected to curtail losses for the coming year. The European audit of our API facility is expected in the upcoming quarter, which would unlock regulated market opportunities at improved realization.
The trade generics business turned a corner in this quarter. Going forward, we expect a stabilized though much smaller profit-oriented footprint going forward.
On the operational and digital infrastructure front, our SAP S/4HANA transformation initiated early this fiscal and progressing as per plan and will over time drive material improvements in efficiency, automation, and real-time analytics across functions. The Darwinbox implementation across our HR function is delivering tangible employee experience benefit.
We continue to invest steadily in capacity expansion, R&D, and modernization through the year. With capex broadly in line with our trend run rate, our newer facilities including the dedicated injectable plant, the Penem facility and the new plant in Baddi are all progressing through their respective ramp up curves with client audits and product approvals in advanced stages. As volumes build in over FY27 and FY28, these facilities will drive next leg of growth for the CDMO business.
The Board has also recommended final dividend for the year FY 2026 for INR1 per equity share and a special dividend of INR2 per equity share. We thank all the stakeholders for their continued trust and patience through what was the transitional year and we reiterate our commitment to creating sustainable long-term value for our shareholders.

I shall now request our CFO, Mr. Sumeet Sood to take you through the detailed financials for the quarter and the full year. Over to you Mr. Sumeet.
Sumeet Sood: Thank you, sir. Thank you, Sandeepji. Good afternoon, everyone. I will take you through the financial highlights. Revenue for the fiscal year 2026 stood at INR4,359 crores as compared to INR4,170 crores in FY 2025, an increase of 5.8%.
Adjusted EBITDA stood at INR522 crores. This is the highest that we've seen over the recent past as compared to INR461 crores in the previous year, increasing by 13.3%. Adjusted EBITDA margin stood at 12% against 11.2% in FY 2025.
PAT stood at INR256 crores as compared to INR344 crores in FY 2025. Last year, there was a significant benefit of deferred tax asset that was created due to the restructuring of the group. This was INR106 crores.
I think important would be to look at the PBT, which probably would insulate the deferred tax asset. If we look at the PBT, we were at INR382 crores in FY 2026 compared to INR341 crores in FY 2025, an increase of 11.9%.
If we look at the quarterly performance, revenue stood at INR1,158 crores. This was 9.7% higher year-on-year and 0.1% lower quarter-on-quarter. Adjusted EBITDA stood at INR152 crores. This is 61.6 % higher year-on-year Q4 2025 was INR94 crores and 3.3% higher quarter-on-quarter Q3 2026 INR147 crores, driven by improved

profitability in the CDMO segment and
trade generics segment turning EBITDA positive. Adjusted EBITDA margins were 13.1% versus 8.9% in Q4 FY 2025 and 12.7% in Q3 of FY 2026.
The reported PAT for the quarter was INR81 crores compared to INR150 crores for quarter four FY 2025 and INR68 crores for Q3 FY 2026. As stated earlier, there was a significant deferred tax asset creation in Q4. Last year, if we look at the PBT for the quarter, then the PBT is INR121 crores in Q4 2026 compared to INR75 crores in Q4 2025.
If we go business wise, the five segments that we've given, if we look at the CDMO, the CDMO performance has been good. The revenue stood for the year at INR3,485 crores compared to INR3,208 crores in FY 2025, an increase of 8.6%. EBITDA for the full year stood at INR467 crores compared to INR454 crores last year, an increase of 2.9%.
Q4 revenue was at INR952 crores, a growth of 13.4% year-on-year and 4% quarter-on-quarter. EBITDA stood at INR137 crores improving 54.9% year-on-year and 9.1% quarter-on-quarter. The segment sustained its strong growth momentum, while also benefiting from operating leverage driven by improved capacity utilization and ramp up of newer facilities.
Domestic branded formulations. FY 2026 revenue stood at INR446 crores compared to INR434 crores in FY 2025, an increase of 2.9%. EBITDA for the full year was INR90 crores compared to INR77 crores last year, an increase of 17%.

Q4 revenue stood at INR102 crores, decline of 1.5% year-on-year and 11.1% quarter-on-quarter. EBITDA stood at INR22 crores, similar to Q4 last year and declining 13.2% quarter-on-quarter.
International branded formulation. For FY 2026, revenue stood at INR143 crores, similar to last year, which was also INR143 crores. EBITDA for the full year stood at INR36 crores compared to INR28 crores last year, an increase of 32.3%.
For Q4 revenue was INR36 crores, a decline of 9.7% year-on-year and 28.5% quarter-on-quarter. EBITDA stood at INR10 crores, improving 14.7% year-on-year and declining 22.3% quarter-on-quarter.
For the trade generic business, the revenue stood for FY 2026 at INR100 crores compared to INR115 crores FY 2025, a decline of 13.2%. EBITDA for the full year stood negative of INR10 crores compared to a negative INR28 crores last year.
For Q4, the revenue was INR27 crores, a growth of 22.6% year-on-year and 10.2% quarter-on-quarter. EBITDA turned positive INR1.4 crores from a negative INR10 crores in Q4 2025 and a negative INR3 crores in Q3 FY 2026.
For the API business, in the current year, the revenue stood at INR184 crores compared to INR219 crores in FY 2025, a decline of 15.9%. EBITDA for the full year stood negative INR40 crores compared to negative INR44 crores last year.
For Q4, revenue stood at INR41 crores, a decline of 18.8% year-on-year and 24.9% quarter-on-quarter. EBITDA stood at negative INR12 crores compared to a negative INR6 crores in quarter four 2025 and a negative INR7 crores in Q3 FY 2026.
The company's operating cash flow stood healthy at INR1,181 crores compared to INR465 crores last year. This is majorly attributable to the European contract that was assigned to the company.
The free cash flow for FY 2026 stood at INR958 crores versus INR201 crores for FY 2025. We had a slight increase in the working capital days from 91 days to 105 days. This was largely due to the buildup of inventory, which was secured by advanced payments to creditors and we wanted to ensure the supply during the wartime.
The company continues to maintain a strong liquidity position and cash and cash equivalents stood at INR1,682 crores and a healthy balance sheet of the company. We are well-positioned to enter new fiscal year with positivity and confidence.
I now request the moderator to open the forum for question and answers. Thank you.
Moderator: Thank you. We will now begin the question-and

-answer session. We have the first question from
the line of Sajal Kapoor from Antifragile Thinking. Please go ahead.
Sajal Kapoor: Hi. Thank you for the opportunity. Hi team. A couple of questions. As your European and regulated market business ramps up, which specific internal capabilities currently least scalable? Is it regulatory filing throughput or quality systems or tech transfer? Is it leadership bandwidth

or manufacturing facility? Because the capability that is required to compete successfully in highly regulated markets are somewhat different compared to Indian market, right? So, that's one part of the question. And if you can also help in terms of what concrete investments are being made today to get to a level where we can pitch Akums as a high-quality regulated market-ready kind of a facility? Thank you.
Sahil Maheshwari: So, Sajal, this is Sahil from Akums. On the first question, obviously, reg market play requires stringent capabilities compared to the domestic capabilities. A few points why we are -- we think we are capable to serve those markets is one is we already serve large Indian customers and MNCs Indians markets who themselves have a strict KRA sheet of how they operate. So, we have been serving MNCs for over 15 years now in India from the likes of all the large MNCs in India across their multiple products, be their regular established ones or the new DCGIs.
Also, we received our first European GMP approval way back in 2022. So, the capabilities -- we have been strengthening our capabilities. And as you rightly mentioned, these are across R&D, quality, production, regulatory, everywhere. So, these capabilities since we already serve the larger ones in India and were also European GMP. So, these are the capabilities which we think we have and as we go along, we'll further strengthen up those capabilities.
The Plant 3 also received -- Plant 3 also apart from European also received ANVISA approval this year. So, this, again, is a testament of our commitment towards regulated market. And we were also awarded the European CDMO contract, which was after a thorough review by the partner. So, it's a learning journey. We are on the way and rightly so, we'll have to strengthen capabilities as we go along.
Secondly, on the investments required, so this will be tied down to what projects in the future we get, or which capabilities with dosage forms we have to expand. But as we look today, we already have a European GMP approved facility for injectables. We already have a European

GMP facility for oral liquids and an injectable facility, which is also ANVISA approved.
So, for most of the important dosage forms, which contribute to value and volume are already European GMP approved. And as we go along, we have plans for some additional plants to get European GMP approved over the next 18 months.
Sajal Kapoor: Sure. No, that's helpful. Very thoughtful. Thank you. And on the gross margin side, if you see ever since the IPO listing, today, we are sitting at one of the highest or best ever gross margins this business has reported, which is very positive indeed.
Now, there are two kind of loops that are playing out in parallel for us as a business. One is the negative loop of what's happening in the Middle East, which is something external. Everyone is facing crude-linked inflation in solvents, etcetera. And we can only be backward integrated to a certain extent. We cannot start manufacturing KSMs and all the rest of it. So, there will be some negative pressure coming from that side of the negative loop.
In parallel, there is also a positive loop that will play out, which will be as we move from India into more complexity, more specialty regulated markets. We obviously expect to get a fair share

of the pricing power tha

t should help our gross margins move up. But these two loops are kind of contradicting each other.
So, what I'm trying to understand here is what in your view is the net effect of one negative loop, which is a cyclical loop, hopefully, fingers crossed, this situation will hopefully change at some point. And the other one is much more structural loop, which is a positive loop, higher complexity, better specialty products and higher demanding markets giving us pricing power.
So, what is the net effect on the gross margin in a nutshell?
Sahil Maheshwari: So, I'll quickly address. So, as you rightly said, one is external, which is not really in our hands. But as a business model, it's a passthrough business model. So whatever is the cost of input material gets passed on as part of our CDMO contracts. And on top of it is our conversion and margins. So, while the uncertainty in the global environment creates a cyclical period of shortages, price hikes, but all of that gets passed through.
Secondly, what is internal to us is how we can ramp up our unique differentiated dosage forms, our product offerings, our capabilities. This is which we are constantly focusing on. If you look at really last three years, we have been investing over INR100 crores in our R&D, which is a result of which we can -- at a larger base as well, we can gradually move up our gross margins.
Sajal Kapoor: No, that's helpful. And very finally, very quickly--
Moderator: Sorry to interrupt Mr. Sajal. Request you to kindly come back in queue for follow-up questions.
Sajal Kapoor: Yes, sure, no problem. Thank you.
Moderator: Thank you. We have the next question from the line of Aditya Sarin from InCred Asset Management. Please go ahead.
Aditya Sarin: Hi sir. So, last 2 quarters, the volume variance has been north of 25%. So, what is driving this? And what is your outlook on the same? And the price variance has been a negative 3.5% on an average in the last few quarters. With API prices rising 10% to 20% on an average, will this reverse going forward? And if prices sustain, can we deliver a double-digit growth in the CDMO business by virtue of the same?
Sahil Maheshwari: Sure. So, as you rightly pointed out, over the last two quarters in the H2, the volume growth has been significant. What we have seen, as we also discussed this in Q3, this is primarily led from existing customers only. So, this is not new geographies or new customers. So, what we are seeing is increased demand for existing brands from the existing customers only.
So, honestly, what it is driving is still to be thought through and looked out, but because the overall IPM is still growing at 1%, 1.5%, but we think that this is a sustained growth because similar double-digit growth is also visible as we set in May for the Q1. So, that's on the volume growth.
Pricing-wise, API prices over the last full financial year were a bit soft. The whole of the year, the API prices crashed by about 20%, 25% as a basket.? Due to the current ongoing global

geopolitical situation, the API prices have slightly gone up, single high-digits, they have gone up as a basket. Will they come down sharply soon? That is still to be seen. But still, the prices remain lower than what they used to be in April of last year.
So, while the prices have still gone up, they are still lower than the April prices. So, the API softening still continues if we have to compare it 12 months prior to it. So, volume growth looks

positive. I believe the APIs won't go down sooner from these levels. So, that's how we see the CDMO outlook from here.
Aditya Sarin: Got it, sir. Next question was on the trade generic turning EBITDA positive. If you can share your outlook on how do you see the trade generic and API business for FY27 and beyond. And a question on the tax rate expected for FY27 and FY28?
Sahil Maheshwari: I'll

maybe address the business side first and Sumeet, you can chime in for the tax. On the trade generic, as you rightly said, we turned EBITDA positive. We, over the last couple of years, have really cut the business short and now it's EBITDA positive. We are only doing the business in pockets where it makes sense for the business.
This is expected to remain -- as we mentioned in the opening statement, this is expected to remain at similar levels of revenue with similar levels of EBITDA. So, this will not meaningfully contribute to the group's top line or profitability as we move along.
On the API, this was a year of miss, honestly. The API prices continue to remain low, and hence, our cost -- the COGS remain elevated, which resulted that our fixed overheads and our variable expense of manufacturing could not be fully utilized, and we could not be EBITDA positive.
The API prices have started to go up. We have also started to venture into exports in March of this year, we also started our European inspections. So, all of those CEPs have been filed as well.
So this year, we are hopeful we should do much better than what we delivered last year in API.
And similar to a trade generics turnaround in 2026, we are hopeful we can do some significant turnaround in APIs this fiscal year. On the tax, Sumeet.
Sumeet Sood: On the tax rate, if we were to look at some of the entities which are making losses, it does give an effective tax rate of 32%-odd. But going forward, we think 29% on an overall is something we can build into our business model. But right now, coming in at around 32%.
Aditya Sarin: Got it, sir. Thanks.
Moderator: Thank you. We have the next question from the line of Praveen Jayaraman from Avendus Spark. Please go ahead.
Praveen Jayaraman: Thank you for the opportunity sir. Hope I'm audible.
Sahil Maheshwari: Yes.
Praveen Jayaraman: Sir, my question is on the model side. So, in CDMO for Q4 FY26, our margins have expanded to 14.4%, even though we had a product mix base which was adverse product mix of around

INR100 crores. Can you explain the model forward here, like I understand it is a cost plus margins, but whether it's a percentage margins or a margin fixed on an absolute basis.
My question stems out on the case where even though the base portfolio carries lower absolute conversion margin compared to the niche, how could this adverse mix improve our EBITDA margins this quarter? What am I missing here, sir, like on a sequential basis?
Sahil Maheshwari: Sure. So, if you really compare it with last Q4, you will see an aberration, but look at stand-alone any other quarter, whether it is quarter three, in general every quarter, you will see these are the regular margins. Q4 of 2025 was a year where we had a significant dip in EBITDA, driven again by the product portfolio and some year-end provisions as well. So, this essentially in Q4, we had less of those low margin products, and hence, this looks to be a regular quarter.
Praveen Jayaraman: Sir, so is it a percentage margins or absolute one like the model?
Sahil Maheshwari: This model is a percent margins on the input cost. So, the input cost then depending on the product type, the dosage form and so on, the percent margin is applied on top of it.
Praveen Jayaraman: Okay. Thank you. Sir, my second question is on Schedule M. So, now the deadline has passed and we heard like inspections would have started by now. So, like have we seen any visible improvement like we getting some volume growth or customers approaching us on this angle due to MSMEs Schedule M getting implemented?
Sahil Maheshwari: So, while this remains within the purview of the government, Schedule M and -- is being followed through. We'll have to look for how this gets rolled out and implemented. But obviously, even prior to Schedule M, the customers we serve are largely cost quality conscio

us
customers.
Praveen Jayaraman: Sir, like my question stems from the point like we said that there were some pricing disruptions caused by MSME people on -- like due to the Schedule M. And as now it is being implemented, like still, are they doing this cost cutting to retain customers or with this getting implemented, we could expect those customers to come back to us?
Sahil Maheshwari: I will like to skip this question because honestly, we have no visibility on ground of how the government plans to roll this out.
Praveen Jayaraman: Okay, sir. Thanks. Sir, can I add one more question on the injectable side?

Sahil Maheshwari: Yes, it's okay.
Praveen Jayaraman: So, the new injectables facility, what would be the utilization? And what would be the contribution from this facility going ahead, sir?
Praveen Jayaraman: Okay. So my last question was on the injectables facility. So the new one, what was the utilization exit which we had? And what would be the contribution from this facility going ahead, sir?
Sahil Maheshwari: For the newer facility or overall injectables?

Praveen Jayaraman: New facility, sir.
Sahil Maheshwari: New facility, we are still ramping up. The utilization is in early teens. And we expect that this year, we will have a significant ramp-up in the injectable facility.
Praveen Jayaraman: Okay, sir. Thank you for answering all my questions. That's it from my side.
Moderator: Thank you. We have the next question from the line of Ankur Kumar from Alpha Capital. Please go ahead.
Ankur Kumar: Hello, sir. Thank you for taking my question. Sir, I wanted to understand in terms of CDMO, what kind of overall revenue growth are we expecting this year? Because you said API prices have improved, which will be a pass-through, but they are still lower than last year and volume growth, you said we will be expecting double-digits. So overall, what kind of revenue numbers and margins are we expecting?
Sahil Maheshwari: So as I said, we have visibility for 45 to 60 days of our revenue book. So what we said is in Q1, Q2, as we can see, we expect a double-digit volume growth, right? So while H2 still has to be seen through the pricing, as I also mentioned in my last, API prices are transiently high. Whether they stay at the current levels, go down, go further up, we still have to see as we go along. But this is what we can say for H1. And as we talk through in the next quarter, we can give more flavor on Q3 and Q4.
Ankur Kumar: And any color on the margin side, sir, we have seen improvement in Q4. So what kind of numbers can we expect?
Sahil Maheshwari: Similar margin profile what we currently have.
Ankur Kumar: Got it, sir. And sir, on API side, you said you expect this year to be much better in terms of reduction in losses. So can we expect it to -- EBITDA losses to reduce to trade generic levels or how should we think?
Sahil Maheshwari: So we -- while the losses will be sizably reduced is what we expect, we'll have to wait for at least a couple of quarters to think through whether we can turn monthly EBITDA positive or not, that's the goal and aspiration. On a full year basis, we might still see some losses.
Ankur Kumar: Got it, sir. And sir, on tax rate, you said 29%. So when do we expect to go to 25% type as a normal range?
Sumeet Sood: See, I think the way we look at it is when some of our entities continue to make losses. If the API business was to turn around, right, and the trade generic business was to turn around, we would be coming at the tax rate that you're seeing. Let's say, we have INR100 profit and we were to pay a 25% tax over there. But that INR25, if it is taken as a delta to an INR80 because of the losses, you'll see a higher percentage.
So I think the way the taxes should come down is once most of our businesses come out at the normal rate. And while this number is lookin

g also differential because of the deferred tax asset,

I think to answer your question broadly is the way I said that once all -- most of the businesses are PAT positive, we'll come at the normal rate.
Ankur Kumar: Got it, sir. Sir, last question would be, we have good cash increase. We have good cash flow from operations also. So what is our plan? We gave only 18% dividend payout this year. So what is our plan on the cash usage?
Sahil Maheshwari: So primarily, given – we are extensively a growth-focused organization, the primary usage of the cash still remains in assessing organic or inorganic opportunities for growth. Dividend also was a way to reward the shareholders. So we expect that we'll soon utilize some parts of the cash for growth.
We are already in process of expanding our oral solid facility since you have seen we have almost 20% plus volume growth over two quarters, the quarter also looks good. And hence, we see that we now would need to ramp-up our oral solids facility as well.
So we are in process of ramping up. So that's where some part of the capex of this year will go.

And also, we are actively evaluating our objectives around niche businesses that we can acquire inorganically, right? So this is where we expect the cash utilization to happen.
Ankur Kumar: Sure, sir. Thank you and all the best.
Moderator: Thank you. We have our next question from the line of Rohit Bahirwani from Naredi Investments -- sorry, from Vijit Global. Please go ahead.
Rohit Bahirwani: Yes. Thank you for giving me the opportunity. My question is related to the execution of lease deal, which we have done for land in Haridwar. I wanted to know the purpose of this execution and expansion plans for this land in future?
Sahil Maheshwari: So simply, if you really look at the history of Pure and Cure at Haridwar, we have gradually expanded our operations there by acquiring nearby land sites and so on. This is how we have grown historically across Haridwar. So, this is simply one of those activities we will need for expansion of our capacities as well as building utility support and so on.
Rohit Bahirwani: Okay. Understood. And my second question is related to the European contract of EUR200 million, how much of this is expected from the first year? Will it be a EUR40 million commitment every year? Or there is some clause of initially the amount being lower and gradually the execution going up year-on-year?
Sahil Maheshwari: So this is an established brand already marketed with predictable volumes being sold in the European market. So this is not a new launch to your question. So how we look at it, once we start the launch, whichever month or quarter it is, once we start, we will have almost EUR35 million on a MAT basis.
Rohit Bahirwani: Okay. So initially, it will be EUR35 million and thereafter...
Sahil Maheshwari: Broadly, this is how it is, EUR35 million for the next six years till 2032.

Rohit Bahirwani: Okay, okay. Understood. Thank you so much.
Moderator: Thank you. We have the next question from the line of Aanchal Maheshwari from Naredi Investments. Please go ahead.
Aanchal Maheshwari: Yes. I had just one question on international branded business side. The revenues have seen a sharp decline, but the margins have improved to 28%. Is there a reason for that?
Sahil Maheshwari: So certainly, so what we are focusing on is a more -- we are investing into marketing. While the business is small, which honestly was not one of the best years for the exports business. And we are hopeful this business will be shaped well this year. Margin expansion has come from two reasons. One is we are focusing on marketing brands rather than just pure B2B play. It is more B2B2C, wherein we are doing the marketing, so seven, eight countries. We

have our own field force, extensive field force. We have over 10 countries where we have our country managers. So that's there. Also, we got some benefits of the U.S. since it's USD, we got some benefits from the ForEx gain, which resulted in the gross margins to be up by over 3.5%, 4%.
Aanchal Maheshwari: Right. Right. Thank you. And just one more thing, sir. The domestic business does not seem to be doing well. How do we ensure that the domestic business delivers at par with IPM over the next few years?
Sahil Maheshwari: So, this year, if you really have seen through, we hardly took a price hike. So, what we thought through was more cautious approach on price growth, while the focus was on volume growth. So, in the future, what we think through is this year, we expect we should grow in line with the IPM, where the volume growth, price growth and the NII growth will all play a part, and we expect to be double-digit top line growth in the domestic formulation business.
Aanchal Maheshwari: Right. Thank you. Those were my questions. All the best.
Moderator: Thank you. We have our next question from the line of Avnish Tiwari from Vaikarya. Please go ahead.
Avnish Tiwari: Hi. Can you just repeat that -- in the CDMO business, you get a markup on bill of material. So when the API prices are going down, what does it do to your absolute amount of profits you make or percentage margins you report? And relatively when API prices are going up, then will you experience a reverse of that phenomenon?
Sahil Maheshwari: Yes, you answered it correctly. These are percent margins and hence, if the input materials go down, the absolute margins also go down.
Avnish Tiwari: Absolute profits go down. Okay.
Sahil Maheshwari: Correct.
Avnish Tiwari: And the second question I have is the trade generics side. You are a manufacturer of these drugs. Then why are you not making money? What's wrong with this industry structure that you should be the lowest cost producer of these drugs and directly selling to pharmacists through the

distributors? So what is it that this segment is having an issue in the industry structure, which is causing this phenomena?
Sahil Maheshwari: So this is honestly a question of how and where we deploy our capital. Trade generics, historically has been an area where you have elongated working capital cycles across inventory and receivables. And hence, we thought through -- at one point in time four, five years back '22, we did almost INR400-plus crores in our trade generics business. We scaled down simply because it had elongated working capital cycles and the margin profile was not what we expected this to return. And hence, it's a conscious call of capital reallocation.
Avnish Tiwari: Okay. Thank you.
Moderator: Thank you. We have our next question from the line of Deeya from Sapphire Capital. Please go ahead.
Deeya: Am I audible?
Moderator: Yes, we can hear you.
Deeya: So what was the capex for FY26? And how much are we going to spend in this year?
Sumeet Sood: So FY26, we did a capex of INR222 crores. And this year, we are targeting to keep our capex to INR300 crores. That's the target for our capex.
Deeya: All right, sir. And any top line target for the whole year FY27?
Sumeet Sood: No ma'am, we do not want to answer this question. We don't want to state future numbers.
Deeya: Okay, sir. Thank you.
Moderator: Thank you. We have the next question from the line of Avnish Burman from Vaikarya. Please go ahead.
Avnish Burman: Yes, hi. Good afternoon. Thanks for taking my question. Sir, I have a couple of questions. When we had a phase of API declines in the last year, it was kind of led by cepha crisis. And now when you -- please, correct that understanding if it's wrong. And now when you say that sequentially, there has been a little bit of bounce back, is it fair to assume that the bo

unce back is also led by cepha API prices?
Sahil Maheshwari: So in the API business or the CDMO business, the CDMO business you're talking about?
Avnish Burman: Yes. But I want a view on the cepha API crisis.
Sahil Maheshwari: Sure. So the -- if you see and analyze the data, not just cepha, most of the APIs over the last year have gone down as simple as paracetamol went down, metformin went down, anti-infectives went down. So all of those went up.

Rightly, the ones which suffered a significant decline in prices are the ones which picked up in this April post-war. So those numbers still have to come out because these are the numbers we are talking about till March. And likely, we'll have received order in February. So till the time, the impact on API prices was not seen.
Talking about Q1, across most of the APIs, whether it is cephalosporin, non-cephalosporin, chronic APIs and so on, whether imported domestically sourced, we have seen that the API prices in the basket have started to go up.
Avnish Burman: Okay. And just to clarify, I think this question was asked earlier. When the API prices are going up, then your absolute gross profit growth is higher than the volume growth. Is that a fair understanding?
Sahil Maheshwari: Since the margins are linked to a percent rightly so, right? So the factory operates at a non-formula linked fixed expenses, right, the labor, the unit manpower and so on. So one -- since the percent is on the gross input cost, as and when it fluctuates, it fluctuates my absolute margins.
Avnish Burman: Okay. The last question was on the volume growth. Of course, I mean, last couple of quarters have seen such a strong volume growth for like a very large player like yourself. And you mentioned that it's coming from existing customers, which means that you are gaining wallet share from your existing customers.
So I just wanted a little more color on how is that happening? I mean, are you gaining from, let's say, a little bit of the unorganized or less organized sector? Or are you gaining from other competitors, which are already compliant with schedule? And if yes, then why is that happening?
Sahil Maheshwari: So this is broad-based. I think there's some volume share gain from their in-house production. There is some volume gain share from what they used to manufacture it from other CDMOs, right? So while you have not done that analysis of what percent comes -- but this will also meaningfully change every month-on-month on quarter-to-quarter.
But what we are seeing is either new brands from in-house or other CDMOs or existing brands which are sold more -- which we already had are sold more into the channel. And hence, we get a better order book for it. So all of it is contributing. So since, as you rightly said, on a large

base, such large volume growth, so most of the parameters will have to play out for this – to sustain this.
Avnish Burman: Okay, thanks. This was helpful. Thanks.
Moderator: Thank you. We have the next question from the line of Saket Kapoor from Kapoor and Company. Please go ahead.
Saket Kapoor: Yes. Namaskar, sir. Namaskar, sir, hope I'm audible. Sir, I'm new to this company and the sector, so pardon me for my question. Sir, if we take our mix of revenues and as alluded by you that we had pressure on the API segment and that getting negated with the current year. So if you could just give us some more understanding with the type of commissioning of orders, especially for

the -- I think Zambia nation, which you mentioned, how should the current year probably shaping up in terms of the different verticals, sir? I guess this summary on the same.
Sahil Maheshwari: Sure. So CDMO, we have talked about extensively. At least for the H1, we see a strong volume growth and the API price

s, I think, should remain at current levels. So that's how we look at the CDMO segment. The domestic marketing we talked about, we should be targeting an IPM level low single digit -- high single digit, low double-digit kind of growth in the domestic Akumentis. For exports as well, while the last year was flat. This year, we expect to do a double-digit growth in that segment as well, and the margins should sustain -- the margin profile should sustain. On the trade generics, we have already turned positive. As we said, this will not meaningfully contribute to our top line and bottom line going forward and should not drain our P&L going ahead.
On the API segment, while we had a minus INR40 crores consistently for the last three years every year on our P&L, this year, we expect the losses to come down sharply. We expect that while the full year would still remain negative, this will be sizably lower and would have a significantly lower drag on our P&L.
So this is how the five business verticals will shape up. Apart from this, as you rightly said, one more element is on Zambia. Zambia will flow in into our CDMO revenues. So this will be, as we said, a $25 million, which at today's rate will be INR230-odd crores addition to our top line, which we expect to deliver in Q2, Q3 sequentially as we roll out the orders and get confirmed purchase orders. And this will be slightly at a margin similar to CDMO business. So, this is how the overall year is somewhat we are thinking through. The European CDMO contract will kick in from the next fiscal.
Saket Kapoor: Okay. And sir, then with the Zambia order, is it a multi-year contract that we'll be executing or a one-time exercise?
Sahil Maheshwari: So this is for two years, $25 million each FY27, FY28. In parallel, we have to commission the facility, whether it takes two years, 2.5 years, this is our internal target. So FY29 is somewhere we believe calendar year '29, we will start the revenues from the Zambian facility, which will gradually scale up in which we have a 51% equity share.
Saket Kapoor: Okay. So this is different than the order which we are executing of $25 million for the current year. I could not get this?
Sahil Maheshwari: So the initial two years will cease. These supplies from the Indian facilities will cease after FY28. And once in FY29 or FY30, we have the plant cleared for commercial production, we will start ramping up that facility from -- and supply to Zambian government, local Zambian private market or neighboring nations from that facility. Zambia today is largely a $200 million pharma market, and we expect to gain a sizable share within that market where the government itself procures over 80% of the products, which are largely imported.
Saket Kapoor: Okay, sir. And what is the total investment that we have envisaged in the facility in the Zambian nation?

Sahil Maheshwari: Across building, across products, tech transfer facilities, machine land, everything, tangible, intangible. This is a $45 million, which will be borne 51% by us.
Saket Kapoor: Right, sir. Thank you, sir. I'll join the queue. And all the best for the team.
Sahil Maheshwari: Thank you.
Moderator: Thank you. We have the next question from the line of Richa from Equitymaster. Please go ahead.
Richa: Thank you for the opportunity. Am I audible?
Moderator: Yes, we can hear you.

Richa: Yes. Sir, my question is on the European contract for which you have already received in advance. From what I understand, it's not based on cost plus basis, but it's a lump sum contract. So could you just give some insight on how the margins could play out in case there is an inflationary environment in the raw material side?
Sahil Maheshwari: Right, Richa. So while we are finalizing the contract, so this is an established product, established molecule over the last few deca

des now. So, we have already taken into our costing the inflationary patterns of that API and the input materials. At the current API prices, we are fairly confident this remains our comfort zone of the margins we are thinking through. And you are right, this is a fixed price contract till 2032.
Richa: So at current API prices, the margins that you expect more or less in line with the current CDMO is it expected to be higher?
Sahil Maheshwari: It should be similar or high teens. So this is what we expect.
Richa: Okay. And sir, apart from this European contract, what kind of international mix do you expect within the CDMO itself, let's say two to three years from now?
Sahil Maheshwari: Right. So similar efforts are being driven across oral solids, injectables, across niche products like hormones and anti-infectives, right? So we expect that over the next two, three years, we will have eight to 10 global customers for whom we will serve, whether large or small, that has still to be played out, but we expect within CDMO, we should have eight to 10 customers, which could be Indian players or European global players as well for whom we'll do CDMO services.
Richa: Okay. Okay, thank you, sir. Perfect.
Moderator: Thank you. We have the next question from the line of Abdul. Please go ahead.
Abdul Puranwala: Yes. Hi, I hope I'm audible. So thank you for the opportunity. So first question, just to follow-up on the previous participants, so about having a CDMO relation with eight to 10 overseas customers. So I mean Sahil, if you can talk about, what stage we are into in terms of discussion and what kind of an investment we will have to do to bring or you know, take that relationship ahead with those customers?

Sahil Maheshwari: So these are long-term contracts, right, and require sizable time investment as well. So as I heard you, right, you are talking future CDMO export customers, right?
Abdul Puranwala: Yes, yes.
Sahil Maheshwari: So, these require sizable investment in time, dossier clearances and so on. So, require two, three years until we ramp them up. So in terms of manufacturing capabilities, we are largely. So we are only taking our -- those facilities, which we have already constructed. So we are not thinking to a new facility and new dosage form and then take it up to the global level. We already have a new injectable facility, we already have a hormone facility in the continuation with the existing approvals.
So that is there. So our pitch remains similar, an Indian manufacturer with capabilities across R&D, regulatory, quality, a track record of serving MNCs for over a decade now with cost conscious, quality conscious, manufacturing. So the pitch remains similar, and this is how we proceed. It could be across tech transfer from their existing manufacturing site or a completely new development, which in most of the cases we are helping our partners in our R&D centers only.
Abdul Puranwala: Got it. Got it. And one more, if I may. So on the GLP front, we have seen a good amount of traction getting developed towards the generic pharma companies. So are we also supplying GLP drugs either in an injectable or an oral solid dosage form to our customers?
Sahil Maheshwari: So obviously, we all recognize and acknowledge GLP is a large and a massive opportunity. As of now, we are still evaluating when to enter, at which states to enter, given if you also have read some news last week when we have been witnessing in the industry itself, the pricing still remains very volatile and going down south. So, since we first have to think through who will our API partners be, who -- what is the right stage of investment into any dosage form that required. So we'll enter the GLP market. We'll inform in our subsequent calls what is our strategy going forward.
Abdul Puranwala: All right. Got it. Thank you.

Moderator: We have the next question from the line of Sajal Kapoor from Antifragile Thinking. Please go ahead.
Sajal Kapoor: Thank you. Hello?
Moderator: Yes. Please go ahead with your question.
Sajal Kapoor: Yes, hi. Thank you. Thank you for the follow-up. So just a quick one really. Given the net cash on the balance sheet we have and the sustainable operating cash flow, there might have been many options on the table in terms of should we do X or Y in terms of both domestic and

international expansion. Can you just help me out with one or two areas which the team
evaluated and decided not to pursue, despite a strong cash position? Thank you.

Sahil Maheshwari: Sure. Sure. So if I talk about inorganic growth per se, so we -- there are some dosage forms we still don't have. For example, Metered Dose Inhalers, we don't have. For example, we still don't have oncology injectables. And a few other dosage forms in small molecules. Within the large spaces, we are still not present into the large molecules. So, these are a few opportunities we evaluated. And obviously, we have to be cognizant of also the investment and the return expectation.

So, at times, it does not match up to our expected valuations or it does not match up to the plant standards or the product standards we wish for. And hence, these are the areas where some of the conversations drop. Also on organic front, we were also contemplating long back on the expansion of our oral solid, which I recently mentioned, we are kicking off now. So these are the decisions that you take as the business and the volumes progresses that which are the areas where we can invest.

Similarly, for example, in the Akumentis space as well, we can have options of brand or a portfolio acquisitions, as well. But the current valuations in the market for branded player are significantly higher than what we currently trade at, right. So all of those decisions come into play, and we and the team have been consciously evaluating a lot of opportunities. And hopefully, we should deploy some capital in the near future.

Sajal Kapoor: Very helpful. Thank you. That’s all I have. Thank you so much.

Moderator: Thank you. We have the next question from the line of Nitesh from ChrysCapital. Please go ahead.

Nitesh: Hi. Thank you for taking my question. Just with respect to our international CDMO contract, when I'm looking at FY28, so we will have around EUR70 million of revenue, right, from Zambia and the EU contract, which is around INR680 crores of top line. So is this the right way to say that export CDMO will be around 15-plus percent share in CDMO revenues in FY28?

Sahil Maheshwari: Simply on the Excel looks a good number. Yes, so this is how we think through that next year, we should -- once we start, right, as I said, on a MAT basis, the European contract will give us EUR35 million. And the Zambia ones are FY driven. So we'll have FY $25 million this time in '28 and FY27 and '28 each.

Nitesh: So just a follow-up. These contracts will effectively have, assuming will have better margin just because of favorable FX movement. So do we see our CDMO margin, which has been in the 13% to 14% level improve to a 15%, 16% level?

Sahil Maheshwari: We can think through that the base margins for the business once both of these contracts are in full swing will improve.

Nitesh: Okay. Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I would now like to hand the conference over to Ankit Jain for any closing comments.

Ankit Jain: Thank you, everyone, for attending the Q4 and FY26 earnings call for Akums. If you have any remaining questions, you can reach out to the Investor Relations team. Thank you and have a good day.

Sandeep Jain: Thank you. Namaskar.

Moderator: Thank

you. On behalf of Akums Drugs & Pharmaceuticals, that concludes this conference.
Thank you for joining us. And you may now disconnect your lines.

Note: This does not purport to be a verbatim account of the earnings call. It has been edited for readability and statements made in Hindi if
any have been translated to English.